

RESOLUTION NO. 2006/50

**RESOLUTION OF THE CITY COUNCIL OF THE CITY OF ANTIOCH
ADOPTING A REVISED TRAVEL AND EXPENSE POLICY FOR
ELECTED AND APPOINTED OFFICIALS**

WHEREAS, the City of Antioch takes its stewardship over the use of its limited public resources seriously;

WHEREAS, public resources should only be used when there is a substantial benefit to the City, which include:

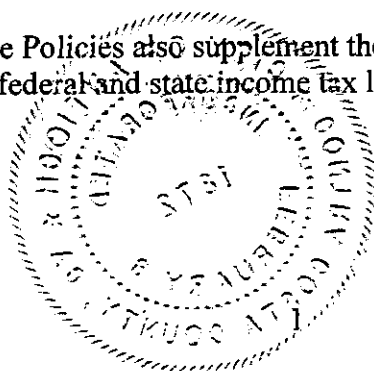
1. Communicating with representatives of regional, state and national government on City-adopted policy positions and/or other community concerns;
2. Participating in regional, state and national organizations whose activities affect the City;
3. Attending educational seminars designed to improve officials' skill and information levels;
4. Promoting public service and morale by recognizing such service on the part of City employees, members of the community and other individuals;
5. Promoting or implementing a City-approved strategy for attracting or retaining businesses and other development in the City;
6. Attending events and performing other such official duties that affect the City's interests;

WHEREAS, the City adopted a Travel and Expense Policy for Elected Officials and a Travel and Expense Policy for City Employees on October 29, 2005;

WHEREAS, these Policies provide guidance to the City's elected officials and employees on the use and expenditure of city resources, as well as the standards against which those expenditures will be measured;

WHEREAS, these Policies supplement the definition of actual and necessary expenses for purposes of state laws relating to permissible uses of public resources;

WHEREAS, these Policies also supplement the definition of necessary and reasonable expenses for purposes of federal and state income tax laws;



WHEREAS, with the adoption of Assembly Bill 1234 (codified at California Government Code sections 53232 through 53232.4), the City Council has determined that further refinements are necessary to the Travel and Expense Policy for Elected Officials in part to include appointed officials on the following boards, commissions and committees:

Administrative Appeals Board
Design Review Board
Economic Development Commission
Parks and Recreation Commission
Planning Commission
Police Crime Prevention Commission
Investment Committee; and

WHEREAS, the City Council finds that the Travel and Expense Policy for City Employees and the revised Travel and Expense Policy for Elected and Appointed Officials meet the requirements of Assembly Bill 1234 and California Government Code section 1223 regarding vehicle expenses.

NOW, THEREFORE BE IT RESOLVED that:

1. All elected City officials, all City employees required to file a Form 700 Statement of Economic Interests and all appointed (non-employee) officials on the Administrative Appeals Board, Design Review Board, Economic Development Commission, Parks and Recreation Commission, Planning Commission, Police Crime Prevention Commission and Investment Committee shall participate in ethics training in accordance with Assembly Bill 1234.
2. The Travel and Expense Policy for Elected Officials shall be revised as shown on Exhibit A and shall be known as the Travel and Expense Policy for Elected and Appointed Officials.

* * * * *

I HEREBY CERTIFY that the foregoing resolution was passed and adopted by the City Council of the City of Antioch at a regular meeting thereof, held on the 25th day of April, 2006, by the following vote:

AYES: Council Members Davis, Kalinowski, Conley, and Mayor Freitas.

NOES: None.

ABSENT: Council Member Simonsen.


CITY CLERK OF THE CITY OF ANTIOCH

**CITY OF ANTIOCH
TRAVEL AND EXPENSE POLICY
ELECTED AND APPOINTED OFFICIALS
ADOPTED AT 10/25/05 CITY COUNCIL MEETING
AND REVISED AT 4/25/06 CITY COUNCIL MEETING**

PURPOSE

This document establishes the expense and reimbursement policy for all Elected and Appointed (non-employee) Officials of the City of Antioch. As Elected Officials, individuals may incur expenses related to the execution of their duties and responsibilities. These expenses may include the following: personal vehicle use, communication needs (cell phones, internet, and personal phone lines, newspaper subscriptions), and conferences and meetings related to the City's interests. As to Appointed Officials on the Administrative Appeals Board, Design Review Board, Economic Development Commission, Parks and Recreation Commission, Planning Commission, Police Crime Prevention Commission and Investment Committee, there may be opportunities for individuals to attend educational seminars or meetings related to the City's interests as approved by the City Council. Therefore, this policy establishes procedures for requesting and receiving payment for expenses incurred while representing the City on official business.

ADOPTION AND IMPLEMENTATION

The Council is responsible for adopting the expense and reimbursement policy for Elected and Appointed Officials and for approving any subsequent policy revisions.

EXCEPTIONS

The City Council may approve exceptions to this policy on a case-by-case basis for special or unique circumstances.

I. PERSONAL VEHICLE USE

In recognition of the fact that Elected Officials may use their private vehicles while performing their duties, a monthly vehicle allowance will be provided, as allowed pursuant to California Government Code section 1223. In addition to expenses associated with direct use of a private vehicle, this allowance shall also cover related expenses such as bridge tolls and routine parking fees. In order to be eligible for reimbursement the allowance, Elected Officials shall annually provide proof of liability insurance to the City Clerk. The monthly cap on reimbursement of automobile expenses for personal vehicle usage shall be as follows: Mayor: \$450; Council Members: \$350; City Clerk: \$350; City Treasurer: \$350.

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II. COMMUNICATION EQUIPMENT AND SERVICES

In recognition of the fact that City Council members have a significant responsibility to stay in touch with their constituents and City management employees, reimbursement of communication equipment shall be allowed for cell phone service and equipment, internet service and equipment, local and long distance telephone and fax line service and equipment. Individual council members will be responsible for establishing their own communication service providers and all bills for such service will be paid by the individual. Expense reports shall be submitted on the City's form within 30 days of an expense being incurred. The monthly cap on reimbursement of communication equipment and services shall be as follows: Mayor \$100; Council Members \$50. Any communication service expenditures beyond that amount will be borne by the individual elected official.

III. MEMBERSHIPS

The City Council shall decide which groups to join as an entity, such as the League of California Cities or the Antioch Chamber of Commerce, through City Council action including the budget process. Individual memberships in groups by Elected or Appointed Officials shall be the personal expense of those individuals unless otherwise approved in advance by the City Council.

IV. LOCAL CITY EVENTS

Elected City Officials may be reimbursed for the cost of attending local events related to the City's business upon completion of an expense report and documentation of expenses. City funds shall not be used to purchase alcohol or reimburse Elected Officials for alcohol related costs, unless as part of a set price for the event that happens to include alcohol. If a guest accompanies an Elected Official, only the cost of the Elected Official will be reimbursed.

V. TRAVEL

In recognition of the fact that Elected Officials may need to represent the City at conferences and meetings and may incur expenses in the course of their travel, this policy establishes procedures for requesting and receiving payment for travel and travel-related expenditures. Appointed Officials must be specifically authorized by the City Council to attend educational seminars or other meetings in order to seek reimbursement.

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(A) PROCEDURE

The key document in the administrative process is the Travel Authorization/Warrant Request (TAWR). Besides ensuring that travel by Elected and Appointed Officials is conducted within this policy, the TAWR summarizes the total cost of attending conferences, meetings, and seminars and provides documentation for cash advances, vendor payments and credit card purchases. General instructions for completing and processing this form are provided in a separate document.

(B) AUTHORIZATION PROCESS

All travel by an Appointed Official shall be pre-approved by having the item placed on the City Council Consent Calendar. Overnight travel by an Elected Official, shall be pre-approved by having the item placed on the City Council Consent Calendar.

After travel, the Travel Authorization report must be finalized. Finance will review for receipts and policy compliance.

(C) METHODS OF REIMBURSEMENT

There are three ways to request and receive payment for travel and travel-related expenditures: (1) advance payment, (2) reimbursement for actual expenditures, and (3) credit card usage.

(1) Advance payments: Elected Officials may request a cash advance for meals. The advance will be within the IRS approved per diem rates for meals and incidental expenses (M&IE) for the location/area visited as listed in Publication 1542. The value of meals provided at conferences, training, or other travel programs will be deducted from the cash advance at the following rate:

Breakfast - \$10 Lunch - \$15 Dinner - \$25

Other items, such as conference registration, lodging, and air fare may be paid directly to the vendor in advance of travel.

Upon return from travel, all cash advances must be documented with original itemized receipts.

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(2) Reimbursement: Elected and Appointed Officials shall be reimbursed for all eligible expenditures upon return from travel for items that have original receipts. A Travel Authorization/Warrant Request with original receipts will be paid by Finance within the regular accounts payable time schedule. Reimbursement claims should be submitted within 30 days from the return from travel, and no reimbursements may be made that cross over fiscal years.

(3) Credit Card Usage: Elected and Appointed Officials may use personal credit cards to pay for travel expenses. Original receipts must be included with the Travel Authorization/Warrant Request to be eligible for reimbursement.

(D) ELIGIBLE EXPENDITURES

Meals and Incidental Expenses (M & IE)

- **Meals**: City funds shall not be used to purchase alcohol or reimburse Elected or Appointed Officials for alcohol related costs. Meal costs will be reimbursed as supported by original itemized receipts.

- **Personal Meals**: All expenditures must be documented and reimbursement will not exceed the meal schedule listed above.

- **Business Meals**: To qualify as a business meal, the identity of the participants and the business purpose of the discussion must be substantiated.

- **Incidental Expenses**: Those related to City business will be reimbursed at cost as supported by original receipts (e.g., tolls and taxi cabs).

In no event shall the reimbursement for meals and incidental expenses exceed the IRS approved per diem rates for the location visited as listed in Publication 1542.

- **Lodging**: The City will pay lodging expenses for Elected or Appointed Officials during official travel requiring one or more overnight stays. The City will pay for lodging for the evening preceding or subsequent to a meeting or business event when the Elected or Appointed Official would have to travel at unreasonably early or late hours to reach his or her destination.

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Elected or Appointed Officials shall make an effort to obtain lodging at or near the facility where official City business is to take place to minimize travel time and transportation costs. The City will pay only for standard single rooms for individual Elected Officials. If lodging is in connection with a conference, lodging expenses must not exceed the group rate published by the conference sponsor. If conference rates are not available, government rates must be requested. A list of hotels offering government rates in different areas of the country is available in the Finance Department. Lodging rates that are equal to or less than the government rates are presumed to be reasonable and hence reimbursable for purposes of this policy.

If a double room is requested by an Elected or Appointed Official because he or she is accompanied by a spouse or other person, the difference between the single and double room rate shall be considered the Elected or Appointed Official's personal expense.

Elected or Appointed Officials shall cancel any reservations for lodging they will not use. Any charge for an unused reservation shall be considered the Elected or Appointed Official's personal expense unless failure to cancel the reservation was due to circumstances beyond the Elected Official's control.

- **Personal Entertainment:** No reimbursement will be made for personal entertainment.

- **Guests:** If a guest accompanies an Elected or Appointed Official, only the cost of the Elected or Appointed Official will be reimbursed. All costs above a single person will be borne by the Elected or Appointed Official.

- **Discounts:** If offered early registrations should be obtained whenever possible.

- **Telephone/Internet:** The City will pay for all City-related business telephone calls or internet use by an Elected or Appointed Official while traveling on authorized City business. If approved prior to travel, the City may pay for personal internet use up to \$5.00 per day for authorized overnight business travel within California and up to \$10.00 per day for all other authorized overnight business travel.

- **Transportation:** All travel will be made by the method most cost effective for the City. Considerations such as time, distance traveled and cost of transportation should be factors in arriving at the lowest cost.

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Elected and Appointed Officials shall endeavor to book air travel to take advantage of discounts and nonrefundable ticket fares where practical. All flights shall be booked at coach class or equivalent level. Any additional costs incurred due to personal travel added on before or after the trip will be paid by the Elected or Appointed Official.

Elected and Appointed Officials are encouraged to use their personal vehicles as transportation to and from airports. If this is not possible, Elected or Appointed Officials shall be reimbursed for reasonable taxi fare, airport van, or other public transportation if available. If a personal vehicle is left at the airport for more than one day, parking will be reimbursed per day based on long term parking rates or other transportation to and from the airport, whichever is less. Parking will not be reimbursed at the short term parking rate.

The use of rental vehicles is discouraged and shall be authorized only when no other mode of transportation is available or when alternate transportation would be more expensive or impractical. Elected or Appointed Officials must understand that the City's vehicle insurance coverage does not cover the individual driver of a rental car. Therefore, the City Official shall confirm personal coverage under their personal insurance or purchase additional insurance from the rental agency at their own expense. Rental vehicles shall be driven only by Elected or Appointed Officials included on the car rental agreement.

VI. REPORTING OF EXPENDITURES

If the City reimburses an Elected or Appointed Official for attending a "meeting" as defined under the Brown Act¹, the Official shall provide a brief written or oral report regarding the "meeting" at the next regular meeting of the Council or applicable commission, board or committee to which the Official belongs. For other educational seminars or events for which expenses were reimbursed by the City, the Official may provide a brief written or oral report at the next regularly scheduled meeting of the Council or applicable commission, board or committee to which the Official belongs.

VII. ACKNOWLEDGEMENT: After being sworn in, Elected or Appointed Officials will be required to sign a statement formally acknowledging receipt and acceptance of this policy.

¹ The Brown Act (California Government Code section 54952.2) defines a meeting as including "any congregation of majority of the members of a legislative body at the same time and place to hear, discuss, or deliberate upon any item that is within the subject matter jurisdiction of the legislative body or the local agency to which it pertains."

CITY COUNCIL RESOLUTION NO. 9749

**RESOLUTION OF THE CITY OF BELMONT SPECIFYING OFFICIAL FUNCTIONS FOR WHICH
REIMBURSEMENT OF COSTS OF ATTENDANCE IS AUTHORIZED AND APPROVING A
REIMBURSEMENT POLICY**

WHEREAS, the City has adopted a policy specifying the procedures and policies for reimbursement of expenses.

WHEREAS, the Chapter 700 of the 2005 California Statutes requires the City to specify what official functions are subject to reimbursement for attendance costs for City officials if a function does not fit into the three narrow categories identified by the Legislature.

WHEREAS, the City takes its stewardship over the use of its limited public resources seriously.

WHEREAS, public resources should only be used when there is a substantial benefit to the City.

WHEREAS, such benefits include: 1) discussing the community's concerns with state and federal officials; 2) participating in regional, state and national organizations whose activities affect the City; 3) attending educational seminars designed to improve officials' skill and information levels; and 4) promoting public service and morale by recognizing such service.

WHEREAS, 1) legislative and other regional, state and federal agency business is frequently conducted over meals; 2) sharing a meal with regional, state and federal officials is frequently the best opportunity for a more extensive, focused and uninterrupted communication about the City's policy concerns; and 3) each meal expenditure must comply with the limits and reporting requirements of local, state and federal law.

WHEREAS, this policy provides guidance to elected and appointed officials on the use and expenditure of City resources, as well as the standards against which those expenditures will be measured.

WHEREAS, this policy supplements the definition of actual and necessary expenses for purposes of state laws relating to permissible uses of public resources.

WHEREAS, this policy also supplements the definition of necessary and reasonable expenses for purposes of federal and state income tax laws.

WHEREAS, this policy also applies to any charges made to a City credit card, cash advances or other line of credit.

WHEREAS, as an example, attendance at meetings and events of the following organizations are an integral part of service as a Councilmember for the City in representing the City's interests and hearing and learning about and sharing the far-reaching concerns of the community:

- Association of Bay Area Governments (ABAG)
- Belmont Chamber of Commerce
- California Legislature

- City/County Association of Governments (C/CAG)
- Cities Selection Committee
- Council of Cities (Council of Mayors)
- League of California Cities, both Peninsula Division and State
- League of Women Voters (North San Mateo County and South San Mateo County chapters)
- North County Council of Cities
- SAMCEDA
- San Mateo County Convention & Visitors Bureau
- San Mateo County Progress Seminar
- Neighborhood Association Meetings

WHEREAS, reimbursement of the costs of attendance at these events and meetings to City officials is appropriate and should be authorized, subject to available funds in the relevant budgets.

NOW, THEREFORE, BE IT RESOLVED that the City of Belmont does hereby resolve as follows:

Section 1. In addition to reimbursement for functions and activities specified in Chapter 700 of 2005 California Statutes, reimbursement for the costs of attendance by City officials at meetings and events of the above-enumerated and similar organizations is authorized and that all expense reimbursements shall be processed pursuant to and governed by the policy attached hereto as Exhibit A, Reimbursement Policy.

* * * * *

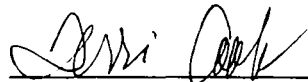
I hereby certify that the foregoing Resolution was duly and regularly passed and adopted by the City Council of the City of Belmont at a regular meeting thereof held on February 14, 2006 by the following vote:

AYES, COUNCILMEMBERS: Lieberman, Feierbach, Warden, Dickenson, Mathewson

NOES, COUNCILMEMBERS: None

ABSTAIN, COUNCILMEMBERS: None

ABSENT, COUNCILMEMBERS: None


CLERK of the City of Belmont

APPROVED:


MAYOR of the City of Belmont

EXHIBIT A

REIMBURSEMENT POLICY

As used herein, the term "City" shall mean the City Council of Belmont, the City of Belmont Redevelopment Agency, Planning Commission, Finance Commission, Park & Recreation Commission; the term "City official" shall mean the members of said agencies; and the term "days" shall mean calendar days.

AUTHORIZED EXPENSES

City funds, equipment, supplies (including letterhead), titles, and staff time must only be used for authorized City business. The following types of expenses generally constitute authorized expenses, as long as the other requirements of this policy are met:

1. Communicating with representatives of local, regional, state and national government on City adopted policy positions;
2. Attending educational seminars designed to improve City officials' skill and information levels;
3. Participating in regional, state and national organizations whose activities affect the City's interests;
4. Recognizing service to the City (for example, thanking a long-time employee with a retirement gift or celebration of nominal value and cost);
5. Attending City events;
6. Implementing a City-approved strategy for attracting or retaining businesses to the City, which will typically involve at least one staff member.

All other expenditures require prior approval by the City Council.

The following expenses also require prior City Council approval:

1. International and out-of-state travel; and
2. Expenses which exceed the annual budget established by the City Council for travel expenses.

Examples of personal expenses that the City will not reimburse include, but are not limited to:

1. The personal portion of any trip;
2. Political or charitable contributions or events;

3. Family expenses, including partner's expenses when accompanying official on agency-related business, as well as children- or pet-related expenses;
4. Entertainment expenses, including theater, movies (either in-room or at the theater), sporting events (including gym, massage and/or golf related expenses), or other cultural events;
5. Non-mileage personal automobile expenses, including repairs, traffic citations, insurance or gasoline; and
6. Personal losses incurred while on City business.

Any questions regarding the propriety of a particular type of expense should be resolved by the City Council before the expense is incurred.

COST CONTROL

To conserve City resources and keep expenses within community standards for City officials, expenditures should adhere to the following guidelines.

TRANSPORTATION

The most economical mode and class of transportation reasonably consistent with scheduling needs and cargo space requirements must be used, using the most direct and time-efficient route. In the event that a more expensive transportation form or route is used, the cost borne by the City will be limited to the cost of the most economical, direct, efficient and reasonable transportation form.

Automobile mileage is reimbursable at Internal Revenue Service rates presently in effect (*see* www.irs.gov). These rates are designed to compensate the driver for gasoline, insurance, maintenance, and other expenses associated with operating the vehicle. This amount does not include bridge and road tolls, which are also reimbursable.

LODGING

Lodging costs will be reimbursed or paid for when travel on official City business reasonably requires an overnight stay. If such lodging is in connection with a conference, lodging costs should not exceed the group rate published by the conference sponsor for the meeting in question. For overnight stays in other contexts, another helpful source of guidance is Internal Revenue Service per diem rates for lodging, which include adjustments for higher cost locations (*see* Publication 1542 at www.irs.gov or www.policyworks.gov/perdiem). The site also has references to hotels that have government rates at or below Internal Revenue Service per diem limits.

MEALS

Meal expenses and associated gratuities should be moderate, taking into account community standards and the prevailing restaurant costs of the area. A helpful source of guidance is Internal Revenue Service per diem rates for meals and incidental expenses, which include adjustments for higher cost locations (*see* Publication 1542 at www.irs.gov or www.policyworks.gov/perdiem).

The City will not pay for alcohol/personal bar expenses.

TELEPHONE/FAX/CELLULAR

City officials will be reimbursed for actual telephone and fax expenses incurred on City business. Telephone bills should identify which calls were made on City business. For cellular calls when the official has a particular number of minutes included in the official's plan, the official can identify the percentage of calls made on public business.

AIRPORT PARKING

Long-term parking should be used for travel exceeding 24-hours.

OTHER

Baggage handling fees of up to \$1 per bag and gratuities of up to 15 percent will be reimbursed. Expenses for which City officials receive reimbursement from another agency are not reimbursable.

CASH ADVANCE POLICY

From time to time, it may be necessary for an official to request a cash advance to cover anticipated expenses while traveling or doing business on the City's behalf. Such request for an advance should be submitted to the City Manager ten (10) days prior to the need for the advance with the following information:

- The purpose of the expenditure(s);
- The benefits of such expenditure to the residents of City;
- The anticipated amount of the expenditure(s) (for example, hotel rates, meal costs, and transportation expenses); and
- The dates of the expenditure(s).

Any unused advance must be returned to the City treasury within five (5) days of the official's return, along with an expense report and receipts documenting how the advance was used in compliance with this expense policy.

In the event the City Manager is uncertain as to whether a request complies with this policy, the City Manager shall seek resolution from the City Council.

CREDIT CARD USE POLICY

City does not issue credit cards to individual office holders but does have an agency credit card for selected City expenses. City office holders may use the City's credit card for such purposes as airline tickets and hotel reservations by following the same procedures for cash advances. Receipts documenting expenses incurred on the City credit card and compliance with this policy must be submitted within ten (10) business days of use.

City credit cards may not be used for personal expenses, even if the official subsequently reimburses the City.

EXPENSE REPORT CONTENT AND SUBMISSION DEADLINE

Expense reports must document that the expense in question met the requirements of the policy. For example, if the meeting is with a legislator, the City official should explain whose meals were purchased, what issues were discussed and how those relate to the City's adopted legislative positions and priorities.

City officials must submit their expense reports within thirty (30) days of an expense being incurred, accompanied by receipts documenting each expense. Restaurant receipts, in addition to any credit card receipts, are also part of the necessary documentation.

Inability to provide such documentation in a timely fashion may result in the expense being borne by the official.

AUDITS OF EXPENSE REPORTS

All expenses are subject to verification of compliance with this policy.

REPORTS TO GOVERNING BOARD

At the following meeting, each City official shall briefly report on meetings attended at City expense. If multiple officials attended, a joint report may be made.

COMPLIANCE WITH LAWS

City officials should keep in mind that some expenditures may be subject to reporting under the Political Reform Act and other laws. All agency expenditures are public records subject to disclosure under the Public Records Act and other laws.

VIOLATION OF THIS POLICY

Use of public resources or falsifying expense reports in violation of this policy may result in any

or all of the following: 1) loss of reimbursement privileges, 2) a demand for restitution to the City, 3) the City's reporting the expenses as income to the elected official to state and federal tax authorities, 4) civil penalties of up to \$1,000 per day and three times the value of the resources used, and 5) prosecution for misuse of public resources.



ADMINISTRATIVE POLICY

Number: III-2

Issued: Jan 24, 2002

Revised: 2/23/06, 9/10/09

Jurisdiction: City Council

EMPLOYEE & PUBLIC OFFICIALS EXPENSE REIMBURSEMENT & TRAVEL REGULATION

I PURPOSE

This regulation shall establish standards for the documentation, approval and payment of cash advances and reimbursements of expenses incurred for meals, room and travel by employees, elected officials and other persons who conduct City business; with the understanding that any such standards shall balance the City's fiduciary responsibility of managing public funds with the recognition of the need to provide transportation, lodging, and meals to employees and public officials as they pursue City business.

II POLICY

The City of Capitola recognizes that from time to time employees and Public Officials must either conduct the City's business during a mealtime, or must engage in the pursuit of City business that in turn may interfere with the normal mealtime of such persons. It is the policy of the City of Capitola to recognize this inconvenience by appropriately reimbursing or compensating those individuals as detailed below. In no case shall anyone be compensated under this policy beyond the direct cost of the meals, board or travel that complies with this policy, nor shall anyone contrive to conduct City business or to create the illusion of City business to enjoy the benefits of this policy. Compensation for meals, board or travel shall only be provided to those who comply with the procedures and criteria of this policy.

For the purposes of this policy Public Official means any elected official or appointed employee or volunteer working for the interests of the City of Capitola. This definition includes Council Members, Commissioners, committee members, regular employees, authorized volunteers, and others such as those who participate in oral boards and who assist the City in its business.

III PROCEDURES AND CRITERIA

Administration:

It shall be the responsibility of the City Manager to administer these procedures. The Finance Director shall assist the City Manager in the administration of this regulation, and the dissemination and review of forms, receipts, documentation and other information necessary to process and audit claims.

ADMINISTRATIVE POLICY

Employee & Public Officials Expense Reimbursement & Travel Regulations

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Expense Authorization:

By necessity, elected and appointed officials and public employees must sometimes attend meetings, conferences, enroll in training seminars and perform other official functions away from their normal place of work. It is the responsibility of the City Manager, or the Mayor in the case of the City Manager or the City Manager's designee to approve travel claims and related expenses prior to registration and/or out-of-area travel and to authorize cash advances and/or reimbursement for the costs incurred. Department heads are authorized to approve travel expense reimbursement for meetings, training, and similar events that do not exceed their budget appropriations. The City Manager can approve any such request for Council Members or other Public Officials for which travel is not identified in any specific budget.

Reimbursement:

Elected and appointed officials and public employees authorized to travel on official City business shall be reimbursed for actual and necessary expenses incurred for mileage, transportation, lodging and meals in addition to any regular compensation to which they are entitled; provided, however, that the maximum amount(s) that shall be reimbursed are as follows:

1. Transportation: The most economical mode and class of transportation reasonably consistent with scheduling needs and cargo space requirements must be used, using the most direct and time-efficient route. Government and group rates must be used when available.

Private Conveyance – See **Private Conveyance** section.

Airplane Travel – Actual cost of coach fare.

Carrier Services – actual costs for taxis, buses, public carriers or car rental.

Vehicle Parking – actual cost.

Payment for service received (tips) in conjunction with travel such as taxi or shuttle service is recognized as a legitimate and reasonable expense, and can be included in addition to the amounts herein but shall not exceed fifteen percent (15%) of the price of the travel service.

2. Lodging: Lodging expenses will be reimbursed or paid for when travel on official City business reasonably requires an overnight stay. Actual cost not to exceed \$120 per day or the single occupancy room rate, whichever is lower, plus applicable taxes. When the individual travels to attend a conference, seminar or similar event the maximum allowable reimbursement shall be the conference facility group room rate plus applicable taxes.
3. Meals: Meals will only be reimbursed for official travel requiring an overnight stay. Exceptions include: Police Officers attending P.O.S.T. Training will be reimbursed at the P.O.S.T. rate or for emergency meals. Exceptions also include attendance at an official standing meeting that has city wide or jurisdictional impact. Examples include AMBAG, League of California Cities, or a City Selection Committee meetings etc.

Individual Meals–	Breakfast	\$12.00
	Lunch	\$18.00
	Dinner	\$30.00

ADMINISTRATIVE POLICY

Employee & Public Officials Expense Reimbursement & Travel Regulations

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Advance approval by the City Manager or Mayor is required for meal maximums over the above amounts for high-cost travel destinations (e.g. New York City)

Payment for service received (tips) in conjunction with meals is recognized as a legitimate and reasonable expense, and can be added to the above amounts but shall not exceed fifteen percent (15%) of the price of the meal.

Alcoholic beverages are never an eligible expense.

Private Conveyance:

Employees using private means of conveyance such as their personal vehicle for authorized travel on official City business shall be reimbursed at the then-current IRS mileage rate, except for mileage outside Capitola and the Local Bay Area, in which case the amount reimbursed shall not exceed the lowest coach airfare on a scheduled commercial air carrier as may be reasonably determined by the City. Vehicle odometer readings are required to substantiate vehicle mileage. If odometer readings are not available internet map services such as Yahoo Maps can be used. Mileage shall be measured from Capitola City Hall or the Public Officials home address, whichever is less; unless the Public Official is required to be at City Hall prior to leaving, in which case the City Hall address shall be used to measure miles. When a personal conveyance is used to carpool employees, City Hall address shall be used. Bridge and road tolls are reimbursable expenses.

Advance of Money:

Individuals traveling on City business that involve an overnight stay may request a cash advance for the estimated travel and meal costs, excluding personal vehicle mileage. A written claim for cash advance shall be submitted to the Finance Director sufficiently early for the Finance Department to include the advance with regular check processing immediately prior to when the Public Official must leave. Advances cannot be made out of petty cash. Cash advances for travel and meal requests will be allowed only if adequate appropriations exist in the appropriate budget, and if the request has been signed by the department head and/or City Manager.

Individuals who accept cash advances shall, within ten (10) working days after his or her return from such trip, file with the Finance Director an itemized expense accounting together with proper receipts or other documentation, and shall pay to the City any unexpended balance of the advance.

Claims for All Expenses:

No travel or meal costs shall be reimbursed unless the claiming individual prepares and signs an itemized accounting of such expenses on the Statement of Expense form (attachment A), which shall have entered thereon and/or attached thereto, the following:

- a. Date of departure at commencement of travel, and date of return upon completion of travel.
- b. Date of arrival at and departure from each city or location at which City business was performed.

ADMINISTRATIVE POLICY

Employee & Public Officials Expense Reimbursement & Travel Regulations

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- c. Receipts for all expenditures for lodging and all other expenditures, including meals, in sufficient detail so as to establish the allowability of each element of the expense claimed. If for some reason a receipt is not available a memorandum from the individual attesting to the exact expense may be approved by the City Manager
- d. If unusual or unanticipated circumstances arise, the City Manager, or the Mayor in the case of the City Manager, can approve exceptions to this policy.

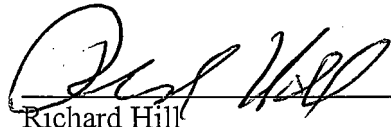
Unallowable Expenses:

Unauthorized expenditures, which shall never be reimbursed, include but are not limited to:

1. Alcoholic beverages
2. Expenses of a spouse or other companion
3. Personal entertainment
4. Theft, loss or damage to personal property
5. Barber, beauty, tailor, laundry & other similar personal services
6. Airline or other trip insurance
7. Personal postage, telephone calls or reading materials
8. Personal portion of any trip

Reports to City Council

Members of the City Council or any other public official subject to this policy shall provide a brief report on meetings attended at the expense of the local agency at the next regular meeting of the legislative body (Council, Planning Commission, etc...). Cal. Gov't Code Sect.53232.3(d). This report can either be written or oral.


Richard Hill
City Manager

A: Statement of Expense
RH/lgm

R:\Admin Policies\Travel policy.doc

CITY OF CAPITOLA - STATEMENT OF EXPENSES

*** Complete BLUE information. Do NOT Type in the YELLOW cells ***

NAME	DEPT	EXPENSE DATE (S)
PURPOSE OF EXPENSES CLAIMED		

SCHEDULE A - TRAVEL AND MEETING EXPENSES (itemize below in detail & attach receipts)

ITEM OF EXPENSE DATE	LIST DATES AND EXPENSES INCURRED BELOW							SCHEDULE
	SUN	MON	TUES	WED	THURS	FRI	SAT	TOTAL
TRANSPORTATION (attach receipts)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	\$ -
LODGING (attach receipts)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	\$ -
*MEALS (attach receipts) Maximum allowable amt.	Meals -- enter information in meal form @ right							
Breakfast \$12.00+ 15%tip	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Lunch \$18.00+ 15%tip	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Dinner \$30.00+ 15%tip	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
OTHER EXPENSES (listed below & Attach receipts)								\$ -
Telephone, Copy, Fax, etc..	0.00	0.00	0.00	0.00	0.00	0.00	0.00	\$ -
Parking Fees	0.00	0.00	0.00	0.00	0.00	0.00	0.00	\$ -
Cab, Bus, Total	0.00	0.00	0.00	0.00	0.00	0.00	0.00	\$ -
Other Toll Bridge	0.00	0.00	0.00	0.00	0.00	0.00	0.00	\$ -
TOTAL SCHEDULE A - TRAVEL & MEETING EXPENSES								\$ -

SCHEDULE B - MILEAGE ALLOWANCE - Privately Owned Automobile

DATE	ODOMETER METHOD			MAPQUEST MILES	Use Odometer Reading OR www.MapQuest.com (attach) PURPOSE and DESTINATION - enter below
	START #	END #	MILES		
	0	0			
	0	0			
	0	0			
	0	0			
	0	0			
	0	0			
			Total Miles		
			\$ 0.5500	\$ 0.5500	IRS Mileage Rate - per mile

TOTAL SCHEDULE B - MILEAGE ALLOWANCE

TOTAL AMOUNT CLAIMED (Schedules A & B)	\$ -
---	------

I certify that this claim is a true record of expenses incurred on official business for the City of Capitola during the above period.		CPT Approval (PD Only)	APPROVAL
Signature	Date:		
Date Submitted		Captain	City Manager/Dept. Head
Amount of Claim (A & B)	Less Advance --- provided to employee	Net Amt. Due/(Returned)	
\$ -		\$ -	

INSTRUCTIONS:

- *Meal Reimbursement: Complete the "Meals Reimbursement" worksheet located to right. Only for overnight travel -or POST reimbursable
- **IRS mileage rate <http://www.irs.gov/newsroom/article/0,,id=151226,00.html>
- 1. Complete form (only enter in BLUE cells -do NOT enter in YELLOW areas) , attach all receipt 2006 =\$ 0.445/mile
- 2. Upon audit and approval, reimbursement will be made payable in a check
- 3. Refer to Administrative Policy III-2 Employee and Public Official Expense Reimbursement & Travel Regulation for allowable expenses
- 4. Exceptions to the Policy require City Manager review and authorization
- 5. POST Police Academy Attendance - reimbursement per POST regulations

Accounts Payable Use:	\$ -	
Transportation: 4400.200 (air/car)	Meals: 4400.400	Mileage: 4400.200
Lodging: 4400.300	Other: 4400.500	GRAND TOTAL

CITY OF CAPITOLA - MEAL EXPENSE FORM

SIMPLE MEAL INSTRUCTIONSemployee please complete meal information in **BLUE** font

* Please note, "receipt amount" INCLUDES the tip paid.

[enter name here]									
NAME		[enter date here]		OTHER NOT ALLOWED			CALCULATIONS		
MEAL	MAX.	PLACE	RECEIPT AMT * INCLUDE TIP	TIPS	ALCOHOL		TIP MAX.	MEALS ONLY	REIMB. AMT
SUNDAY - DATE: [enter date here]									
Breakfast	\$ 12.00								
Lunch	\$ 18.00								
Dinner	\$ 30.00								
MONDAY - DATE: [enter date here]									
Breakfast	\$ 12.00								
Lunch	\$ 18.00								
Dinner	\$ 30.00								
TUESDAY - DATE: [enter date here]									
Breakfast	\$ 12.00								
Lunch	\$ 18.00								
Dinner	\$ 30.00								
WEDNESDAY - DATE: [enter date here]									
Breakfast	\$ 12.00								
Lunch	\$ 18.00								
Dinner	\$ 30.00								
THURSDAY - DATE: [enter date here]									
Breakfast	\$ 12.00								
Lunch	\$ 18.00								
Dinner	\$ 30.00								
FRIDAY - DATE: [enter date here]									
Breakfast	\$ 12.00	0							
Lunch	\$ 18.00								
Dinner	\$ 30.00								
SATURDAY - DATE: [enter date here]									
Breakfast	\$ 12.00								
Lunch	\$ 18.00								
Dinner	\$ 30.00								

TRAVEL AND EXPENSE REIMBURSEMENT POLICY FOR ELECTED AND APPOINTED OFFICIALS

The Mayor and City Council of the City of Colton believe that it is important that elected officials protect public resources and foster public trust in the use of those resources. Further, the Mayor and City Council believe that the public is best served by officials that remain informed and trained on issues affecting the affairs of the City and that attendance at institutes, hearings, meetings, conferences, or other gatherings is of value to the City and its citizens. The benefits include:

- The opportunity to discuss the community's concerns with regional, state, and federal officials;
- Participation in regional, state, and national organizations whose activities affect the City;
- Attending educational seminars improves officials' skill and information levels; and
- Promoting public service and morale by recognizing such service.

In order to promote these endeavors and comply with the spirit of state law requirements regarding reimbursement of expenses, the City Council of the City of Colton hereby sets forth this Travel and Expense Reimbursement Policy for the City of Colton's legislative body members.

SECTION 1. PURPOSE

The purpose of this policy is to establish policies governing the reimbursement of travel and other business expenses incurred during the conduct of official City of Colton business for legislative body members, hereafter referred to as "Officials". The Mayor and City Council members, as well as all appointed members of committees and commissions of the City that are subject to the Ralph M. Brown Act (G.C. § 54590 et seq.) are considered legislative bodies under Government Code (G.C. § 54952). This includes all committees and commissions whose members are appointed by the Mayor and City Council, pursuant to City Municipal Code (C.M.C. Title 2, Chapter 2.30)

SECTION 2. LIMITATIONS

Any amount exceeding the annual \$3,000 per elected or appointed Official limitation requires City Council approval prior to travel or commitment of City resources to travel. This annual limitation amount applies to travel costs only and does not include tuition or registration fees.

SECTION 3. RESPONSIBILITY

Government Code Section (G.C. § 36514.5) allows Officials to be reimbursed for actual and necessary expenses incurred in the performance of their official duties. It is the policy of the City of Colton to reimburse Officials for actual and necessary costs incurred as a result of representing the City of Colton, as long as the expenses are within the guidelines set forth in this policy. Expenses which are not approved or which are not in compliance with this policy shall be the Official's personal responsibility:

Reimbursable expenses are those which adhere to the guidelines outlined in this policy and where there is the expectation of deriving a current or future benefit for the City of Colton or the Official is actively engaged in representing the City of Colton in a business meeting or legislative activity.

For all travel related expenditures, each Official is expected to exercise prudent business judgement in incurring travel expenses and to obtain prior designee approval.

Officials shall, in accordance with Government Code Section 53232.3(d), provide a brief report on meetings or events attended at the expense of the City at the next regular meeting of the legislative body. If multiple Officials attend an event, a joint report may be made.

SECTION 4. AUTHORIZED ACTIVITIES

Travel, meals and lodging incurred in connection with the following types of activities set forth below constitute authorized expenses, as long as the other requirements of this Policy are fulfilled:

1. Communicating with representatives of local, regional, state and national government on City policy positions;
2. Attending educational seminars designed to improve officials' skill and information levels, provided that a brief report of such seminar shall be made by the Mayor and Council at a subsequent Council meeting;
3. Participating in local, regional, state and national organizations of cities whose activities affect the City's interests; or
4. Attending City events; or events sponsored by organizations or entities whose activities affect the City's interests where the primary purpose of the event is to discuss subjects which relate to City business.

SECTION 5. EXPENSES NOT ELIGIBLE FOR REIMBURSEMENT

In accordance with Government Code Section 53232.2(f), all expenses that do not fall within this adopted expense and reimbursement policy must be approved by the City Council, in a public meeting, before the expense is incurred.

Examples of personal expenses that the City will not reimburse include, but are not limited to:

- The personal portion of any trip;
- Political, religious, or charitable contributions or events;
- Family expenses, including additional expenses resulting when a spouse accompanies a legislative member on agency-related business, unless as part of a reasonable accommodation pursuant to the Americans with Disabilities Act or provided for in the Federal Code of Regulations Section 200.474(c) for Federal Awards as evidenced with reasonable documentation;
- Laundry and entertainment expenses, including theater, movies (either in-room or at the theater), sporting events (including gym, spa, and/or golf related expenses), or other cultural events;

- Expenses for alcoholic beverages, tobacco products, or illegal substances of any kind;
- Non-mileage personal automobile expenses, including repairs, traffic citations, insurance, or gasoline.
- Personal losses incurred while on City business.

SECTION 6. REIMBURSABLE EXPENSES

REGISTRATION

Registration for events representing the City should be limited to a maximum of a quorum of City Councilmembers, minus one. For instance, with a seven (7) member City Council, representation at any event covered by this policy should be limited to three (3) members. Members wishing to attend a training should provide advance notice to staff, and in the event that more than the maximum wish to attend an event, staff will coordinate with the Mayor and City Council, as needed, to determine which members will attend the event.

It is expected that conference, seminar, and/or training registration is booked in advance to avoid the need for reimbursement claims for this expense. Advance registration generally secures the best rates. The actual cost to register for a conference or training is reimbursable if it was not practical for staff to book the registration using the City's purchase card or direct check to the vendor. An invoice evidencing payment is required to reimburse registration expenses.

TRANSPORTATION

All travel on City business shall be planned to provide for the most economical mode and class of transportation reasonably consistent with scheduling needs and cargo space requirements using the most direct and time-efficient route. Reasonable efforts to ensure the most reasonable mode and class of transportation is used includes the consideration of ride sharing and use of City vehicles, as availability permits. Officials shall use government and/or group rates offered by a provider of transportation, when available. Receipts for actual expenses must be provided to obtain reimbursement. The following transportation modes may be utilized for the purpose of traveling on City business:

COMMERCIAL AIRLINE – All officials shall utilize coach or tourist class accommodations when traveling by commercial airline. Baggage fees should be factored in to assessing the most economical mode of transportation. Reservations, where possible should be made at least fourteen (14) or more days in advance to take advantage of all available discounts. Increased fees related to late booking may be disallowed without a sound reason. Officials may, at their own expense, upgrade their airline accommodations.

PERSONAL VEHICLE – Officials who use their personal vehicle for travel to and from designated places on City business outside the City will be reimbursed at the current IRS mileage reimbursement rate. For Officials who receive an automobile allowance, mileage is reimbursable if travel is beyond a fifty (50) mile radius one-way of Colton or the beginning destination, whichever is closer to the ending destination. Reimbursement is for miles in excess of the fifty-mile radius each way and will be in accordance with the mileage reimbursement rate established by the Internal Revenue Service.

Officials who do not receive a monthly auto allowance or usage of a City-owned vehicle shall be reimbursed for total round-trip miles. In the event an Official chooses a personal vehicle in lieu of air transportation, the reimbursement will be limited to the lesser of the current mileage reimbursement rate or the least expensive cost of air transportation.

PUBLIC TRANSPORTATION – Officials are encouraged to use public transit whenever feasible, and determination of the reasonableness of the transportation used will be based on the availability, usability, and itinerary. Bus, train, or other methods of public transportation will be authorized for circumstances which indicate such modes are more appropriate and economical than other modes of transportation.

VEHICLE RENTALS, TRANSIT FARE, TAXIS, AND SHUTTLES – Out of town transportation may be authorized where reasonable and necessary to conduct City business. Receipts must be provided to obtain reimbursement. Tips for shuttle and fare service up to 20% will be reimbursed with a receipt evidencing the tip. When vehicle rental is chosen over taxi or shuttle service, there must be a compelling business reason or economic benefit to support the rental decision. If rental vehicle charges are subsequently denied, the related parking fees will also be denied and the official will be reimbursed only the round trip shuttle charges.

Parking expenses necessary for parking and storage of personal or City vehicles at a hotel, parking facility, or airport lot may be reimbursed during the time the Official is on approved travel. Receipts for actual expenses must be provided to obtain reimbursement. Valet parking expenses in excess of the normal parking rate shall not be reimbursed unless the Official can demonstrate that no other reasonable alternative existed.

LODGING

Every attempt should be made to attend training within reasonable proximity to the City of Colton. Lodging expenses will be reimbursed or paid for when travel on official city business reasonably requires an overnight stay and is within the following limitations:

LOCAL ACCOMMODATIONS – Except when necessary and where approved in advance by the City Council at a publically noticed meeting, Officials shall not be reimbursed for hotel expenditures incurred for events occurring within a fifty (50) mile radius of City Hall except where the event begins before 8 a.m. or ends after 6 p.m. Under no circumstances will an Official be reimbursed for hotel expenses incurred for events occurring within a twenty-five (25) mile radius of City Hall.

NON-LOCAL ACCOMMODATIONS – Officials traveling outside a fifty (50) mile radius of City Hall shall be reimbursed the reasonable cost of the lodging. Reimbursable days for lodging shall be limited to the days of the conference or event, unless herein provided. In the event travel time exceeds two hours or requires a flight, lodging the night before or the night after the conference or event is reimbursable.

If lodging is in connection with a conference, lodging expenses must not exceed the group rate published by the conference sponsor for the meeting in question, if such rate is available at the time of booking. Travelers must request government rates, when available. In the event conference or government rates are not available, lodging expenses shall be reimbursed subject to the maximum per diem lodging rate as set by the U.S. General Services Administration. The current rates are available on the GSA website:

https://www.gsa.gov/node/86696?contentId=17943&contentType=GSA_BASIC

When making lodging reservations, be prudent to ask about exemptions from the local transient occupancy tax (TOT). Some cities exempt travelers on City business, while others do not. The City will provide a transient occupancy tax exemption certificate if the host city permits such an exemption and requires backup documentation.

Lodging expenses are limited to the cost of the room plus related taxes, if applicable.

MEALS AND INCIDENTAL EXPENSES

Officials traveling on official City business shall be entitled to reimbursement of actual expenses incurred for meals, including gratuity, and the daily incidental rate in accordance with the maximum Meal and Incidental Expense Rate established by the U.S. General Services Administration for that location.

The current rates are available on the GSA website:

https://www.gsa.gov/node/86696?contentId=17943&contentType=GSA_BASIC

No meal reimbursement will be provided when a meal is included in the conference or training cost. No meal reimbursement will be provided when a complimentary meal is provided with lodging expenses.

SECTION 7. CITY PREPAYMENT AND CANCELLATIONS

The City does not issue credit cards to individual local agency Officials, but the City Manager may authorize staff to utilize City-issued credit cards to pre-pay the following types of travel expenses: conference or event registrations, airfare, bus or train tickets, and lodging expenses for Officials.

OFFICIAL'S RESPONSIBILITY FOR NO-SHOWS AND LATE CANCELLATIONS

If the City has prepaid an Official's expenses and the Official is unable to attend a planned trip or event, it is the Official's responsibility to:

1. Arrange for an alternate Official or City Manager approved staff member to attend in the Official's absence; or
2. Ensure any prepaid and/or credit card fees are refunded within thirty (30) days of the unattended event to the City.

For any fees not fully refunded, the Official shall provide the City Attorney with a written explanation within thirty (30) days of the unattended event addressing the reason(s) he or she was unable (ex. unexpected illness, injury or death in the family, etc.) to attend. The City Attorney will determine whether the reason(s) given for the failure to attend complies with this policy. If it is determined that the reason(s) given do not comply with this policy, the Official shall promptly refund the City any un-refunded amounts. Failure of the Official to provide a written explanation addressing the reason(s) he or she was unable to attend the event and/or to refund the City for any prepaid and/or credit cards fees, may result in the fees being deducted from the Officials' compensation, salary or stipend.

SECTION 8. REIMBURSEMENT REQUESTS

Officials shall submit requests for reimbursement using a Claim for Reimbursement and Expense Report within forty-five (45) days of travel. Reimbursement requests shall be accompanied by the itemized receipts necessary to meet this policy for expenditure of public resources. Documentation required includes, but is not limited to:

- a. Credit card, bank statement, cancelled check, and/or cash payment receipts
- b. Itemized meal, hotel, transportation, and other expense receipts
- c. Conference registration
- d. Meeting agenda or conference itinerary
- e. Business purpose of travel
- f. Any other documentation required to evidence reimbursement as outlined in the policy (i.e. mileage verification, GSA rates for travel destination, evidence of pre-conference registrations, etc.)

All expenses are subject to verification that they comply with this policy. The information submitted in the Reimbursement Requests is a public record.



ADMINISTRATIVE POLICY

Title: Travel & Other Expense Reimbursement Policy					
Administered By: Administrative Services (Finance)					
Policy No.	Issue Date	Revision Date	Dept. Head Approved	City Manager Approved	Mayor Approved
01200.001	10-00 (12-16-15)	03-07-18	DocuSigned by: Kerry D. Eden	DocuSigned by: Darrell Talbert	DocuSigned by: Karen Spiegel

The City of Corona ("City") from time to time allows its employees and officials to attend conferences, seminars and meetings to enhance the understanding of their duties, responsibilities, and professional development. The guidelines set forth below constitute an "accountable expense reimbursement plan" and meet the three basic requirements under Internal Revenue Code (IRC) Section 62(c) ("IRS Accountable Plan"). This policy is applicable to all City employees ("City Employees"), the City's elected officials, and those appointed officials who are members of legislative bodies (as defined by Government Code Section 54952) (collectively, "City Officials") when they travel on behalf of the City or otherwise seek payment or reimbursement for actual and necessary expenses incurred in the performance of their official duties.

This policy is in compliance with the requirements of California Government Code sections 53232.2 and 53232.3, pertaining to travel and reimbursement policies for City officials (AB 1234).

These guidelines are organized into the following sections:

- General standards
- Planning an official trip to an event or activity
- Paying and reporting travel expenses
- Making the trip to an event or activity
- Accounting for expenses

GENERAL STANDARDS

All arrangements should be made on the basis of the most reasonable and appropriate method and rate. The City Employee or City Official is responsible for exercising good judgment in requesting, arranging, and making the trip to an event or activity. Personal matters must not be mixed with official business if it will increase the cost to the City in terms of dollars or lost time, or if it will otherwise harm the City's interests in any way.

Authorized expenses

The City will pay or City Employees and City Officials will be reimbursed for their actual and necessary expenses incurred in the performance of the official duties for their position, provided that reimbursement shall always be at the lesser of the actual cost or the current Internal Revenue Service ("IRS") rates, unless otherwise approved by the City Council in advance or otherwise provided herein.

Expenses incurred in connection with the following types of events or activities will generally be authorized for payment or reimbursement:

- 1) Communicating with representatives of regional, state, national and international government on City policy positions.
- 2) Attending educational seminars, conferences, or activities designed to improve skills and information levels.
- 3) Participating in regional, state, national and international organizations whose activities affect the City's interests.
- 4) Activities that involve either: (1) City Employees or City Officials attending as a representative of the City events, including charitable events, which are sponsored, co-sponsored or organized by the City; or (2) City Employees, as part of their City job duties or responsibilities, organizing or assisting with the management or operation of events, including charitable events, which are sponsored, co-sponsored or organized by the City. To assist in the processing of payment or reimbursement requests, the Administrative Services Department will maintain a recommended list of such events, which shall include events that the City has agreed to organize, support or subsidize in some way, either by action of the City Council, Public Services Committee, or another standing City Council committee. Any City Official or City Employee can request that an event be added to the list. If the Department Director believes the event could be considered to be sponsored, co-sponsored or organized by the City, it can be added to the list, but final approval authority for a particular event shall rest with the person or body charged with approving the expenditure in compliance with this Policy, as provided for in the "Approving Expenses" section of this Policy.

- 5) Meetings with consultants, professionals, constituents, applicants or other private or governmental entities or agencies, which are necessary for the performance of their position.
- 6) Mileage reimbursement for round-trip commutes (from home to work location and back) while on standby duty.
- 7) For City Officials, mileage reimbursement for: (1) attending, as an invited representative of the City by a business, ground-breaking, grand opening or other ceremonial events, held in the state and open to the public, for the business if it already has a facility located in the City (limited to 10 such events per business per fiscal year); (2) attending, as an invited representative of the City by a regional, state, national or international government agency, ceremonial events held in the state by such government agency; (3) attending, as an invited representative of the City by a charity, charitable events held in the City; and (4) round-trip commutes (from home to a city facility and back) when attending a meeting of their legislative body or participating in another event or activity for which expenses are payable or reimbursable as described in this policy.

Unauthorized expenses

Expenses incurred in connection with the following types of events or activities will not be authorized for payment or reimbursed:

- 1) Personal portion of the trip, including expenses incurred for family member(s), friends and/or pets who accompany the City Employee or City Official on City business.
- 2) Political contributions or events.
- 3) Charitable contributions.
- 4) Except for mileage reimbursement for City Officials, as noted above, attending charitable events not sponsored, co-sponsored or organized by the City.
- 5) Entertainment expenses not directly required as part of attending a meeting/conference, including theater, movies (either in-room or at the theater), sporting events (including gym, massage and/or golf-related expenses), or other cultural events. However, where the City is acting in a host capacity, those host-related expenses, including entertainment expenses and meals, may be paid or reimbursed with prior approval. For City Employees, the City Manager or Administrative Services Director may approve exceptions on a case-by-case basis. For City Officials, exceptions may be approved by the City Council on a case-by-case basis.

- 6) Personal automobile expenses, including traffic citations, other than mileage and toll charges that are otherwise payable or reimbursable under this policy.
- 7) Personal losses incurred while on City business.
- 8) Expenses for alcoholic beverages are not authorized for payment or reimbursable, unless an exception is approved in advance. For City Employees, the City Manager or Administrative Services Director may approve exceptions on a case-by-case basis. For City Officials, exceptions may be approved by the City Council on a case-by-case basis.
- 9) Expenses for trips involving an overnight stay or airfare by City Officials or City Employees, unless approved in advance as required by the "Planning a Trip to an Event or Activity" section of this policy.
- 10) Mileage or other expenses incurred when representing the City on a regional board, commission or other agency (e.g. WRCOG, RCTC, etc.) when such board, commission or agency allows for the payment or reimbursement by them of such mileage or other expenses.

These guidelines are not intended to address every issue, exception, or contingency that may arise in the course of City travel or performance of official duties. Accordingly, the basic standard that should always prevail is to exercise good judgment in the use and stewardship of the City's resources. Any questions regarding the propriety of a particular type of expense should be resolved with the Administrative Services Director or, in the case of City Officials, with the City Council, before the expense is incurred. Specific issues not covered in this policy may be directed to the Administrative Services Director or, in the case of City Officials, the City Council.

City Officials please also note: Expenses that do not fall within the scope of this policy, and for which payment or reimbursement will be requested, must be approved by the City Council in a public meeting before the expense is incurred. Also, this policy does not address compensation paid to City Council members, which is governed by Section 2.08.120 of the Corona Municipal Code.

PLANNING A TRIP TO AN EVENT OR ACTIVITY

Prior to the Trip

CITY EMPLOYEES: When requesting to travel either overnight or via airplane, City Employees must request advance approval from the City Manager or his or her designee, using the City Employee Advance Travel Request form or similar form approved by the Administrative Services Department. Approval must be obtained prior to incurring any non-refundable expenses for the trip, including, but not limited to, event registration and flight or hotel reservations.

CITY OFFICIALS: When requesting to travel either overnight or via airplane, City Officials must request advance approval from the City Council, using the City Official Advance Travel Request form or similar form approved by the Administrative Services Department. Notwithstanding the foregoing, if the Mayor determines that last minute City Official travel is necessary and appropriate and that the City Council agenda deadlines cannot be met prior to the trip or prior to the need to incur a non-refundable expense, the Mayor shall have the authority to approve the advance travel request form up to a maximum of \$1,000 for the entire trip. Approval must be obtained prior to incurring any non-refundable expenses for the trip, including, but not limited to, event registration and flight or hotel reservations. In the event the Mayor approves an advance travel request form, such approval shall be reported to the City Council at the next available City Council meeting.

The Advance Travel Request forms can be found on the Infoweb, under Templates, in the Administrative Services – Finance folder.

Method of travel

When planning the transportation portion of a trip, all aspects of cost to the City, such as daily expenses, overtime, lost work time, as well as actual transportation costs must be considered. In general, common carrier (bus, train, or plane) is the preferred mode of transportation and these costs will be paid or reimbursed, as provided in this policy.

Approved air travel will only be paid or reimbursed at the coach class rate. Published government or group rates shall be used whenever available at the time of booking. Whenever practical, City vehicles, as defined in the City's Vehicle Use Safety and Procedures Policy (200.47) ("Vehicle Policy"), shall be used for travel, provided that City Employees and City Officials shall comply with the Vehicle Policy in order to use a City vehicle, and provided further that, unless an exception is approved in advance by the City Manager, City Employees who receive an auto allowance shall use their personal vehicle while conducting City business and no additional payment or reimbursement shall be provided for the use of their personal vehicle. The City Manager may approve such an exception, including for himself or herself, in those limited cases where it is not practical to use the City Employee's personal vehicle for the purposes contemplated.

A City Employee may submit a request to use a City credit card for the purchase of gasoline for a City vehicle. A City Employee's request must be approved by the employee's Department Director or the City Manager.

If a City vehicle is not available, or if there are other reasons a personal vehicle is driven, the City shall pay or reimburse either the cost of the most inexpensive means of transportation, or the actual mileage driven, whichever is less; provided, however, as discussed above, City Employees receiving a monthly auto allowance shall not have

their automobile transportation paid for and shall not be reimbursed for mileage when driving their personal vehicle.

When a City Employee is driving from home and the employee is being paid to work during the travel period, the reimbursable mileage is the actual mileage less the employee's normal commute to work with the exception of employees who are actively on standby duty. Normal commute is defined as the round trip mileage between the employee's residence and the employee's work location. If the actual mileage is less than the employee's normal commute, there is no reimbursement. The mileage rate is the Standard Federal Mileage Rate set by the IRS.

The most recent mileage rate can be found on the Infoweb, under the Reference Library, in the Administrative Services – Finance folder.

When a City Employee is actively on standby duty and is required to respond to a call which requires them to commute from the employee's residence to the employee's work location and back, the employee may be reimbursed for actual mileage. This item strictly applies to City Employees listed on the official standby list (for call outs after hours, during weekends and holidays), who are "active" during rotation, and are required to utilize their personal vehicle to travel from home to work and back in order to physically respond to the task(s) for which they are being called out. The standby mileage reimbursement is taxable under the IRC and will be reported on the employee's W-2.

To drive a personal vehicle on City business, the City Employee or City Official must:

- Possess a valid California driver's license;
- Carry liability insurance as required by the State of California; and
- Realize that any damage to their personal vehicle and/or service or repair occurring on the trip will be their responsibility, as these costs are included in the City's mileage reimbursement and/or auto allowance.

If transportation is needed at the destination, the use of public transit such as buses, streetcars, and subways are preferred when safe and practical. Taxi, Uber, Lyft and other ride-sharing service fares are allowable when public transit is not available or not practical. Receipts are required for payment or reimbursement on all transportation costs.

Compensation for travel time

When travel time exceeds the normal workweek, the City's rules for overtime apply to those City Employees eligible for overtime pursuant to applicable state and federal laws or as outlined in the various MOU's. In determining overtime compensation, normal commute time between the employee's residence and the employee's work location should be deducted from the total travel time. Additionally, normal unpaid meal periods

are not considered work time while traveling. Overtime eligibility applies equally to drivers and passengers, and should be granted whether the travel occurs during normal workdays or on weekends or evenings. City Officials are not compensated for travel time.

Lodging

Lodging may be approved for attendance at conferences, seminars or meetings that are in excess of 65 miles or one hour of one-way travel, between the meeting/conference location and the City Employee or City Official's work location or residence, whichever is closer. On a case-by-case basis, the City Manager may also approve, in his or her sole discretion, lodging for conferences, seminars or meetings that are located at a closer distance, if the Administrative Services Director is able to reasonably substantiate that paying for lodging is the most economically beneficial alternative for the City.

All lodging must be approved in advance as required by the "Planning a Trip to an Event or Activity" section of this policy.

Reasonable lodging expense will be paid at actual cost (including taxes and parking) for as many nights as necessary, provided that lodging was pre-approved, and the rates do not exceed the current rates established by the U.S. General Services Administration ("GSA"). If lodging is in connection with a conference or other organized activity, lodging costs shall not exceed the maximum group rate published by the conference or activity sponsor if such rate is available at the time of booking. The accommodations used should be economical and practical. In general, the most reasonably priced accommodations should be selected. Room service charges up to the current IRS per diem rate will be paid or reimbursed provided that such charges are City business related, otherwise permitted by this policy and substantiated with itemized receipts.

When making lodging reservations, "government rate" should be requested. Some cities exempt travelers on government business from the local transient occupancy tax (TOT). This can be as high as 12-15% savings on lodging costs depending on the local TOT rate.

PAYING AND REPORTING TRAVEL EXPENSES

Method of payment

The City will pay all actual and necessary expenses incurred in the performance of official duties as described in this policy. Expenses which the City will pay include transportation, lodging, registration fees, meals, and any other related expenses if they are for official business and fit within these guidelines.

There are three ways to pay for travel expenses: City credit card, direct vendor payment, and reimbursement.

A City credit card is the preferred method of paying expenses incurred in the performance of official duties. City Employees may use their City issued credit card, if applicable, or check out a department card while traveling on City business. Although City Officials are not issued credit cards, the Assistant to the City Manager maintains a credit card which can only be used to make authorized purchases for City Officials. All expenses charged on a City credit card must be substantiated with itemized receipts and reported pursuant to the procedure set forth below.

Direct vendor payments are made to an organization or business for specific costs related to official business. These types of expenses are usually for registration fees and lodging. Instead of paying with City credit card, the Administrative Services Department can pay the vendor directly. For direct vendor payments, a claim form with event and cost information and other appropriate supporting documentation must be submitted to the Finance Division for processing at least two weeks prior to incurring the expense.

Reimbursement occurs when expenses incurred in the performance of official duties are paid for by the City Employee or City Official, and reimbursement is requested after the fact. All expenses for which reimbursement is requested must be substantiated with itemized receipts and reported pursuant to the procedure set forth below.

Report travel expenses

Within 15 days of incurring any expenses in the performance of official duties, City Employees and City Officials shall report such expenses to the Administrative Services Department. Additional time may be authorized if deemed reasonable by the Administrative Services Director. Various forms can be used for reporting travel expenses, including claim forms, petty cash receipt forms (for claims under \$100), and monthly credit card statements with transaction details. A "Travel and Expense Reimbursement Form" can also be used for reporting expenses for multi-day travel by itemizing daily expenses. This form along with the claim form and petty cash receipt form can be found in the Administrative Services - Finance folder on the Infoweb, under Templates.

Regardless of the different types of forms used to report expenses, all expenses are required to be substantiated with proper support, including but not limited to itemized receipts, invoices, or hotel folio. For mileage reimbursement, documentation of miles traveled shall be provided in a method approved by the Administrative Services Department, which methods may include proven application for a computer, cell phone, tablet or other electronic device.

The City Employee or City Official requesting payment of the expenses and the official approving such expenses are each responsible for ensuring that:

- All expenses are reasonable, necessary, and consistent with this policy.
- Sufficient supporting documents are attached.
- The amounts reported are correct.

MAKING THE TRIP TO AN EVENT OR ACTIVITY

There are two key rules about making an official trip:

- Keep it official.
- Keep records for all payable or reimbursable expenses.

Keeping it official

Expenses incurred for personal matters will not be paid or reimbursed. If time is taken away from official business for personal matters, or if the return is delayed after completion of the event to attend to personal matters, any expenses incurred for such personal matters will not be paid or reimbursed. If a City Employee desires to combine business and personal travel in this manner, the written approval of the City Employee's Department Director, or the City Manager if the City Employee is a Department Director, is required prior to making travel arrangements. A City Official does not need to obtain prior approval before combining business and personal travel in this manner, but once again no expenses incurred for such personal matters will be paid or reimbursed. For City Employees, if the extended period required for personal matters occurs during regular scheduled work hours, the time must be counted as annual leave or leave without pay.

Keeping records for all payable or reimbursable expenses

As discussed below, under "Accounting for Expenses", a detailed record of all payable or reimbursable expenses incurred in the performance of official duties must be maintained and submitted. These include meals, transportation, lodging, parking fees, registration fees, and any other actual and necessary expenses.

Meal payments or reimbursements

Attendance at Business Meetings

The City will pay or City Officials and City Employees shall be reimbursed for the actual and reasonable expense for any meals incurred in connection with the following:

- 1) Communicating with representatives of regional, state, national and international government on City policy positions.
- 2) Participating in regional, state, national and international organizations whose activities affect the City's interests.

- 3) Meetings with consultants, professionals, constituents, applicants or other private or governmental entities or agencies, which are necessary for the performance of their position.

The IRS approved rates published by the US General Services Administration ("GSA Per Diem Rates") shall be considered reasonable. Meal expenses exceeding the GSA Per Diem Rates shall be paid by the City Employee or City Official.

PLEASE NOTE: The GSA Per Diem Rates will be applied on a meal-by-meal basis and will not be aggregated to a daily or trip amount.

The GSA Per Diem Rates vary depending on the specific locality where the expenses are incurred. The current effective domestic per diem rates can be accessed from the GSA's website at www.gsa.gov. The Administrative Services Department can assist you in determining the correct GSA Per Diem Rate based on the location where your expenses will be incurred and in accordance with federal regulations.

Attendance at Conferences and Seminars

The City will pay or City Officials and City Employees shall be reimbursed for the actual cost of the meals incurred in connection with attending educational seminars, conferences, or activities designed to improve skills and information levels up to the current GSA Per Diem Rates. Itemized receipts are required for payment or reimbursement.

Guidelines for meal payments or reimbursements:

- If meals are provided without charge at a conference or while in transit (meals served on a plane), no payment or reimbursement will be allowed unless the Department Director approves of the City Employee (or the City Manager approves if the City Employee is a Department Director) obtaining meals outside the conference or other than as part of a pre-paid meal while in transit. Payment or reimbursement will be made for actual and reasonable expenses that are substantiated with itemized receipts up to the GSA Per Diem Rates. No payment or reimbursement will be made without receipts.
- Meal payment or reimbursement does not include meals eaten prior to or after a trip. If travel on City business does not require a full 24-hour day, only meals that are required as part of the trip, as determined by the Department Director will be paid or reimbursed. As a general guideline, if a City Employee is being paid to work on the day that the expense is incurred, payment or reimbursement will not be provided for expenses incurred for meals that would typically be eaten before the City Official or City Employee normally leaves his or her home for work or expenses incurred for meals that would typically be eaten after the City Official or City Employee normally arrives home from work.

- If requesting a meal payment or reimbursement for a guest, the City Employee or City Official must include the name and business relationship of the guest to substantiate the expense. Only actual and necessary expenses incurred in the performance of official duties will be paid or reimbursed. Meal expenses of family members or those with a personal relationship with the City Official or City Employee will not be paid or reimbursed, unless a separate and defined business relationship is established and only if such payment or reimbursement is not prohibited by any other applicable laws, rules or regulations.

PLEASE NOTE: The GSA Per Diem Rates will be applied on a meal-by-meal basis and will not be aggregated to a daily or trip amount.

Taxation and reporting requirements regarding meals in reference to IRC Section 132(a):

- Payment or reimbursement for meals that are not included as part of an all-day conference when overnight stay is not required is taxable and reported on the City Employee's or City Official's form W-2.
- Payment or reimbursement for meals in connection with a conference that requires overnight stay is nontaxable.
- Payment or reimbursement for meals in connection with business meetings is considered to be business entertainment and is nontaxable.

It is the responsibility of the City Employee or City Official to note on all meal payment or reimbursement claims whether the payment or reimbursement is taxable or nontaxable according to the guidelines listed above.

ACCOUNTING FOR EXPENSES

In general and except as otherwise provided herein, expenses paid or reimbursed under an IRS Accountable Plan (defined on Page 1), such as this policy, are not considered income to the City Employee or City Official for federal income tax purposes. An IRS Accountable Plan is a reimbursement or other expense allowance arrangement that satisfies three basic requirements: a business connection, substantiation, and return of excess amounts. The requirements of an IRS Accountable Plan are applied on a case-by-case basis. If these requirements are not met, payment to an employee becomes a taxable earning and is reported on the employee's form W-2. For City Officials, a non-compliant payment is prohibited. Therefore, it is crucial that all City Employees and City Officials adhere to the requirements outlined in this policy.

Administrative Policy 01200.001 (Rev. 03-07-18)
Travel & Other Expense Reimbursement Policy
Administered by Administrative Services
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APPROVING EXPENSES

CITY EMPLOYEES: All expense payments and reimbursements shall be approved by the employee's department director and the Administrative Services Director. In addition, City Manager or City Council approval shall be obtained where required under this policy, including, but not limited to, pre-approval as required by the "Planning a Trip to an Event or Activity" section of this policy.

CITY OFFICIALS: All expense reimbursements for City Officials shall be approved by the City Council. In addition to the reporting obligations required by AB 1234 and discussed below, all City Official expense payments and reimbursements involving trips or other events for which pre-approval is required by the "Planning a Trip to an Event or Activity" section of this policy shall be approved by the City Council.

AB 1234 REPORTING FOR OFFICIALS WHO ARE MEMBERS OF A LEGISLATIVE BODY

At their next regular meeting, each City Official shall provide a brief report, either orally or in writing, on any meeting, event or activity attended at the City's expense. If more than one member attends the same meeting, event or activity, the members or the presiding official may designate one attendee to give the report and indicate those who attended, but the other attendees will be permitted to report as well.

This policy in no way supersedes or overrides the authority and/or limits of any other City policy or procedure, but works in conjunction. Likewise, no other policy or procedure supersedes or overrides the authority and/or limits of this policy.

CITY OF DUARTE

REIMBURSEMENT FOR EXPENSES POLICY STATEMENT

(Approved/Adopted May 9, 2006)

(Amended June 27, 2017)

1. PURPOSE

To define the general policy and procedures of the City of Duarte regarding City reimbursement for expenses incurred while performing City business or representing the City of Duarte.

2. GENERAL POLICY STATEMENT

A. All expenditures must be reasonable, actual, authorized, and necessary for the substantial benefit to the City of Duarte. Such benefits include:

1. The opportunity to discuss the community's concerns with government officials;
2. Participating in regional, state and national organizations whose activities affect the City of Duarte;
3. Attending educational seminars designed to improve individuals' skill and information levels; and
4. Promoting public service at city sponsored events.

B. City funds, equipment, supplies (including letterhead), and staff time must only be used for authorized City business. Expenses incurred in connection with the following types of activities generally constitute authorized expenses, as long as the other requirements of this policy are met:

1. Communicating with representatives of regional, state and national government on City adopted policy positions;
2. Attending educational seminars designed to improve individuals' skill, networking, and information levels;
3. Participating in regional, state and national organizations whose activities inform or affect the City's interests;
4. Attending City events and;
5. Implementing a City-approved strategy for attracting or retaining businesses to the City, which will typically involve at least one staff member.

C. All other expenditures require prior approval by the City Council.

D. The following expenses also require prior City Council approval:

1. International travel; and

2. Expenses, which exceed the annual limits, established for each office holder.
- E. Examples of personal expenses that the City will NOT reimburse include, but are not limited to:
1. The personal portion of any trip;
 2. Political or charitable contributions or events;
 3. Family expenses, including partner's expenses when accompanying individual on agency-related business, as well as children- or pet-related expenses;
 4. Entertainment expenses, including theater, movies (either in-room or at the theater), sporting events (including gym, massage and/or golf related expenses), or other cultural events;
 5. Personal automobile expenses apart from the pro-rata share of such expenses attributed to City-related activities, reflected in the optional monthly vehicle allowance ; and
 6. Personal losses incurred while on City business.

Any questions regarding the propriety of a particular type of expense should be resolved by the City Council before the expense is incurred.

3. REVIEW AND APPROVAL AUTHORITY

The City Manager or his/her designee is responsible for the specific review of all advance and expense reimbursement requests to assure adherence to this Policy. As a result, all expense reimbursement forms must first be submitted to the City Manager or his/her designee for review. After review, City Council member's and/or City Manager's statements will be submitted to the City Council for final approval. All other statements require final approval by the City Manager or his/her designee.

4. ADVANCES

- A. Individuals attending meetings or traveling on official City business may request the advance of funds for conference registration, meals, lodging, travel expenses, and other reimbursable expenses.
- B. Requests for advances must be received in writing by the City Manager a minimum of seven (7) working days prior to the date needed. The City Manager may waive the time constraint if deemed necessary. The request for the advance should be submitted in writing on an Advance Expense Request form and include the following information:
 1. The purpose of the expenditure(s);
 2. The benefits of such expenditure to the residents of City;
 3. The anticipated amount of the expenditure(s) (for example, hotel rates, meal costs, and transportation expenses); and

4. The dates of the expenditure(s).
- C. An expense report and receipts documenting how the advance was used in compliance with this policy, along with any unused advance, must be returned to the City within thirty (30) days of the individual's return. Inability to provide such documentation within 30 days of an expense being incurred or return from travel will result in the expense being borne by the individual.
- D. In the event that the City Manager or his designee is uncertain as to whether a request complies with this policy, such individual must seek resolution from the City Council.

5. MEALS AND BUSINESS MEETINGS

- A. Reimbursable meals or business meeting expenses must be incurred under conditions conducive to, and during, substantially City-related discussion. Whenever meals are hosted for an event or conference, or otherwise made available, no other individual meal expenses are reimbursable.
- B. Meals merely incidental to activities occurring in or about the City of Duarte are not reimbursable.
- C. Meal reimbursement shall be based on the actual charge established for each meal by the particular meeting or conference. If no set amount is established, reimbursement shall be made for reasonable expenses, and itemized receipts are required. The maximum allowable meal and beverage reimbursement is \$12.00 per person for breakfast, \$18.00 per person for lunch, and \$35.00 per person for dinner (\$65 daily total). The City will not pay for alcohol expenses.

6. TRAVEL

The City will reimburse individuals for all reasonable, actual, and necessary expenses while traveling on approved City business pursuant to the specific criteria below. In general, the most economical mode and class of transportation reasonably consistent with scheduling needs and cargo space requirements must be used, using the most direct and time-efficient route.

- A. Airfare. Airfares that are equal or less than those available through the Enhanced Local Government Airfare Program offered through the League of California Cities (www.cacities.org/travel), the California State Association of Counties (<http://www.csac.counties.org/default.asp?id=635>) and the State of California are presumed to be the most economical and reasonable for purposes of reimbursement under this policy.
- B. Automobile. When two or more persons attend the same function and utilize their personal automobile(s), they are expected, whenever practicable, to pool transportation. Automobile mileage is reimbursed at Internal Revenue Service rates presently in effect (see www.irs.gov) or allowable airfare, whichever is less. For 2006, the rate is 44.5 cents per mile. These rates are designed to compensate the driver for gasoline, insurance, maintenance, and other expenses associated with operating the vehicle. This amount does not include bridge and

road tolls, which are also reimbursable with receipts. Please note that mileage reimbursement does not apply to car rentals. See section C for car rental reimbursements.

- C. Car Rental. Rental rates that are equal or less than those available through the State of California's website (<http://www.catravelsmart.com/default.htm>) shall be considered the most economical and reasonable for purposes of reimbursement under this policy. Mileage reimbursement rates will not be paid for rental vehicles; only the cost of car rental and any receipted fuel expenses.
- D. Taxis/Shuttles. Taxis or shuttles fares may be reimbursed, including a 15 percent gratuity per fare, when the cost of such fares is equal or less than the cost of car rentals, gasoline and parking combined, or when such transportation is necessary for time-efficiency.
- E. Lodging. The reasonable cost of accommodations incurred on an approved trip is reimbursable. If the event is fifty (50) miles or less from the City, no overnight accommodations will be allowed without prior City Council approval.
 - 1. Conferences/Meetings. If such lodging is in connection with a conference, lodging expenses must not exceed the group rate published by the conference sponsor for the meeting in question if such rates are available at the time of booking. If the group rate is not available, see next section.
 - 2. Other Lodging. Travelers must request government rates, when available. A listing of hotels offering government rates in different areas is available at <http://www.catravelsmart.com/lodguideframes.htm>. Lodging rates that are equal or less to government rates are presumed to be reasonable and hence reimbursable for purposes of this policy. In the event that government rates are not available at a given time or in a given area, lodging rates that do not exceed \$250 per night are presumed reasonable and hence reimbursable.
- F. Internet. Individuals will be reimbursed for Internet access connection and/or usage fees away from home, not to exceed \$15.00 per day, if Internet access is necessary for City-related business.
- G. Other. Baggage handling fees up to the industry standard cost per bag and gratuities of up to 15 percent will be reimbursed. Expenses, which qualify to receive reimbursement from another agency, are not reimbursable.
- H. All Expenses – Must be itemized, explained fully, and supported with receipts for amounts in excess of twenty (\$20.00) dollars. Amounts of less than twenty dollars can be submitted without a receipt, but with a written explanation.

7. OPTIONAL VEHICLE ALLOWANCE EXPENSES

- A. City Councilmembers may be reimbursed their actual mileage travelled for travel conducted in their own private vehicles on City-related business and events, at then-applicable IRS forced rates, or if the travel is to a destination for which there is a Local Government Airfare Program rate for airline travel the lesser of the actual mileage reimbursement or the Local Government Airfare Program airline

rates. Such mileage reimbursement may be claimed by submitting a reimbursement request indicating the date, miles travelled, and the event or business conducted.

Alternatively, in lieu of tracking actual mileage traveled, and as permitted by Government Code section 1223, each City Council member may elect to be provided a monthly vehicle allowance of \$75.00. This amount is provided as a partial offset of expenses City Council members incur in having a private vehicle available for use to travel to and from City events and City-related activities. The vehicle allowance is calculated based upon the 2015 American Automobile Club Automobile Research Center's estimate that the average vehicle cost in Southern California is Nine Thousand Two Hundred and Twenty Six dollars (\$9,226.00) annually for vehicles driven fifteen thousand miles per year. This amounts to \$769.00 monthly, or \$0.615 per mile. On average, from 2015 through 2017 City Council members have reported actual mileage for City-related activities at one hundred twenty (120) miles per month. The vehicle allowance is therefore calculated at the average actual City Council monthly mileage times the prevailing vehicle operating cost, rounded. To the extent that the American Automobile Club Automobile Research Center's estimate of the average vehicle cost in Southern California is adjusted upward over time, the amount of the vehicle allowance provided herein shall adjust automatically by using the updated per mile cost so adjusted, without the need for further amendment to this Policy.

A City Council member electing to receive the car allowance may do so in writing on or within sixty (60) days of the beginning of the fiscal year in which the vehicle is being used, and such election shall continue for the entire fiscal year in which the election is made, and no withdrawal or rescission of such election shall be effective until the beginning of the next fiscal year.

- B. Telephone/Fax/Cellular. City Councilmembers and City Staff (with Department Head approval) will be reimbursed for actual telephone and fax expenses incurred on City business. Telephone bills should identify which calls were made on City business. For cellular calls the bills should identify which calls were made on City business. If the cellular calls are within the minutes of the individual's plan, the individual can identify the percentage of calls made on City business and apply this percentage to the cellular bill.

8. MEMBERSHIPS

Dues and related expenses for individual memberships in organizations are reimbursable only when such memberships provide a specific benefit to the City, and with prior approval of the City Council.

9. OTHER

All other expenses must be itemized and explained as to the cost/benefit relationship to the specific events, functions, or meetings. Reimbursement of overnight travel expenses for spouses/guests is not authorized under any circumstances. Please note that using City funds, cash advances or other lines of credit for expenses not

qualified under this policy is strictly prohibited, even when those funds are reimbursed. For example, City funds are NOT to be used for the advance payment of airline tickets for a spouse even when later reimbursed to the City. See Section 2 for a list of expenses that are prohibited from using City funds.

10. FILING EXPENSE REPORTS

- A. All cash advance expenditures and expense reimbursement requests must be submitted on an expense report form provided by the City. This form shall include the following advisory:

All expenses reported on this form must comply with the City's policies relating to expenses and use of public resources. The information submitted on this form is a public record. Penalties for misusing public resources and violating the City's policies include loss of reimbursement privileges, restitution, civil and criminal penalties as well as additional income tax liability.

- B. City Expense Report forms, required to support any requests for cash advance expenditures or expense reimbursements, shall be submitted by the individuals within 30 days of an expense being incurred or return from travel (whichever is later), accompanied by receipts documenting each expense. Forms submitted by the Tuesday two weeks prior to a City Council meeting will be reviewed and considered for approval by City Council. Only those expenses approved by City Council action at a City Council meeting shall be included in the next warrant register for payment.
- C. All supporting receipts must be documented to identify the amount, place, purpose, participants, and benefit to the City and must be attached to the Expense Report. Absent a receipt, a complete explanation must be attached to the Expense Report of such undocumented expenses. Inability to provide such documentation or to submit a Expense Report within 30 days of an expense being incurred or return from travel will result in the expense being borne by the individual.
- D. A complete reconciliation of any prepaid and advanced funds must be provided, together with a repayment to the City of any unused advance funds. Before a cash advance is allowed, any previous cash advance must be accounted for, either with cash or receipts totaling said cash advance.

11. REPORTS TO GOVERNING BODY

At the City Council meeting immediately following, each official shall briefly report (either in writing or orally) on meetings and/or conferences attended at City expense. If multiple officials attended, a joint report may be made.

12. AMENDMENTS

This Policy may be amended by action of the City Council, if applicable law allows such amendment.

RESOLUTION NO. 2016-40-2854

A RESOLUTION OF THE CITY COUNCIL OF THE CITY OF IRWINDALE ADOPTING THE AMENDED CITY OF IRWINDALE EXPENSE REIMBURSEMENT POLICY

WHEREAS, the City Council of the City of Irwindale ("City Council") reimburses its officials and employees for travel and business expenses incurred in carrying out their duties pursuant to the City's adopted Transportation, Travel, and Meeting Expense Policy, adopted March 11, 1993; and

WHEREAS, the City Council had, pursuant to its Resolution No. 93-10-1284 adopted on March 11, 1993, established the mileage reimbursement rate to be that established by the Internal Revenue service, and the per diem rate for meals and incidentals at fifty dollars (\$50.00) per day; and

WHEREAS, the City Council had, pursuant to its Resolution No. 2002-17-1808 adopted on March 28, 2002, superseded and replaced Resolution No. 93-10-1284 and increased the per diem rate for meals from fifty dollars (\$50.00) per day to seventy-five dollars (\$75.00) per day; and

WHEREAS, the City Council had, pursuant to its Resolution No. 2007-56-2242 adopted on August 1, 2007, superseded and replaced Resolution No. 2002-17-1808 and established the mileage reimbursement rate equal to Internal Revenue Service rate, and the per diem rate for meals and incidental expenses to be equal to the prevailing Federal Meals and Incidental Expense rates as published on the United States General Services Administration (USGSA) website; and

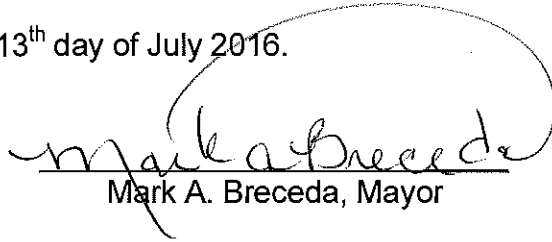
WHEREAS, Assembly Bill 1234, which was signed by the California State Governor on October 7, 2005, provides that a local agency that reimburses members of its legislative body for expenses shall adopt in a public meeting a written policy that specifically identifies the occurrences that would qualify a member to be reimbursed for travel, meals, lodging and other actual and necessary expenses; may specify the reasonable expense reimbursement rates; and, mandates that each member of the legislative body to the file expense reports documenting each expense item, which reports are public records; and

WHEREAS, the City desires to define and clarify reimbursable expenses in accordance with California Government Code Sections 53232.2 -53232.4.

NOW, THEREFORE, the City Council of the City of Irwindale, California, resolves, determines and orders as follows:

1. The City's existing City of Irwindale Expense Reimbursement Policy is superseded and replaced by the updated City of Irwindale Expense Reimbursement Policy attached hereto as Exhibit "A" and hereby incorporated as part of this resolution.
2. The City's Resolution No. 2007-56-2242 is rescinded.
3. Resolution No. 2016-40-2854 shall be effective upon adoption.
4. The Deputy City Clerk shall certify to the adoption of this resolution.

PASSED, APPROVED AND ADOPTED this 13th day of July 2016.


Mark A. Breceda, Mayor

ATTEST:


Laura M. Nieto, CMC
Deputy City Clerk

STATE OF CALIFORNIA }
COUNTY OF LOS ANGELES } ss.
CITY OF IRWINDALE }

I, Laura M. Nieto, Deputy City Clerk of the City of Irwindale, do hereby certify that the foregoing Resolution No. 2016-40-2854 was duly and regularly passed and adopted by the City Council of the City of Irwindale at its adjourned meeting held on the 13th day of July 2016, by the following vote:

AYES:	Councilmembers:	Ambriz, Burrola, Garcia, Ortiz, Mayor Breceda
NOES:	Councilmembers:	None
ABSENT:	Councilmembers:	None
ABSTAIN:	Councilmembers:	None



Laura M. Nieto, CMC
Deputy City Clerk



CITY OF IRWINDALE
EXPENSE REIMBURSEMENT POLICY

Adopted:
July 13, 2016

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CITY OF IRWINDALE

EXPENSE REIMBURSEMENT POLICY

I. PURPOSE

To provide a uniform policy and procedure for travel on City business for all City Employees and Officials who may incur out-of-pocket expenses in the course of their duties. To assure the appropriate use of City funds, provide accountability of related expenditures, and ensure an efficient process for approval and proper adherences to IRS regulations. This policy may not explicitly address every issue or contingency that may arise in the course of City travel. However, the basic standard that should always prevail is to exercise good judgment in the use and stewardship of the City's resources.

This policy is consistent with California Government Code sections 53232.2 – 53232.4.

II. SCOPE

This policy is applicable to the Members of all City boards, commissions, and committees that are subject to the Brown Act as well as all City Employees. This includes, but is not limited to, the Council, Successor Agency to the Irwindale Community Redevelopment Agency Board, Housing Authority Board, Irwindale Joint Powers Authority Board, Reclamation Authority Board, Planning Commission, Parks and Recreation Commission, and Senior Citizens Commission.

III. DEFINITIONS

For the purpose of this policy, the following definitions apply:

- A. Agency:** Any Body subject to this policy, including the Mayor and Council, Successor Agency to the Irwindale Community Redevelopment Agency Board, Housing Authority Board, Irwindale Joint Powers Authority Board, Reclamation Authority Board, and all committees, commissions, and boards created by the Council. If the City creates additional boards, committee, commissions or other bodies whose Members are subject to the Brown Act, this policy shall equally apply to these Agencies.
- B. Appointed Officials:** Members of all City Commissions, Boards, and Agencies, who are appointed and subject to the Brown Act.
- C. Elected Official:** Mayor and Council Members, whether or not they were elected by the people or appointed to fill a vacancy.
- D. Employee:** Any person deemed by the City to be a full or part-time employee, not including Elected Officials or Appointed Officials.
- E. Local Travel:** Travel requiring an Employee/Official to be present at a reimbursable event or activity that is located 35 miles or less from City Hall.

- F. Member: Any Elected or Appointed Official, or Employee of the City.
- G. Employee/Official: Any Elected or Appointed Official, or Employee of the City.
- H. Out-of-State Travel: Travel requiring an Employee/Official to be present at a reimbursable event or activity that is located outside the State of California.
- I. Out-of-Town Travel: Travel requiring the Employee/Official to be present at a reimbursable event or activity that is located more than 35 miles from City Hall.
- J. Maximum Daily Allowance: The daily maximum dollar amount that may be reimbursed for meals and incidental expenses. The amount shall be equal to the prevailing federal Meals and Incidental Expense rates as published on the United States General Services Administration (USGSA) website.

IV. FLAT MONTHLY REIMBURSEMENT (MAYOR & COUNCIL MEMBERS ONLY)

A. Flat Reimbursement for Local Expenses

The Mayor and City Council Members shall receive a flat monthly reimbursement of one hundred dollars (\$100.00). This shall constitute full reimbursement for all City-related expenses incurred within the boundaries of the City, including but not limited to vehicle maintenance and mileage for personal automobile used for events in the City, local telephone calls and faxes using personal phone lines, meals, incidental expenses, etc. All such local expenses shall be the responsibility of the elected official who incurred the cost and shall not be paid by the City or submitted to the City for reimbursement, even if City-related expenses incurred within the City exceed the amount allowed under this paragraph. (Authority: Irwindale City Charter section 604; Irwindale Municipal Code section 2.04.031.)

B. Flat Reimbursement for Cell Phones

In addition to the reimbursement described above, the Mayor and City Council Members shall receive a flat monthly reimbursement of ninety dollars (\$90.00) to defray the cost of maintaining a cell phone, wireless card, PDA or similar communication device to make and receive City-related phone calls or e-mails. The Mayor and City Council Members are expected to be readily accessible by their cell phones in case the City Manager needs to reach him or her. The billing address for cell phones maintained by the Mayor and City Council Members shall not be City Hall. All such local expenses shall be the responsibility of the elected official who incurred the cost and shall not be paid by the City or submitted to the City for reimbursement, even if City-related cell phone expenses exceed the amount allowed under this paragraph. (Authority: Irwindale City Charter section 604; Irwindale Municipal Code section 2.04.031.)

V. AUTHORIZATION FOR REIMBURSABLE EVENTS AND ACTIVITIES

A. General Policy

It is the policy of the City that no Employee/Official shall sustain personal monetary loss as a result of duties performed in the service of the City, as provided in this Reimbursement Policy. However, all expenditures and requests for reimbursement shall logically relate to the conduct of City business and shall be "necessary" to accomplish the purposes of such business and shall be "reasonable" in amount. Employees/Officials are expected to exercise good judgment and show proper regard for economy when incurring expenses in connection with official City business.

All expenses related to Employee/Official travel must be included in the budget. Departments are required to forecast such travel costs and incorporate those costs into their budget proposals. Travel and training will only be approved if there are sufficient funds in the departmental budget.

The most economical mode and class of transportation reasonably consistent with scheduling needs must be used.

The City Council of the City of Irwindale shall have authority to make the final decision regarding compliance with this policy for Appointed and Elected officials. The City Manager shall have authority to make the final decision regarding compliance with this policy for Employees.

B. Types of Reimbursable Activities

The types of events and activities that typically qualify an Employee/Official to receive reimbursement are included below. If there is an event or activity for which an Employee/Official wishes reimbursement, and it is not described below, the Employee/Official should have the matter approved in advance by the City Council:

1. Meetings with government and business leaders.
2. Conferences, training, and educational trips, including visiting other governments and government officials.
3. Lobbying trips.
4. Communicating with regional, state and national government officials to advocate policy positions adopted by the City.
5. Attending seminars and workshops intended to improve the Employee/Official's skill and informational level
6. Participating or attending events organized by regional, state or national organizations or governmental entities where the City has a direct interest.

7. Attending events within the City where the event is sponsored by an officially recognized City organization, association or club, where the official is an invited guest.

C. Types of Non-Reimbursable Activities

Any questions regarding the propriety of a particular expense should be resolved by the approving authority before the expense is incurred.

Examples of expenses the City will not reimburse include, but are not limited to:

1. The personal portion of any trip;
2. Political or charitable contributions or events;
3. Family expenses, including partner's and/or children's expenses incurred when accompanying Official/Employee on City-related business;
4. Entertainment expenses, including alcohol, sightseeing, theater, movies (in-room or theater), sporting events (including golf, gym, and massage expenses) or other cultural events;
5. Non-mileage personal automobile expenses including repairs, traffic citations, insurance; and
6. Personal medical expenses or losses incurred while on City business.

VI. SPECIFIC REIMBURSABLE EXPENSES & PROTOCOL

- A. The following protocols shall apply when incurring certain expenses while performing City-related business:

1. Authorization for Travel. Prior to committing the expenditure of City funds for travel, the Employee must obtain the approval of his or her department head, as well as the City Manager or designee on the approved travel request form. The duration of the meeting may be considered (with approval from the City Manager) in determining whether overnight lodging will be permitted. Generally, meetings/conferences within 35 miles of the City will not require overnight lodging.

The request shall include an estimate of all expenses. A copy of the conference or meeting notice and agenda and registration form(s) are to be attached. Any special arrangements such as side trips or extra days for personal business should be included in the request.

All out-of-state travel, for either Officials or Employees, shall require City Council approval. Such approval shall be given on the City Council's (or relevant legislative body) Consent Calendar.

2. Air Travel. When traveling by air, travel should be by commercial airline in coach or tourist class accommodations. Reservations should be made far enough in advance to take advantage of available discounts. Increased fees related to late booking may be disallowed without a sound business reason. Employees/Officials may pay to upgrade their airline accommodations at their own expense .

3. Private Automobile for Out-of-Town Travel. Employees/Officials will be reimbursed actual mileage for the use of their private cars in travel to and from designated place(s) on City business outside the City. The Employee/Official will be reimbursed at the standard mileage rate established in IRS guidelines.

4. Private Automobile for Local Travel. Provided an Employee is not issued a vehicle at City expense, Employee will be reimbursed actual mileage for the use of their private car for local travel (within 35 miles of City Hall) while conducting City business. If the Employee receives a fixed monthly automobile allowance, they will be reimbursed for the mileage beyond 35 miles. All travel will be reimbursed at the standard mileage rate established in IRS guidelines.

5. Garage and Parking Expenses. Expenses for necessary parking and storage of private vehicles may be authorized. Receipts or other evidence must be provided to obtain reimbursement.

6. Vehicle Rentals, Taxi, and Transit Fare. Out-of-town expenses for such transportation may be authorized where reasonable and necessary to conduct City business. Receipts or other evidence must be provided to obtain reimbursement. When vehicle rental is chosen over taxi or shuttle service, there should be a business reason or economic benefit to the City to support the rental decision, and such business reason or economic benefit shall be identified on the travel authorization to be approved in advance. A cost estimate for any vehicle rental shall also be included with the travel authorization. Attempts should be made to acquire the lowest rate through competitive shopping and advance reservations.

7. Lodging. Lodging expenses will be reimbursed or paid for when travel on official City business reasonably requires an overnight stay. Whenever possible, Employees/Officials are encouraged to use lower cost lodging in order to minimize the cost to the City, unless doing so will be inefficient and/or uneconomical. Local lodging, defined as less than 35 miles from City Hall, will generally not be reimbursed.

(a) Conferences. If such lodging is in connection with a conference, Employees/Officials are expected to utilize the conference lodging at the group rate published by the conference sponsor. If other

lodging accommodations are used, the City shall pay/reimburse only up to the amount of the conference group rate.

If a conference starts by 9:00 a.m., the attendee may be allowed to begin the trip one day earlier, with costs for the extra day paid by the City, upon approval of the City Manager.

- (b) Other Lodging. Employees/Officials must request government rates, when available. A listing of hotels offering rates in different areas is available through the State of California's "Lodging Guide Program." Lodging rates that are equal to or less than comparable government rates are presumed to be reasonable and reimbursable for the purposes of this policy.

8. Meals and Incidentals. Reasonable and customary expenses for meals are authorized for Employees/Officials as required to conduct official City duties. Employees/Officials traveling on City business shall be entitled to reimbursement of expenses incurred for necessary meals not to exceed breakfast, lunch, and dinner in any one day. Detailed receipts, listing the items purchased, are required for all reimbursable expenses.

Employees/Officials shall be reimbursed for meals and incidental expenses at a maximum rate as allowed under the annually-published USGSA rate table by location. (see *Attachment A hereto for the USGSA rates for select destinations in California for Fiscal Year 2016*). The Maximum Daily Allowance shall be reduced as described below for less than full days. If a full meal is provided as part of the meeting, conference, event, or training session, appropriate deductions must be made from the meal allowance.

Reimbursement for meals not incurred as part of out-of-town or overnight travel are limited to activities outside normal duties, such as business-related meetings held before or after regular working hours (including working lunches where this is the only time available).

Meal reimbursements are not allowed as part of routine daily work assignments or training within City limits, unless part of the registration cost, or the meal is served on site as part of the program to keep all participants together and not have them disperse for meals.

Meals incurred during training held outside City limits are only allowable when the training (including travel time) spans the normal meal period. For example, if training is held outside the City limited from 9:00 a.m. to 10:30 a.m. at a location that is an hour away from the City Hall, meal costs for lunch would not be reimbursable. However, if the training is held from 9:00 a.m. to 3:00 p.m., the meal would be reimbursable.

The amount to be reimbursed for meal costs in these circumstances is subject to the City's meal cost guidelines for overnight travel. *(See Attachment B for the breakdown of the Maximum Daily Allowance for each meal)*

In order to determine the amount of the Maximum Daily Allowance for less than full days of out-of-town travel, the following shall be used to determine the partial day allowance for meals:

Departure:

- (a) After 8 a.m. – Deduct breakfast
- (b) After 1 p.m. – Deduct breakfast and lunch
- (c) After 7 p.m. – No meal allowance

Return:

- (a) After 8 a.m. – Claim breakfast
- (b) After 1 p.m. – Claim breakfast and lunch
- (c) After 7 p.m. – Claim full meal allowance

9. Reimbursement of Travel Expenses. Employees/Officials shall submit expense reports within a reasonable time after incurring the expense, not to exceed 30 days, and the reports shall be accompanied by the receipts documenting each expense. All Expense Reports shall be submitted to the City Manager for review and approval.

Documentation should include, if applicable:

- (a) All meal receipts
- (b) Hotel receipt
- (c) Conference brochure
- (d) Meeting agenda
- (e) Trip or meeting purpose
- (f) Taxi, shuttle, airfare, parking receipts

10. Tips and Gratuities. Reasonable expenses for tips and gratuities (not to exceed 18%) are allowable for meals, hotel, and transportation purposes.

11. Registration Fees. Conference/meeting registration fees qualify for reimbursement. The City will pre-pay conference registrations prior to the date of the event. In cases where early registration is not possible, a receipt or registration form illustrating the fee amount must be provided with the reimbursement request. In all cases, a brochure or registration document must accompany the payment voucher.

Registration fees will be paid directly to the conference organization for the expenses indicated on the published information attached to the approved travel

request. Any deadlines for receipt of the registration fee should be prominently noted on the face of the request to assure timely payment. Advance registration discounts are to be taken advantage of where possible.

12. Telephone, Internet Access, and Fax. Telephone, internet access and fax expenses may be incurred only for the conduct of City business.

13. No Shows/Late Cancellation. If an Employee/Official is unable to attend a planned trip, including a conference or general business meeting, it is the Employee/Official's responsibility to provide early notice in order to obtain all refunds possible.

14. Public Trip/Meeting Report. Upon return from a reimbursable event, an Elected Official shall provide a brief report on meetings attended at the next meeting of the City Council (or relevant legislative body). It is anticipated that routine meetings may be addressed in writing on the consent calendar of the agenda.

15. Miscellaneous. All items of expense otherwise unclassified shall be considered in this category. Examples of such expenses which may be authorized are duplicating expenses and the cost of publications of value to the City. Other expenses as necessary when traveling on City business may be allowed and should be included within this classification when requesting reimbursement.

VII. EXCEPTIONS

There shall be no exceptions to this policy. To the extent this policy conflicts with any other policy or procedure previously approved by the City, this policy shall prevail. Otherwise, this policy is intended to supplement and be read in conjunction with other policies and rules in existence at the time this policy is adopted.

VIII. RECORDKEEPING

- A. All expenses submitted for reimbursement shall be sufficiently described as to the nature of the expense.
- B. Receipts must be provided for each individual expense. If a reimbursable expense is incurred for which no receipt is given or where the receipt is lost or stolen, the Employee/Official requesting reimbursement must provide other evidence, such as a verified statement with description of the expense. Expense reimbursements should be itemized and presented to the Finance Director on a form approved by the City Manager.
- C. All expenditures are public records subject to disclosure under the Public Records Act.

IX. VIOLATIONS OF THIS POLICY AND ENFORCEMENT AUTHORITY

A. Violations. Use of public resources or falsifying expense reports in violation of this policy may result in any or all of the following:

1. Loss of reimbursement privileges;
2. A demand for restitution to the City;
3. The City reporting the expenses as income to county, state and/or federal authorities’
4. Prosecution for misuse of public resources;
5. Disciplinary action, up to and including termination, where applicable, dependent on upon the severity and frequency.

B. Enforcement Authority. It shall be the duty and responsibility of the City Council to enforce the provisions of this policy with regards to Elected and Appointed Officials. It shall be the duty and responsibility of the City Manager to enforce the provisions of this policy with regards to Employees.

C. Compliance with the Laws. Elected and Appointed Officials and Employees should recognize that some expenditures may be subject to reporting under the Political Reform Act and/or other laws or may be prohibited altogether. All City expenditures are public records subject to disclosure under the Public Records Act.

ATTACHMENT “A”

United States General Services Administration Per Diem Rates for California Cities for Fiscal Year 2016	
Primary Destination	M & IE*
Bakersfield	\$ 59
Barstow / Ontario / Victorville	\$ 54
Fresno	\$ 64
Los Angeles	\$ 64
Modesto	\$ 51
Monterey	\$ 74
Oakland	\$ 69
Palm Springs	\$ 64
Sacramento	\$ 64
San Diego	\$ 64
San Francisco	\$ 74
San Luis Obispo	\$ 64
San Mateo / Foster City / Belmont	\$ 69
Santa Barbara	\$ 74
Santa Cruz	\$ 59
Santa Monica	\$ 64
Stockton	\$ 64
*M & IE (Miscellaneous & Incidental Expenses)	

Other per diem rates can be found at the United States General Services Administration website
(www.gsa.gov)

ATTACHMENT "B"

United States General Services Administration Meals and Incidental Expenses Breakdown for Fiscal Year 2016

<u>Total</u>	<u>Breakfast</u>	<u>Lunch</u>	<u>Dinner</u>	<u>IE</u>
\$51	\$11	\$12	\$23	\$5
\$54	\$12	\$13	\$24	\$5
\$59	\$13	\$15	\$26	\$5
\$64	\$15	\$16	\$28	\$5
\$69	\$16	\$17	\$31	\$5
\$74	\$17	\$18	\$34	\$5

USGSA Meals and Incidental Expenses Breakdowns for other years can be found at the USGSA website (www.gsa.gov).

ATTACHMENT "C"
Sample Credit Card Receipts

NOT ACCEPTABLE
(credit card total only)

ACCEPTABLE
(Includes order detail)

Customer Copy
Casa Moreno
MEXICAN RESTAURANT BAR & GRILL
223 N. Citrus Ave
Covina, CA 91723
(626) 339-9496

Date/Time:(
Order Number:18
EDC Tran ID:0023
Server:Martha R
Table:4

Card Number:*****
Card Type:Visa
Cardholder Name:
Approval Code:040509
Reference Number:0023

Subtotal: \$20.88
Tax: \$1.88
Gratuity (if added): \$0.00

TOTAL: \$11.38

Tip: 3

Grand Total: 14.38

STONEFIRE
GRILL

F-0092 TABLE # 28
ANDREA F SvrCk: 14
DINE IN
Takeout Left (#4)

1 Petite South/Border 6.99
1 Beverage Special 1.69

Sub Total: 8.68
Tax: 0.78

09/06 12:32 **TOTAL: 9.46**

All tips are divided amongst all
non-supervisory team members!

We thank you!!
473 N. Rosemead Blvd
Pasadena, CA 91107
www.stonefiregrill.com

YOUR # IS>>>: 28

	AMT-TEND	TIP/CHNG	TALLY
VISA	11.46	2.00	9.46
			9.46

(Rec:67) Memo:
9.46
09/06/13 12:32

ANDREA F

General Instructions for Completing the City of Irwindale Travel Authorization Form, and the City of Irwindale Travel Expense and Reconciliation to Travel Advance Report

The **Travel Authorization ("TA")** and the **Travel Expense and Reconciliation to Travel Advance Report ("Travel Expense Report")** are to assist in insuring that travel by City Employees and Officials is conducted in accordance with the City of Irwindale Expense Reimbursement Policy.

The following charts and tables provide an overview of the City's travel procedures, instructions for completing the TA and Travel Expense Report forms, and completed samples.

OVERVIEW OF TRAVEL PROCEDURES

Step 1 – Travel Authorization

Who	What
Traveler	- Consult with Department Head on the need for travel. - Plan itinerary, transportation, and lodging. - Complete Travel Authorization (TA) form and Supporting Detail form and attach all supporting documents.
Department Head	- Review TA for conformance with City travel guidelines and department priorities. - Verify that adequate funding exists in the appropriate travel budget to cover all costs. - Approve TA and forward to the City Manager for approval.
City Manager	Review TA and approve or disapprove and return to the Department Head
Department Head	- If approved make travel arrangements. - Make copy for your records and forward the TA and all supporting documents to Finance Department for processing not later than the Monday before the Thursday when the check is to be issued.
Finance	- Issue travel advance check to Employee/Official and issue check(s) to third party vendor, if any requested. - Have traveler sign Agreement with City of Irwindale to Complete the Traveler Expense and Reconciliation to Travel Advance prior to releasing the travel advance to traveler. - File TA in Employee's/Official's vendor file and copy in the Finance travel folder.
Traveler	It is the traveler's responsibility to pick up their travel advance from the Finance Department on Thursday after 5 p.m., when the processing of the demand warrant register is normally expected to have been completed.

Step 2 – Travel Expense Reporting

Who	What
Traveler	• Complete and submit Travel Expense Report accounting for all expenses to the Department Head. Attach all required receipts. • Sign report attesting to its accuracy. • Attached a check or money order if a balance is due to the City. • Forward to Department Head
Department Head	• Review expense report for conformance with City Expense Reimbursement policy. • Verify accuracy of balances and disposition. • Approve Travel Expense report and forward to the City Manager within 30 days of when the expenses were incurred.
City Manager	• Review Travel Expense report for conformance with City Expense Reimbursement policy. • Approve Travel Expense report. • Forward to Finance Department for processing.
Finance	• Review Travel Expense report for accuracy and conformance with City travel guidelines. • Process any payment due to the Employee/Official if requested. • File Travel Expense report in Employee's/Official's vendor file and a copy in travel folder.

COMPLETING THE TRAVEL AUTHORIZATION FORM

The TA form summarizes the total cost of attending conferences, meetings, and seminars and provides documentation for travel advances, vendor payments, and credit card purchases. The TA form is the mechanism by which travel expenses are to be submitted for review and approval. Completing the form itself is largely self-explanatory, and a completed sample is provided for your information.

The TA form is organized into five major sections:

1. **General Information.** Identifies who is going, where the meeting or conference will be held, how long the Employee/Official will be gone, how much it will cost, and the account number in which funds for the travel have been budgeted and are available.
2. **Purpose.** Describes the reason for the trip.
3. **Cost and Payment Summary.** Outlines the estimated cost of the trip by expense type (registration, transportation, lodging, meals, mileage; spaces are provided to add categories not pre-listed), vendors to whom payment will be made (including travel advances to the Employee/Official), method of payment (voucher, purchase order, credit card), and amount. A summary is then provided of the payments to be made to the Employee/Official, vendors, or by credit card. The back of the TA form should be

completed and appropriate vouchers, purchase orders or credit card charges should be attached to the TA when it is submitted to Finance for processing.

4. **Itinerary.** Summarizes when and where the Employee/Official will be traveling.
5. **Approvals.** Provides a signature box for the Employee/Official, the department head, and the City Manager.

COMPLETING THE TRAVEL EXPENSE REPORT

The Travel Expense Report is for reporting actual expenses incurred upon completion of travel and reconciling the total expense amount to any travel advance issued to the Employee/ Official. The Travel Expense Report is organized into five major sections:

1. **General Information.** Identifies who has gone, where the meeting or conference was held, how long the Employee/Official was gone.
2. **Actual Expense Detail.** Itemizes actual expenses by type for each day of travel (space is provided for dates, expense categories, and additional unlisted expense categories).
3. **Mileage Detail-Personal Vehicle.** Summarizes miles traveled if you were authorized to use a personal vehicle for the travel.
4. **Reimbursable Travel Expense Summary.** Totals expenses for the travel and reconciles them with any travel advance received, resulting in either a balance due to the Employee/Official or due to the City.
5. **Approvals.** Provides a signature box for the Employee/Official, the department head and the City Manager. After all signatures are acquired the Travel Expense and Reconciliation to Travel Advance Report are to be forwarded to Finance to be processed.

Sample Reports

Travel Authorization

Supporting Detail to Cost Summary of Travel Authorization

Travel Expense and Reconciliation to Travel Authorization

CITY OF IRWINDALE TRAVEL AUTHORIZATION

This form should be completed in legible handwriting or typewritten.

Employee	Department	Position

Destination	No. of Days	Account No.	\$Amount

PURPOSE

COST SUMMARY

Description	Vendor	Payment Method	\$Amount
Registration			
Air fare			
Lodging			
Meals			
Mileage-personal vehicle			
TOTAL			

PAYMENT SUMMARY

Travel advance to Employee	\$
Direct Vendor Payments	\$
TOTAL	\$

ITINERARY (Attach copy of itinerary)

Departure Date	Departure Time	Return Date	Return Time

Employee	Date	Department Head	Date
City Manager			Date

CITY OF IRWINDALE
SUPPORTING DETAIL TO COST SUMMARY OF TRAVEL AUTHORIZATION

Travel Advance Requested for Meals and Incidental Expenses

Date					Total Per Category
Breakfast					
Lunch					
Dinner					
Incidentals					
Total Per Day					

Mileage Reimbursement for Travel by Privately Owned Vehicle

Departure/Return Date	Destination	Trip Miles
Total miles-personal vehicle		
Reimbursement using current IRS mileage rate @ .540 cents per mile		

Public Transportation

Other Expenses

Insert Summary dollar amounts and data on to the Cost Summary section on the Travel Authorization Form.

CITY OF IRWINDALE

TRAVEL EXPENSE AND RECONCILIATION TO TRAVEL ADVANCE REPORT

This form should be completed in legible handwriting or typewritten.

Employee	Department	Position

Purpose/Destination	Date of Travel

REIMBURSABLE EXPENSE DETAIL

Description	Date						\$Total
Registration							
Air fare							
Lodging							
Breakfast							
Lunch							
Dinner							
Other - water							
Incidentals							
Parking							
* Included in registration Receipts for each expensed item must be attached TOTAL							

MILEAGE DETAIL-PERSONAL VEHICLE

Departure/Return Date	Destination	Trip Miles
Total miles-personal vehicle		
Reimbursement using current IRS mileage rate @ .540 cents per mile		\$

REIMBURSABLE TRAVEL EXPENSE SUMMARY			
By signing this expense report, the employee certifies that the amounts listed were incurred in conformance with the City's travel guidelines and that no part is claimed for reimbursement of a personal nature.	Total Travel Expense		
	- Total Paid to Vendor		
	- Cash Advance to Council/Employee		
	() Amount due employee		
	() Amount due City		
Employee	Date	Department Head	Date
City Manager			Date

CITY COUNCIL POLICY: TRAVEL AND EXPENSE REIMBURSEMENT POLICY

Revised: January 2, 2019

City Council Members and Commissioners (“Official” or “Officials”) are allowed their actual and necessary expenses when traveling on official City business consistent with this policy, as outlined below. Council Members and Commissioners are encouraged to participate in trainings and conferences in an effort to enhance education and to represent the City of Lake Forest. Reasonable modifications to this policy are allowed for an Official(s) with disabilities.

1 Before Your Trip.

1.1 Authorized Budget.

Travel is subject to the dollar limitations set forth in the City’s Annual Operating Budget. City Council travel is budgeted within the City Council Department “Travel, Conferences, and Meetings” account. Planning Commission travel is budgeted in the Community Development Planning Division “Commissioner Travel” account. Community Services Commission travel is budgeted in the Community Services Recreation Division “Commissioner Travel” account. Traffic and Parking travel is budgeted in the Public Works Traffic and Parking Commission Division “Commissioner Travel” account.

1.2 Authorized Functions (i.e., Where can I go?).

Expenses incurred in connection with the performance of official duties at functions described below are eligible for reimbursable:

- a) Meetings of the City Council, Successor Agency, Housing Authority, Financing Authority, and any other government body or Ad Hoc Committee established by formal action of the Lake Forest City Council.
- b) Meetings attended as the Council-designated representative(s) (or Council designated alternate(s)) of the City as documented on the most recently adopted City Council Committee Appointments List.
- c) Meetings with the City Manager or his or her designee.
- d) City-sponsored events.

- e) Meetings of the Orange County Division of the League of California Cities (LOCC) and Association of California Cities – Orange County (ACCOC).
- f) Attendance at LOCC Annual Conference, LOCC Mayors and Council Members Executive Forum/Summit, LOCC policy committees (subject to LOCC appointment), and LOCC New Mayors and Council Members Academy.
- g) Attendance at educational seminars, conferences or activities designed to improve the Council Member or Commissioner's skill and knowledge provided the City is a member of the organization sponsoring the activity.
- h) Attendance at training sessions required by federal, state, or local law.
- i) Appearances before, or attending meetings of, state legislative committees, state regulatory bodies, state commissions, entities regulated by the California Public Utilities Commission, and other government entities, on behalf of the City of Lake Forest.
- j) Meeting or functions of public agency or non-profit organizations contract partners.

1.3 Advances.

The City does not issue advances for travel. In lieu of an advance, officials may utilize a Cal-Card (i.e., a purchase VISA card) for expenses incurred while traveling on official City business. ¹

1.4 City Council CAL- Cards.

City Council Members are authorized to use a CAL-Card (i.e., a purchase VISA card) for travel expenses associated with out-of-town travel. When traveling, an official's Cal-Card shall have an expenditure limit of \$2,000. When not in use during specific travel, Cal-Cards shall have an expenditure limit of \$0. CAL-Cards are to remain in the possession of Officials, and Officials are responsible to report lost or stolen cards.

1.5 Reservations/Registrations.

¹ The CAL-Card program, a State purchase VISA card program administered by US Bank, is offered to designated City officials as a streamlined way to procure and pay for City-related goods and services while reducing reimbursement, invoice, and check processing costs. Officials that utilize CAL-Cards are subject to program rules and regulations as outlined in the City's Purchasing Guidelines. CAL-Card purchases are restricted to specified merchant category codes.

Officials attending meetings or traveling on official business may request staff assistance in arranging conference registration, hotel, and other travel reservations for authorized functions as listed in this policy.

1.5.1 Airline & Train Reservations.

The City will purchase airline and train tickets for travel to functions listed in Section 1.2 (f) on an official's behalf **no later than fourteen (14) days in advance of travel**. The City will purchase airline and train tickets for travel to all other authorized functions as listed in this policy on an official's behalf. Tickets for functions listed in Section 1.2 (f) requested thirteen days or less in advance of travel must be purchased directly by the traveling official. Eligibility for reimbursement of airline and train tickets is outlined in Section II of this policy.

1.6 Cancellations.

In the event an Official is unable to travel according to pre-arranged and/or pre-paid itineraries, the Official shall cancel his or her reservations prior to the cancellation deadline established by the vendor (i.e. hotel, airline, etc.) so as not to incur charges or in order to receive a refund or credit. In the event an Official does not cancel his or her reservations and the City is charged a fee or unable to receive a credit or refund, the Official shall reimburse the City the full cost of the fee or non-cancelled charges within thirty (30) days of the cancelled travel.

2 While on Your Trip.

2.1 Traveling to Your Destination.

Officials shall use the most economical mode and class of transportation reasonably consistent with scheduling needs and cargo requirements, and the most direct and time-efficient route.

2.1.1 Air and Train Travel.

Airfare and train fare shall be reimbursed at the actual ticket cost as stated on the receipt. Baggage handling fees up to \$2 per bag are reimbursable. Long-term parking shall be used for travel exceeding 24 hours.

2.1.2 Personal Automobile.

Automobile mileage is reimbursable at the Internal Revenue Service (IRS) rate in effect at the time of the trip. The reimbursable amount shall be based on the actual mileage traveled for the purposes of the Traveler's official duties. In no case shall the amount of the reimbursement exceed the cost an airline ticket to the same destination purchased fourteen (14) days in advance of travel and, if applicable, the cost of a standard-size rental car.

2.1.3 Ground Transportation.

Taxi, bus, train, shuttle or other similar fares, including associated gratuities of up to 20 percent, are reimbursable. Baggage handling fees up to \$2 per bag are reimbursable.

2.2 Meals and Incidental Expenses (M&IE).

The City maximum full day meal and incidental expenses rate shall be not greater than the maximum federal per diem meal and incidental expenses (M&IE) rate established by the General Services Administration (www.gsa.gov) based on the limit for the city or county to which the Official is traveling. Partial days per diem amounts are also established by the GSA. The GSA maximums include taxes and gratuities. Official must provide receipts for all meals and will be reimbursed at the lower of the appropriate per diem amount or the actual expense.

2.2.1 Meal Gratuities.

Meal gratuities of up to 20 percent are reimbursable.

2.2.2 Alcoholic Beverages.

There shall be no reimbursement for alcoholic beverages.

2.2.3 Meals Provided as Part of Functions.

An Official may not request reimbursement for any meal which is provided or otherwise available to the official at a function, whether or not there is an actual charge for the meal. For

example, if lunch is provided at a function, the traveler may not request reimbursement for eating elsewhere.

2.3 Lodging.

Actual lodging costs will be reimbursed when an Official's travel on official City business reasonably requires an overnight stay due to distance or an Official's need for sleep or rest to properly and safely perform their duties. The Official shall use lodging that is either: offered by a provider of lodging that is consistent with the per diem rates for lodging as established: (1) in IRS Publication 1542, as amended, or any successor publication; or (2) as a governmental rate offered by the provider of lodging.

2.3.1 Lodging for Conferences or Other Educational Activities.

Lodging costs shall not exceed the maximum group rate published by the conference or activity sponsor, provided that the lodging at the group rate is available to the Official at the time of booking. If the group rate is not available, then the Official shall use comparable lodging that is consistent with the per diem rates for lodging as established: (1) in IRS Publication 1542, as amended, or any successor publication; or (2) as a governmental rate offered by a provider of lodging.

2.4 Miscellaneous Expenses.

Bridge, road tolls, housekeeping tips, parking fees and other similar miscellaneous expenses are reimbursable. Baggage handling fees up to \$2 per bag are reimbursable.

2.5 Unauthorized Expenses.

Expenses the City will not reimburse include, but are not limited to:

- a) The personal portion of any trip.
- b) Political or charitable contributions or events.
- c) Family expenses, including a partner's expense when accompanying the Official on City-related business, as well as children or pet-related expenses.
- d) Entertainment expenses, including theater, movies (including in-room), sporting events (including but not limited to gym, massage and golf-related expenses), or other cultural events.

- e) Non-mileage personal automobile expenses, including traffic citations.
- f) Personal losses incurred while on City business.
- g) “Pre-boarding”, “upgrade” or “change” fees charged for the convenience of the traveling official.

3 After Your Trip.

3.1 Documentation of Expenses/ Expense Reports

Officials shall submit expense report forms, as provided by the City, to the City Manager or the Manager’s designee within thirty (30) days of incurring the expense. The expense report is to be signed, under penalty of perjury, and state that all expenses listed were necessary, reasonable and incurred in connection with City business and in conformity with this Policy. If an Official does not submit expense report forms within thirty (30) days of incurring the expense, the Official will be ineligible for any future City paid travel arrangements or use of City Cal-Cards until the signed expense report form is submitted.

3.1.1 Expense Documentation.

To qualify for reimbursement, expense reports must be accompanied by documentary evidence, such as a receipt, canceled check, or bill for each expense. The documentary evidence should show the amount, date, place, and essential character of the expense.

- a) If the evidence submitted is a bill, it must be itemized so as to sufficiently indicate which costs the Official claims are in connection with City-approved travel and for what purpose such costs were incurred (e.g., an itemized hotel bill would indicate costs for room, parking fee, meals, and room tax, with the respective cost of each listed on the bill).
- b) Any evidence submitted must be attached to a written statement signed by the Official attesting the evidence is an accurate depiction of the expense and that the charges are appropriate and incurred in connection with City business and in conformity with this Policy.
- c) Receipts shall document the expenses of the Official exclusively. Personal expenses (including, but not limited to, a partner’s expenses) shall not be included on the submitted receipt.

3.1.2 Substitute Expense Documentation.

If documentary evidence (e.g., receipt or bill) is not available, the following limitations on reimbursement shall apply:

- a) Lodging, food, and beverage expenses shall not be reimbursed.
- b) Per IRS guidelines, only expenses of less than \$75.00 shall be reimbursed where substitute documentary evidence is provided.

Acceptable forms of substitute documentary evidence may include, but are not limited to, written statements from the Official's guests or other witnesses setting forth detailed information about the expense, or an In Lieu of Receipt Form signed by the traveling Official. A sample In Lieu of Receipt Form is attached to this policy (Attachment 1).

3.1.3 California Public Records Act.

All documents related to reimbursable City expenditures are subject to disclosure under the California Public Records Act Chapter 3.5 (commencing with Section 6250) of Division 7 of Title 1.

3.2 Reimbursement.

The City will reimburse Officials for all actual and necessary expenses within the limitations of this policy.

3.2.1 Preliminary Review by Staff.

The City Manager or his or her designee shall review all forms and documentary evidence as outlined in the attached Staff Travel Expenditure Review Procedure (Attachment 2).

3.2.1.1 Reimbursement .

Once the expense report is complete, signed and all necessary receipts are attached, staff will submit the report and supporting documentation to the Finance

department for processing with the next scheduled Warrant Register.

4 Policy Violations.

Pursuant to California Government Code Section 53232.4, penalties for misuse of public resources or falsifying expense reports in violation of expense reporting policies may include, but are not limited to, the following:

- a) The loss of reimbursement privileges.
- b) Restitution to the City.
- c) Civil penalties for misuse of public resources pursuant to California Government Code Section 8314.
- d) Prosecution for misuse of public resources, pursuant to Section 424 of the Penal Code.

In addition to the above penalties as prescribed by State law, violation by an Official of this Policy shall result in the following:

- a) Termination of that Official's privilege to use City CAL-cards, unless such privilege is reinstituted by the City Council; and/or
- b) Ineligibility for any future pre-paid travel, unless such eligibility is restored by the City Council.

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PURPOSE

Whereas, the City of Mission Viejo (the "City") takes its stewardship over the use of its limited public resources seriously.

Whereas, public resources should only be used when there is a substantial benefit to the City.

Whereas, such benefits include:

1. The opportunity to discuss the community's concerns with state and federal officials;
2. Participating in regional, state and national organizations whose activities affect the City.
3. Attending educational seminars designed to improve City officials' skill and information levels; and
4. Promoting public service and morale by recognizing such service.

Whereas, 1) legislative and other regional, state and federal agency business is frequently conducted over meals; 2) sharing a meal with regional, state and federal officials is frequently the best opportunity for a more extensive, focused and uninterrupted communication about the City's policy concerns; and 3) each meal expenditure must comply with the limits and reporting requirements of local, state and federal law.

Whereas, this policy provides guidance to both elected and appointed City officials on the use and expenditure of City resources, as well as the standards against which those expenditures will be measured.

Whereas, this policy satisfies the requirements of Government Code sections 53232.2 and 53232.3.

Whereas, this policy supplements the definition of actual and necessary expenses for purposes of state laws relating to permissible uses of public resources.

Whereas, this policy also supplements the definition of necessary and reasonable expenses for purposes of Federal and State income tax laws.

POLICY

APPLICATION

This policy shall apply to any "member of a legislative body," as defined by Government Code Section 53232. The term "legislative body" includes the City Council and any City commission, committee, board, or other body of the City, whether permanent or temporary, decision-making or advisory, created by ordinance, resolution, or formal action of a legislative body. However, advisory committees, composed solely of the members of the legislative body that are less than a quorum of the legislative body are not legislative bodies, except that standing committees of a legislative body,

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irrespective of their composition, which have a continuing subject matter jurisdiction, or a meeting schedule fixed by ordinance, resolution, or formal action of a legislative body are legislative bodies for purposes of this policy.

This policy shall also apply to the City Manager, and City Attorney. The City Manager shall establish administrative policies governing the attendance, conduct and reimbursement of expenses for employees of the City other than the City Manager, and City Attorney.

The Mayor shall have the authority to approve the expense reports of the City Manager. The City Manager shall have the authority to approve the expense reports for all other City officials.

This policy shall also apply to any portion of a City employee's request for reimbursement that is for a City official's expense.

This policy also applies to any charges made to cash advances.

Travel and attendance by a member of officially established boards and commissions shall be restricted to intrastate unless specifically authorized by the City Council.

A member of a legislative body of the City of Mission Viejo, the City Manager, the and the City Attorney are referred to as "City official" in this policy.

AUTHORIZED EXPENSES

City funds, equipment, supplies (including letterhead), titles, and staff time must be used only for authorized City business. Expenses incurred in connection with the following types of activities generally constitute authorized expenses, as long as the other requirements of this policy are met:

1. Communicating with representatives of county, regional, state and national government on City adopted policy positions;
2. Attending educational seminars or conferences designed to improve City officials' skill and information levels;
3. Participating in county, regional, state and national organizations whose activities affect the City's interests;
4. Recognizing service to the City (*e.g.*, thanking a longtime employee with a retirement gift or celebration of nominal value and cost);
5. Attending events in the capacity of a member of a City legislative body;
6. Meeting with citizens of the City to discuss City issues;

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7. Implementing a City-approved strategy for attracting or retaining businesses to the City, which will typically involve at least one staff member.

All other expenditures that do not fall within this policy shall be approved by the City Council in a public meeting before the expense is incurred.

Examples of personal expenses that the City will not reimburse include, but are not limited to:

1. The personal portion of any trip;
2. Political or charitable contributions or events;
3. Family expenses, including partner's expenses when accompanying a City official on City-related business, as well as child-related or pet-related expenses;
4. Entertainment expenses, including theater, movies (either in-room or at the theater), sporting events (including gym, massage or golf related expenses), or other cultural events;
5. Non-mileage personal automobile expenses, including repairs, traffic citations, insurance or gasoline; and
6. Personal losses incurred while on City business.

COST CONTROL

To conserve City resources and keep expenses within community standards for public officials, expenditures should adhere to the following guidelines. In the event that expenses are incurred which exceed these guidelines, the cost borne or reimbursed by the City will be limited to the costs that fall within the guidelines.

TRANSPORTATION

The most economical mode and class of transportation reasonably consistent with scheduling needs and cargo space requirements must be used, using the most direct and time-efficient route. Charges for rental vehicles to get to a conference from the City, or to return to the City may be reimbursed under this provision if more than one City official is attending an out of town conference, and it is determined that sharing a rental vehicle is more economical than other forms of transportation. In making such determination, the cost of the rental vehicle, parking and gasoline will be compared to the combined cost of such other forms of transportation. Government and group rates must be used when available. Appropriate documentation shall be submitted on the comparative costs and to substantiate the government and group rates. When using a rental car, all insurance coverage available for the rental car from the provider must be purchased.

Airfare. Airfares that are equal to or less than those available through the Enhanced Local Government Airfare Program offered through the League of California Cities (www.cacities.org/travel), and the State of California are

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presumed to be the most economical and reasonable for purposes of reimbursement under this policy.

Automobile. Automobile mileage is reimbursed at the Council approved rate in effect at the time of travel. This rate is designed to compensate the driver for gasoline, insurance, maintenance, and other expenses associated with operating the vehicle. This amount does not include bridge and road tolls, which are also reimbursable. The Council approved rate will not be paid for rental vehicles; only receipted fuel expenses will be reimbursed for rental vehicles.

Car Rental. Rental rates that are equal or less than those available through the State of California's website (<http://www.catravelmart.com/default.htm>) shall be considered the most economical and reasonable for purposes of reimbursement under this policy. All insurance coverage available for the rental car from the provider must be obtained.

Taxi/Shuttle. Taxi or shuttle fares may be reimbursed, including a maximum of 15 percent gratuity per fare, when the cost of such fares is equal or less than the cost of car rentals, gasoline and parking combined, or when such transportation is necessary for time efficiency.

LODGING

Lodging expenses will be reimbursed or paid for when travel on official City business reasonably requires an overnight stay. Prior to traveling, the designated person as defined in the "Application" section of this policy will approve requests for overnight stays.

Conferences/Meetings. If such lodging is in connection with a conference, lodging expenses must not exceed the group rate published by the conference sponsor for the meeting in question if such rates are available at the time of booking. If the group rate is not available, please see "Other Lodging" section.

Other Lodging. Travelers must request government rates, when available. A list of hotels offering government rates in various areas is available at <http://www.catravelmart.com/lodguideframes.htm>. Lodging rates that are equal to or less than the government rates are presumed to be reasonable and hence reimbursable for purposes of this policy. In the event that government rates are not available at a given time or in a given area, lodging rates that do not exceed the IRS per diem rates for a given area as listed in IRS Publication 1542, Specific Locality Method table, are presumed reasonable and hence reimbursable.

MEALS

Meal expenses and associated gratuities should be moderate, taking into account community standards and the prevailing restaurant costs of the area. The Internal Revenue Service per diem rates for meals and incidental expenses as listed in IRS Publication 1542, Specific Locality Method table, for the location of the conference or meeting shall be used to determine the maximum amount of daily reimbursement for such items, except that the costs of all meals offered by the conference sponsor, or by an organization other than the conference sponsor, during the conference are considered reasonable and are reimbursable under this policy.

The City will not pay for alcohol or personal bar expenses.

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TELEPHONE/FAX/CELLULAR PHONE

City officials shall utilize City provided cell phones whenever possible. City officials will be reimbursed for actual telephone expenses incurred on City business made on non-City phones. Telephone bills should identify which calls were made on City business. For cellular phone calls made with the City official's personal cell phone, the City official shall identify the percentage of public business usage by dividing the number of minutes used for public business by the total number of minutes provided in the City official's plan. The City official will be reimbursed for that percentage of his personal cell phone invoice. City officials shall also be reimbursed for fax expenses incurred on City business.

INTERNET

City officials will be reimbursed for Internet access connection or usage fees away from home, not to exceed \$15.00 per day, if Internet access is necessary for City-related business.

AIRPORT PARKING

Long-term parking must be used for travel exceeding 24 hours.

OTHER

Incidental expenses consist of fees and tips given to porters, baggage carriers, bellhops, hotel maids, flight attendants, and transportation between places of lodging or business and places where meals are taken. Incidental expenses are combined with meal reimbursements and are subject to the Meals and Incidental Expense (M & IE) per diem amounts published in IRS Publication 1542. Gratuities up to 15 percent will be reimbursed. City officials should maximize all other sources of reimbursement opportunities to the extent eligible.

Items purchased such as conference or event tapes, CD's, or books shall be reimbursable expenses under this policy provided these purchases are directly related to City business. The maximum amount of reimbursement for these items shall be limited to \$100 per trip or event.

CASH ADVANCE POLICY

From time to time, it may be necessary for a City official to request a cash advance to cover anticipated expenses while traveling or doing business on the City's behalf. Such request for an advance should be submitted to the Administrative Services Department 5 days prior to the need for the advance with the following information:

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1. The purpose of the expenditure(s);
2. The benefits of such expenditure to the residents of the City;
3. The anticipated amount of the expenditure(s) (for example, hotel rates, meal costs, and transportation expenses); and
4. The dates of travel or expenditure;
5. Copy of the approved Travel Request and Expense Report-CM, , Council form.

Any unused advance must be returned to the Administrative Services Department within two (2) business days of the City official's return from his or her trip, along with an expense report and receipts documenting how the advance was used in compliance with this expense policy.

In the event the Director of Administrative Services is unable to determine whether a request complies with this policy, such individual must seek resolution from the City Council.

EXPENSES REPORT CONTENT AND SUBMISSION DEADLINE

All cash advance expenditures, and expense reimbursement requests must be documented on the City's Travel Request and Expense Report – CM, , Council form or the City's Authorization for Use of Private Vehicle Expense Report and Demand for Payment Form, both of which may be found on the City's intranet site. Such expense reports must be submitted to and reviewed by the Administrative Services Department. These forms shall include the following advisory:

“All expenses reported on this form must comply with the City's policies relating to expenses and use of public resources. The information submitted on this form is a public record. Penalties for misusing public resources and violating the City's policies include loss of reimbursement privileges, restitution to the City, civil and criminal penalties as well as additional income tax liability.”

Expense reports must document how the expense in question meets the requirements of this policy. For example, if the meeting is with a legislator, the City official should explain whose meals were purchased, what issues were discussed and how those relate to the City's adopted legislative positions and priorities.

City officials must submit their expense reports for all expenses incurred except personal automobile mileage within 30 days of an expense being incurred, accompanied by receipts documenting each expense. Restaurant receipts, in addition to any credit card receipts, are also part of the necessary documentation. For personal automobile mileage reimbursement requests, City officials must submit a monthly request for reimbursement by the last day of the month following the end of the month that the mileage was incurred. As an example, mileage incurred in the month of January

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must be submitted for reimbursement no later than the last day of February.

The approving authority may accept expense reports submitted up to 30 days later than the above timeframes. All expense reports submitted more than 30 days later than the above deadlines must be approved by the City Council. Expense reports submitted later than the timeframes prescribed above may result in the expense being borne by the City official.

AUDITS OF EXPENSE REPORTS

All expenses are subject to verification that such expenses comply with this policy.

All expense reports shall be reviewed by the Administrative Services Department and approved by the designated person as defined in the "Application" section of this policy. No person may approve his or her own expense report.

REPORTS TO GOVERNING BOARD

At the following legislative body meeting, each member of that legislative body shall briefly report on meetings, seminars, conferences or gatherings attended at the City's expense. If multiple City officials attended the same meeting, seminar, conference or gathering at the City's expense, a joint report may be made. Officials should not discuss among themselves the content of a joint report in advance of a public meeting. Asking one official to be the lead on the report during the public meeting and then asking others if anything was omitted is an appropriate process to meet Brown Act requirements.

COMPLIANCE WITH LAWS

City officials should keep in mind that some expenditures may be subject to reporting under the Political Reform Act and other laws. All agency expenditures are public records subject to disclosure under the Public Records Act and other laws.

CONDUCT AT A POLITICAL ACTIVITY OR EVENT

Council Members, members of boards and commissions, and City employees may not appear at a political activity or a political event relating to the election campaign of a candidate or a ballot measure as a representative of the City. Council Members, members of boards and commissions, and City employees may attend such events on their own time and at their own expense, but may not appear as a representative of the City or appear in a City uniform. Employees, member of boards and commissions, and Council Members may be introduced at such events so long as the introduction does not make it appear that they are representing the City. Council Members, members of boards and commissions, and City employees may appear at events to provide fair, accurate and impartial information to the public on the effects of

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ballot measures on City operations. See Government Code Sections 3201 et seq. and 54964 for the statutory prohibitions on solicitation of the political contributions from City Employees by candidates and elected officials and detailed restrictions on political activities of cities and city employees.

VIOLATION OF POLICY

Use of public resources or falsifying expense reports in violation of this policy may result in any or all of the following: 1) loss of reimbursement privileges, 2) a demand for restitution to the City, 3) the City's reporting the expenses as income to the elected City official to state and federal tax authorities, and 4) prosecution for misuse of public resources.

CITY OF NORWALK POLICY STATEMENT

Number: 09-02
Subject: Use of Public Resources - Business Meeting Attendance, Travel Authorization, and Expense Reimbursement
Adopted Date: 07/07/09
Effective Date: 07/07/09
Supersedes: 1.30, 1.38, 5.11, 02-01, 03-02, 06-01 and 09-01

I. Purpose

This policy shall establish standards for the documentation, approval and payment of cash advances and reimbursement of expenses incurred for meals, board, and travel by employees, elected officials and other persons who conduct City business.

II. General

The City of Norwalk encourages professionalism, technical competence and awareness of issues among the City's public officials. In order to accomplish this objective, the City Council hereby establishes the following policy governing attendance and participation by those public officials who attend meetings, conferences, conventions, seminars, and other official business. Only that travel/attendance which serves a municipal purpose and is deemed necessary and/or advantageous to the City of Norwalk shall be approved and reimbursed. Conference attendance is limited to those activities approved by the City Council in the budget process. Exceptions may occur (except for attendance by members of the City Council) when the City Council and/or City Manager determine that attendance is necessary at a conference or meeting which was not anticipated during the budget preparation. Exceptions for members of the City Council must be approved by the City Council.

For the purposes of this policy, "public official" means any elected, appointed, or appointed volunteer working for the interests of the City of Norwalk. This definition includes Councilmembers, Commissioners, employees, authorized volunteers, and others such as those who participate in oral boards and who assist the City in its business.

III. Authorization

A. City Council:

Travel to business related conferences shall be limited to the Mayor and/or Vice Mayor. However, in the event that neither can attend, the City Council may approve travel by another member of the Council.

B. City Manager:

Travel of the City Manager not included in the budget shall be approved by the City Council.

C. Staff Members:

The City Manager may authorize Department Directors to attend conferences. Department Directors may authorize staff members in their respective Departments to attend conferences.

D. Advisory Bodies/volunteers:

Department Directors may authorize Advisory Body members and/or volunteers providing services within their respective departments to attend conferences.

IV. POLICY

A. Authorized Expenses

City funds, equipment, supplies (including letterhead), and staff time must only be used for authorized business of the City of Norwalk. Expenses incurred by public officials in connection with the following types of activities generally constitute authorized expenses, and may be reimbursed by the City as long as the other requirements of this policy are met:

1. Serving the needs of the residents, businesses and visitors of the City of Norwalk;
2. Communicating with constituents in compliance with applicable laws;
3. Communicating with representatives of regional, state and national government on City policy positions;
4. Attending educational seminars designed to improve public officials' skill, knowledge, and information levels;
5. Participating in regional, state and national organizations whose activities benefit or affect the City's interests;
6. Recognizing service to the City (for example, thanking a longtime employee with a retirement gift or celebration or award of nominal value and cost);
7. Attending City, community, regional and other events;

8. Gathering facts and information regarding City projects, issues and priorities in other jurisdictions;
9. Implementing a City-initiated strategy for attracting or retaining businesses to the City;
10. Attending meetings such as those listed above for which a meeting stipend is expressly authorized under this policy; and
11. Keeping and using a personal automobile to undertake the above-referenced activities and to observe the City in order to determine traffic patterns, the condition of streets and property and to generally remain aware of the state of the City.

The reimbursement of an expense in excess of \$50 for any other purpose shall require prior approval by the City Manager.

Payments for international travel require specific prior City Council approval.

Examples of personal expenses that the City will not reimburse include, but are not limited to:

1. The personal portion of any trip;
2. Political or charitable contributions;
3. Family expenses, including partner's expenses when accompanying official on agency-related business, as well as children- or pet-related expenses;
4. Entertainment expenses, including theater, movies (either in-room or at the theater), recreational events not related to City business (including gym or massage expenses), cultural events not related to City business;
5. Non-mileage personal automobile expenses, including repairs, traffic citations, insurance or gasoline;
6. Personal losses incurred while on City business; and
7. Alcohol or bar expenses.

Any questions regarding the propriety of a particular type of expense should be resolved by the approving authority before the expense is incurred.

B. Cost Control

To conserve City resources and keep expenses within community standards for public officials, expenditures should adhere to guidelines as shown in Sections C through J. In the event that expenses are incurred which exceed these guidelines, the cost borne or reimbursed by the City will be limited to the costs that fall within the guidelines, unless such excess amounts have been approved in advance by the appropriate authority.

C. Transportation

The most economical mode and class of transportation reasonably consistent with scheduling needs, the public official's time constraints, and cargo space requirements must be used, using the most direct and time-efficient route. Charges for rental vehicles may be reimbursed under this provision if more than one City official is attending an out of town conference, and it is determined that sharing a rental vehicle is more economical than other forms of transportation. In making such determination, the cost of the rental vehicle, parking and gasoline will be compared to the combined cost of such other forms of transportation. Government and group rates must be used when available. The City Council recognizes and acknowledges that some public officials are part-time volunteers, and that personal, employment and other commitments may impact the economy of available travel arrangements.

1. **Airfare.** Airfares that are equal or less than those available through the Enhanced Local Government Airfare Program offered through the League of California Cities (www.cacities.org/travel), the California State Association of Counties (<http://www.csac.counties.org/default.asp?id=635>) and the State of California shall be, in most normal circumstances, presumed to be the most economical and reasonable for purposes of reimbursement under this policy. The City Council recognizes and acknowledges that such airfares are not always practicable or available in certain limited circumstances, and finds that higher airfares may be appropriate in individual cases.

2. **Automobile.**

Employees are encouraged to use City-owned vehicles in the performance of official business or for attending approved functions within the vicinity of the City. In addition, if practical, when staff members are attending the same function in either a City-owned or private vehicle, an attempt should be made to carpool to minimize costs.

The use of City-owned vehicles to attend conferences or meetings in excess of fifty (50) miles from City Hall requires the approval of the City Manager.

Automobile mileage is reimbursed at Internal Revenue Service rates presently in effect (see www.irs.gov). For 2009, the rate is .55 cents per mile.

The City Council hereby finds that members of the City Council incur at least \$500 each month to use and maintain personal automobiles to perform their official duties. In lieu of submitting reimbursement for actual miles driven, members of the City Council may receive a monthly payment in the sum of \$500 as authorized in Government Code Section 1223.

The City Council hereby finds that members of the Planning Commission incur at least \$200 each month to use and maintain personal automobiles to perform their official duties. In lieu of submitting reimbursement for actual miles driven, members of the Planning Commission may receive a monthly payment in the sum of \$200 as authorized in Government Code Section 1223. This payment shall be in lieu of and not in addition to the payment authorized in Section 2.16.090 (A) of the Norwalk Municipal Code.

As authorized by Government Code Section 1223, the City Council can authorize other City officials to receive monthly automobile reimbursement payments in lieu of submitting reimbursement for actual miles driven in such amounts as the City Council determines will reasonably reimburse such officials for the cost of using personal automobiles to perform their official duties.

The mileage rates and monthly payments for use of personal automobiles does not include bridge and road tolls, which are also reimbursable.

3. **Car Rental.** Rental rates that are equal to or less than those available through the State of California's website (<http://www.catravelsmart.com/default.htm>) shall be considered the most economical and reasonable for purposes of reimbursement under this policy. The Internal Revenue Service rates will not be paid for rental vehicles; only receipted fuel expenses will be reimbursed.
4. **Taxis/Shuttles.** Taxis and shuttle fares may be reimbursed, including a 15 percent gratuity per fare, when the cost of such fare is equal or less than the cost of car rentals, gasoline and parking combined, or when such transportation is necessary for time-efficiency.

D. Lodging

Lodging expenses will be reimbursed or paid for when travel on official City business reasonably requires an overnight stay. Determination on whether such stay is necessary shall be made by the appropriate official authorized to approve travel under Section III.

Reimbursement is allowable for lodging expenses associated with attendance at conferences or meetings provided the destination is beyond fifty (50) miles from City Hall. Overnight lodging expenses associated with locations nearer than fifty (50) miles from City Hall may be authorized by the City Manager based on early morning or late hour attendance requirements.

Lodging costs shall be based on a single occupancy room rate. When attending a conference, seminar or similar event, the maximum allowable reimbursement shall be the conference facility group room rate plus applicable taxes. Exceptions may be made on a case-by-case basis upon approval by the City Manager.

1. **Conferences/Meetings.** If such lodging is in connection with a conference, lodging expenses must not exceed the group rate published by the conference sponsor for the meeting in question if such rates are available at the time of booking. If the group rate is not available, see next section.
2. **Other Lodging.** Travelers must request government lodging rates, when available. A listing of hotels offering government rates in different areas is available at <http://www.catravelsmart.com/lodguideframes.htm>. Lodging rates that are equal or less to government rates are presumed to be reasonable and hence reimbursable for purposes of this policy. In the event that government rates are not available at a given time or in a given area, lodging rates that do not exceed the median retail price for lodging for that area listed on websites like www.hotels.com, www.expedia.com or an equivalent service shall be considered reasonable and hence reimbursable if, given the circumstances of the travel, such comparable rates can be found. In unique circumstances, the City Manager may approve the reimbursement of reasonable lodging costs that exceed the two standards above, if necessary under the particular circumstances.

E. Meals

Public officials shall take meals that are provided as part of a seminar or conference registration fee. Reimbursable meal expenses and associated gratuities for City Councilmembers and the City Manager shall not exceed fifty dollars per meal with a maximum of ninety dollars per day. Reimbursable meal expenses for other staff members shall not exceed the lesser of the limits for

Councilmembers or such lower amounts as shall be determined by the City Manager or the City Manager's designee.

Such amounts will be reviewed annually by the City Manager and City Council and may be adjusted to reflect changes in the cost of living in accordance with statistics published by the United States Department of Labor, Bureau of Labor Statistics Consumer Price Index, all urban consumers for the Los Angeles/Anaheim/Riverside Metropolitan Area. (The annual adjustment will be based on this area whether travel is within the area or not.) The City will not reimburse alcohol or bar expenses.

City funds may not be expended to reimburse City Councilmembers for expenses incurred to purchase meals for third parties, such as constituents, consultants, legislators and private business owners, hereafter known as "third parties." The City Manager and the City Manager's designees may be reimbursed for the cost of providing meals to third parties involving activities benefiting the City, such as oral boards or meetings held to discuss legislation, or business opportunities in the City; or other matters of benefit to the City, whether or not the activity is attended by Councilmembers. Councilmembers are prohibited from using City issued credit cards to pay for expenses incurred to purchase meals for third parties. In no case shall expenses for a meal be reimbursed to a non-employee other than a consultant or other person working for the City under contract; or to or for a family member of a City employee unless the family member is also an employee.

F. Telephone/Fax/Cellular

Officials will be reimbursed for all actual telephone and fax expenses incurred on City business. Telephone bills should identify which calls were made on City business. For cellular calls when the official has a particular number of minutes included in the official's plan, the official can identify the percentage of calls made on public business and be reimbursed for that percentage of applicable charges. The City may provide cellular telephones at the City's cost for the use of public officials for City business. In such event, the officials shall pay to the City the cost of any personal use of the cell phone either on a per call or percentage of use basis.

G. Computer

The City Council, City Manager, and employees as designated by the City Manager shall be provided a computer for their use at home or elsewhere to perform City business. The City shall also pay the cost of internet access for this computer. The computers shall be returned to the City immediately upon leaving City service.

H. Internet

On out-of-town trips, public officials will be reimbursed for Internet access connection and/or usage fees away from home, not to exceed \$15.00 per day, if Internet access is necessary for City-related business. Public officials may be reimbursed the actual cost of Internet connection fees for home use, if such connection is reasonably necessary for the public official to carry out his or her duties. The determination on whether such use is necessary shall be made by the appropriate official authorized under Section III

I. Airport and Other Parking Charges

The City will reimburse parking costs based on actual costs or the equivalent of long-term parking rates necessary for travel exceeding 24-hours.

J. Other

Baggage handling fees and reasonable gratuities will be reimbursed. Any expenses for which City officials receive reimbursement from another agency are not reimbursable.

K. Cash Advance Policy

From time to time, it may be necessary for an official to request a cash advance to cover anticipated expenses while traveling or doing business on the City's behalf. Such request for an advance should be submitted to the Department of Finance not less than 5 days prior to the need for the advance with the following information:

1. The purpose of the expenditure(s);
2. The benefits of such expenditure to the residents of City;
3. The anticipated amount of the expenditure(s) (for example, hotel rates, meal costs, and transportation expenses); and
4. The dates of the expenditure(s).

Any unused advance must be returned to the City within five (5) business days of the official's return, along with an expense report and receipts documenting how the advance was used in compliance with this expense policy. For City employees, the City Manager shall make the final decision regarding compliance with this policy. For the expenses of the City Manager and elected City officials, the City Council shall make such decisions, if necessary.

L. Credit Card Use Policy

Members of the City Council, the City Manager, and other public officials may use the City's credit card, if one has been issued, for such purposes as airline tickets, meals and hotel reservations. Receipts documenting expenses incurred on the City credit card and compliance with this policy must be submitted within five business days of the end of use. City credit cards may not be used at any time for personal expenses, even if the official subsequently reimburses the City.

M. Expense Report Content and Submission Deadline

All cash advance expenditures, credit card expenditures and expense reimbursement requests must be submitted on an expense report form provided by the City. This form shall include the following advisory:

All expenses reported on this form must comply with the City's policies relating to expenses and use of public resources. The information submitted on this form is a public record. Penalties for misusing public resources and violating the City's policies may include loss of reimbursement privileges, restitution, civil and criminal penalties, loss of office or employment with the City, as well as additional income tax liability.

Expense reports must document that the expense in question met the requirements of this policy.

Except when sooner required by this policy, public officials must submit their expense reports within ten (10) business days of an expense being incurred, accompanied by receipts documenting each expense. Restaurant receipts, in addition to any credit card receipts, are also part of the necessary documentation. The inability to provide such documentation in a timely fashion may result in the expense being borne by the official.

N. Verification of Expense Reports

All expenses are subject to verification by the Department of Finance/City Manager that they comply with this policy. The City Council and/or the Director of Finance or his/her designee may request additional documentation or explanation of individual expenditures for which reimbursement is requested by a public official.

O. Reports to the Public

At a subsequent City Council meeting, each City Councilmember shall briefly report, orally or in writing, on meetings attended at City expense. If multiple Councilmembers attended an event, a joint report or individual report on behalf of

all attendees may be made.

P. Compliance with Laws

City officials should keep in mind that some expenditures or reimbursements could be subject to reporting under the Political Reform Act and other laws. Records of all City expenditures and documentation regarding expense reimbursements are public records subject to disclosure under the Public Records Act.

Q. Violation of This Policy

Use of public resources or falsifying expense reports in violation of this policy may result in any or all of the following: 1) loss of reimbursement privileges, 2) a demand for restitution to the City, 3) the agency's reporting the expenses as income to the elected official to state and federal tax authorities, 4) civil penalties of up to \$1,000 per day and three times the value of the resources used, loss of office or employment with the City, and 5) prosecution for misuse of public resources.

Effective Date

This policy shall become effective immediately upon its adoption.

APPROVED AND ADOPTED BY ORDER OF THE CITY COUNCIL this 7th day of July 2009.

**CHERI KELLEY
MAYOR**

ATTEST:

**THERESA DEVOY
CITY CLERK**

CITY OF PATTERSON
ADMINISTRATIVE POLICY

TRAVEL AND MEETING POLICY	Directive No. 001
	Effective Date: Revised: 6/6/17

PURPOSE

City employees and City officials will receive reimbursement for all appropriate business expenses.

This policy is to assure that City employees and officials adhere to procedures when arranging for travel, lodging, meals and other expenses, and that they are paid for reasonable expenses incurred for travel, conferences, meetings, and meals as a result of conducting authorized City business. The policy assures that payments made by the City are for actual and necessary expenses incurred for City business. It also assures that City employees and officials will receive advances and/or reimbursements in a timely manner.

This policy assumes a mutual trust between the City of Patterson and its employees and City officials. Employees and City officials are expected to use good judgment in the expenditure of public funds with which they have been entrusted as the expenditure of public funds is a public record and subject to disclosure.

These guidelines are not intended to address every issue, exception, or contingency that may arise related to City travel. Accordingly, the basic standard that should always prevail is to exercise good judgment in the use and stewardship of the City's resources

APPLICABILITY

This policy applies to all City employees, City Council members, board members and commissioners.

AUTHORIZED TRAVEL EXPENSES

Except as otherwise provided, all employees, council members, boards members, and commissioners must seek prior authorization, pursuant to the reimbursement procedures set forth below, for reimbursement pursuant to this Section. Prior authorization includes a completed and authorized Travel Request Form.

Travel may be authorized for local and non-local travel activities, undertaken for the purpose of conducting City business, such as professional meetings, conferences and training sessions. Payments for travel and meeting expenses may be in the form of either advances or reimbursement, including appropriate registration fees, food, lodging, transportation costs, and reasonable incidental expenses as described in this Policy.

Expenses ineligible for reimbursement under this Section shall include, but are not limited to such expense related to the following activities:

- a. Attendance at political rallies;
- b. Events held for the purpose of supporting or opposing any ballot measure or individual candidate for public office;
- c. Expenses incurred by members of the employee's families;
- d. Any other expenditures not involving a public or business purpose, or not necessarily incurred in the performance of public purpose authorized by law.

All reimbursements made pursuant to this Section must be approved, by an employee's supervisor, or the Department Head. Reimbursements made to any Department Head must be approved by the City Manager. Approval of reimbursement for City Council Members, Boards Members, and Commissioners must be made by the City Manager. An individual may not authorize or approve reimbursement for his/her own travel. Reimbursements pursuant to this Section for the City Manager, members of the City Council, Boards, or Commissions shall be subject to appropriation of funds in the annual budget and any supplemental policies adopted by ordinance or resolution.

Each Department Head shall be held responsible for the administration of this policy within his/her department, in consultation with the Finance Director and the City Manager. Administration of public expenditure funds shall be consistent with the adopted budget as set out in the budget detail document.

Travel should be scheduled to ensure leaving at a reasonable hour and arriving at the destination on time. Employees should also return promptly when City related business is finished, thereby minimizing the time away from work and ensuring full reimbursement of all related expenses.

Transportation

Transportation costs include, but are not limited to, regular class airplane, train, bus, shuttle, and taxi fares, bridge tolls, parking and car rental. Generally, the most direct and commonly traveled routes are recommended.

- a. Air Travel. Lower coach airfare rates are available by booking a flight as early as possible, and purchasing non-refundable tickets. Higher airfare may be avoided by staying over a Saturday night. In some instances, an extra night in a hotel/motel can be much less than the added cost of the airfare. Selection of carrier, reservations, and ticketing should be arranged as early as feasible to obtain the greatest discount. Additionally, consider the use of alternative transportation methods, such as using a nearby airport and ground transportation if the total fares are lower.
- b. Private Vehicles. City employees, City Council Members, Board Members, or Commissioners using their private vehicles for City business shall receive a per mile reimbursement at the rate established by the Internal Revenue Service (see www.irs.gov). Use of any private vehicle must be approved by an employee's supervisor, Department Head, or the City Manager in advance.

Actual expenses for gas, damages, needed service, depreciation, or repair to the personal vehicle occurring on the trip will be the responsibility of the traveler, as these costs are included in the per mile reimbursement.

- c. City Vehicles. City vehicles may be used if available, subject to any limitations regarding their use. The vehicle should be checked for safety and damages prior to travel. Spouses and guests are not allowed to accompany employee in a City vehicle. City Council Members, Board or Commissioners are not allowed to use City vehicles per the City's Risk Management Authority insurance policy.
- d. Rental Vehicles. Rental vehicles may be authorized when on City business and other modes of transportation are not available, too costly, or impractical.
 - i. Only small or intermediate size vehicles, or vehicles with an equivalent rental rate, should be authorized.
 - ii. When reasonably possible, where two or more persons are attending the same meeting, conference, or other travel activity, and a vehicle is needed, only one vehicle should be rented. Car rental insurance purchased by Council Members, Board Members, or Commissioners shall be purchased at his/her own expense.
 - iii. Car rental insurance must be purchased from the rental agency.
 - iv. As a precaution against paying for preexisting damage, the rental vehicle should be carefully examined before leaving the lot, and immediately report any damages to the car rental office.
- e. Public Transit and Carpooling. Those who travel are encouraged to make optimum use of available public transit services and carpooling.

Lodging.

- f. Lodging expenses may be authorized when associated with City business, a meeting, conference, or other activity greater than a driving distance of 100 miles from City Hall.
- g. Lodging expenses may be authorized when associated with a meeting, conference, or other travel activity within a driving distance of 100 miles from City Hall when early-hour attendance, late hour-attendance, or some other circumstance warrants local lodging.
- h. The City will pay for a single room per person (including taxes and parking) associated with City business as approved. The employee accommodations should be economical but practical. For example, it is preferable to stay at the hotel recommended by the conference, even if that hotel may be slightly more expensive than others in the area. If rooms are not available, an alternate hotel in proximity to the location of the conference or meeting should then be selected. The cost of the alternate hotel shall not exceed the cost expended at the hotels recommended by the conference. Check conference/meeting flyers or advertisements for the suggested hotel accommodations or contact the organization providing the seminar for hotel information. When making arrangements for lodging, a request should always be made for a government rate. If such a rate is available, it should be used.

- i. An employee, City Council Member, Board Member, or Commissioner may stay with a friend or relative while attending an out of town meeting, conference, or other travel activity; however, the City will not reimburse the employee for any payment to the friend or relative for lodging or other expenses.

Meals. Authorization may be granted for either actual meal expenses, or the maximum Federal per diem locality rate. Meals included in registrations costs cannot be claimed for reimbursement or advanced. If actual meal expenses are requested, all detailed receipts must be provided.

EXCLUDED EXPENSES

Expenses associated with the following items are not considered necessary expenditures or losses incurred in direct consequence of the discharge of duties, and no reimbursement shall be provided pursuant to this section.

1. Personal expenses such as laundry, barbering, valet service, in-room movies, and gratuities for porters, personal telephone calls or alcoholic beverages.
2. Additional expenses associated with the participation of a spouse or guest, including any increased room rate due to double occupancy.
3. Travel on behalf of another public agency, unless reimbursement is otherwise authorized by the City Council or the City Manager.

REIMBURSEMENT PROCEDURE

1. Reimbursement requests for City employees shall be submitted in accordance with this policy, as well as specific departmental policies, to the employee's supervisor, Department Head, or the City Manager. Requests for reimbursement for City Council Members, Board Members, or Commissioner must be submitted to the City Clerk's Office upon completion of any travel for which reimbursement is sought, the following items shall be promptly submitted:
 - a. A completed and approved Travel Request and Reconciliation Form (see attached);
 - b. All receipts hotel, parking, car rental, shuttles, taxis incurred while traveling. A receipt is not required for meal per diem, mileage reimbursements and other expenses for which receipts are not available (*i.e.*: incidental parking meter expenses); Per Diem rates and guidelines are based on rates outlined in the IRS GSA Standards: (see www.gsa.gov/);
 - c. Any other supporting related expenses such as conference program materials, etc.;
 - d. Individuals who travel may choose to make a copy for his/her own records.

Travel expenses will be reviewed and, if approved, forwarded to the Finance Department for reconciliation and payment. If reimbursement is due, the Finance Department will process a check on the next regularly scheduled run.

Employees, City Council Members, Board Members, and Commissioners are responsible for preparing and filing travel requests; travel advances requests, reimbursements, and travel expense reports. A request

for reimbursement may be rejected if inconsistent with the Travel Policy or does not serve a City business purpose. Should any request for reimbursement be rejected, any such request and supporting documentation will be returned to the employee for correction of any errors or omissions.

REIMBURSABLE EXPENSES. Except as otherwise provided, expenses associated with the following items may be approved for reimbursement pursuant to this Section.

VIOLATIONS. Violations of this policy may result in disciplinary action for employees, and include:

1. Failure to obtain prior authorization for reimbursement pursuant to this Section;
2. Failure to submit all documentation required for travel reimbursements and advancement travel payments (except meal per diem) pursuant to this Section within 30 days will delay the approval of future travel requests until outstanding documents have been submitted; and
3. Making any false statement, misrepresentation, or omission of material fact, or actual or attempted deception, fraud, or misconduct in connection with the expense reimbursement process.



(18)

BPC Policy No. 641

SUBJECT: TRAVEL AND BUSINESS EXPENSE REIMBURSEMENT POLICY

PURPOSE: To provide policy guidance for the reimbursement of travel, subsistence and business expenses to the members of the Board of Port Commissioners (Commissioners), employees and agents of the San Diego Unified Port District (District), as necessary. The objectives of these guidelines are multifold:

- To ensure that Commissioners, employees and agents of the District, as necessary, are reimbursed on a timely basis for all appropriate business travel expenditures that they have incurred.
- To ensure that the District's travel, subsistence, and business expenses are cost effective and necessary for the District's business.
- To set guidelines as to what expenditures are considered appropriate and therefore reimbursable.

The District's Travel and Business Expense Reimbursement Policy (Policy) reflects a commitment to developing a strong presence in a competitive global environment for the betterment of the San Diego region. This Policy includes a commitment to actively identifying and nurturing business opportunities, maintaining key stakeholder relationships, acting on training and best-practices needs in cooperation and collaboration with other ports, associations and industry groups for the District's long-term success. The Policy seeks to achieve these goals in a responsible, transparent and accountable manner.

A list of definitions is included for reference as Appendix A to the Policy.

Commissioners, employees and agents of the District as necessary will comply with this Policy and the procedures detailed in Administrative Procedure 106-121, "Out-of-Town Travel on Authorized District Business," Administrative Procedure 128-213, "Business Mileage Reimbursement," and Administrative Procedure 124-106, "Mobile Device Use Procedure." These Administrative Procedures are established, approved and revised by the Executive Director or designee.

This Policy will be reviewed on an annual basis for compliance with Internal Revenue Service (IRS) regulations, California Government Code and District policies and procedures.

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1. Approvals

Commissioners, employees and agents of the District, as necessary, engaging in out-of-town travel for business or professional development purposes must obtain approval prior to the travel. It is expected, absent extenuating circumstances, that approval and travel arrangements be made at least three (3) weeks prior to the trip taking place to obtain optimal airline and hotel reservations.

Where more than one employee participates in a business activity, the individual at the highest level of authority must report the expense or obtain a higher level approval (e.g., a Vice President's approval for a Director's expense paid by an employee). It is inappropriate to have an individual at a lower level of authority report the expense, and for an individual at a higher level of authority approve the expense when both participated in the activity. Expenses must be approved by an individual at a higher level of authority than the individual(s) on whose behalf the expense was incurred.

The Chair of the Board of Port Commissioners (Chair) may designate appropriate representatives of the Board to participate in Port-related travel requirements early in the calendar year. The maintenance of a quorum of Commissioners within the District for all scheduled meetings shall be a consideration in the Chair's decision on assignments. Travel for employees is permitted at the discretion of each Department Head or designee and will be considered within the parameters of each department's adopted budget, while maintaining focus on the benefits to the District in relation to the anticipated costs for the proposed travel. Any individual submitting a fraudulent expense report will be subject to disciplinary action up to and including termination, as well as penalties under applicable IRS regulations.

2. General Expense Reimbursement Guidelines

2.1 Reimbursable and Nonreimbursable Expenses

The District has established the following guidelines for travel, subsistence and business expense reimbursement for all Commissioners and District employees. If a Commissioner requests reimbursement for an expense that does not fall within the adopted policy, the expense shall be approved by the Board in a public meeting before the expense is incurred. Reimbursement to employees for any expenses that have not been covered in this document, or are unusual in type or amount, must be explained in detail on the expense report and is subject to approval by the Executive Director or designee.

The District will reimburse for reasonable, properly approved and substantiated travel, subsistence, and business expenses in accordance with the guidelines set forth in this

Policy. Such expenses may result from attendance at District-related conferences, seminars or meetings; in-town transportation or out-of-town travel for business purposes; or other business-related expenses.

The District will not reimburse for any expense amounts not actually incurred. For example, the District will not reimburse an amount in lieu of hotel costs when an individual stays with friends or relatives, nor will the District reimburse meal costs if in fact the actual costs were paid by another party.

If travel is personal and part business, then the travel expenses should be allocated between the reimbursable business portion and the nonreimbursable personal portion. The District does not reimburse the nonbusiness portion of travel expenses.

A list of the reimbursable and non-reimbursable expenses are listed in Appendix B. Commissioners and employees should refer to the remaining detailed sections of this policy to understand the limitations in each area.

2.2 Time Frames

The following are required time frames for receiving and returning travel advances and submitting travel expense reports. Failure to account for travel advances within following time frames may result in the suspension of privileges to obtain further advances and/or participation in future District-paid travel and the amount will be treated per IRS regulations.

- A travel advance must be accounted for within thirty (30) days of when an expense is paid or incurred.
- Expenses to be reimbursed must be reported and prepaid expenses must be accounted for within sixty (60) days after expenses are paid or incurred.
- A travel advance in excess of substantiated and allowable expenses must be returned to the District within one hundred twenty (120) days.

Written reminders will be sent to Commissioners and employees who have received travel advances and/or incurred prepaid expenses and who fail to submit an expense report within thirty (30) days of completion of the trip.

Employees terminating employment must file expense reports at least five (5) working days before the last date of employment. Failure to do so may result in the District denying the reimbursement request.

2.3 Substantiation of Expenses

Each traveler submitting a Travel Expense Report Statement must also submit a Travel Report explaining the trip. The Report should summarize the highlights of and/or the key results of the trip. Commissioners must provide a brief verbal report at the next regular meeting of the Board.

Substantiation of travel expenditures must include the following items:

- The amount of the travel expenditures.
- The dates of employee departure and return, and the number of travel days spent on business away from home.
- The destination or locality of the travel, described by name of city or town or other similar designation.
- The business reason for the travel or the business benefit gained or expected to be gained.

Pursuant to California Government Code, Commissioners must provide itemized receipts for all expenses regardless of the amount. The Executive Director, Port Attorney, Port Auditor, Executive Vice Presidents and Vice Presidents must also provide itemized receipts for all expenses regardless of the amount.

For all other employees, the District requires that itemized receipts must be provided for all expenditures of \$25 or more.

For both Commissioners and employees, each receipt must be imprinted with the name of the business and date. In those instances where a receipt is lost or otherwise unavailable, a written statement of the circumstances must be attached and may, or may not, be accepted for reimbursement, depending upon the circumstances.

2.4 Cancellation and Penalties

If a conference or seminar registration fee, airline ticket, or hotel deposit was prepaid by the District, and the employee is unable to travel and the prepayments are not refundable, the employee shall reimburse the District for all prepaid costs, unless the inability to attend is for valid medical reasons, personal emergencies, or trip cancellation by the District or customers in the case of sales calls. In the case of trip cancellation, Commissioners and employees shall return any travel advance promptly to the District. Employees shall also reimburse any non-refundable prepayment promptly to the District.

2.5 Loss and Theft of Personal Effects

Commissioners and employees are encouraged to leave valuable items at home. If that is not possible, items should be placed in a hotel safe when available.

In the case of losses during foreign travel, the District may have some coverage under a foreign liability policy. In the event of loss or theft of personal effects where District insurance does not exist, the Commissioner or employee may choose to file a claim against their personal auto and/or homeowner's insurance policies for reimbursement if possible. Insurance deductibles for damaged, lost or stolen items may be reimbursed on a case-by-case basis.

3. Travel and Subsistence Expenses

3.1 Air Travel

3.1.1 Travel Services Coordinator/Travel Management Company

All airline tickets shall be obtained through the Travel Services Coordinator/Travel Management Company. All unused tickets, refundable or nonrefundable, shall be returned to the Travel Services Coordinator/Travel Management Company for credit or reuse. All lost or misplaced tickets must be reported to the Travel Services Coordinator/Travel Management Company who will arrange replacement or refund. Commissioners and employees shall not exchange airline tickets purchased by the District. Any exchanges shall be administered by the Travel Services Coordinator/Travel Management Company.

3.1.2 Airfares

Air travel by Commissioners and employees ordinarily should be at the lowest fare available for the applicable class of service that permits travel at reasonable times and with reasonable itineraries taking into consideration business needs, total travel time, the nature of the trip and the participants. This is inclusive of the District's intent to support San Diego region businesses, which includes direct international flights to and from San Diego International Airport. The cost of upgrading an air ticket from a reimbursable class of service to a higher class of service (e.g., the charge to upgrade plus the differential between the lowest applicable fare available and any higher fare that is required to upgrade), is considered a personal expense. This applies to Commissioners or employees who opt to upgrade their air tickets at a cost that exceeds the following reimbursable guidelines:

- For air travel within the United States (including Hawaii and Alaska), Mexico and Canada ; Coach fare basis.

- For air travel outside the United States, Mexico and Canada, Business Class fare (or First Class if Business Class is not available.) For flights under this rule, the domestic leg/connecting flight may be booked as Business Class fare as well.

Exceptions may be allowed for free upgrades, upgrades paid by the traveler, or upgrades necessitated by documented medical or physical condition under the Americans with Disabilities Act.

3.1.3 Discounted Fares

Commissioners and employees are expected to take advantage of the advance ticket pricing. However, where discounted fares are available only with penalties for cancellation or change, the probability of cancellation or change should be weighed against the amount of the discount, the size of the penalty, and the likelihood of future use.

To obtain the most economical fare when booking air travel, Commissioners and employees should provide general departure and arrival times, rather than specific carriers and flights. The ideal reservation is one with the least cost but is not unduly inconvenient.

Ordinarily, individuals may choose to depart one or two days early (e.g., on a Saturday for a meeting beginning on Monday morning) or to stay one or two extra days (e.g., until Sunday after a meeting ending on Friday or Saturday) if by doing so they are able to obtain a discounted airfare which they would not otherwise receive, and as long as the combined cost of the discounted airfare and additional allowable expenses are less than the cost of the lowest airfare otherwise available. If the additional travel does not meet these guidelines, it will be treated as a personal expense.

3.1.4 Public Transportation

Out-of-town travel may entail the use of taxis, shuttles, livery service, ferries, buses or other public transportation to go to and from the airport or for movement around a metropolitan area. Cities differ in the types of cost-effective transportation that they offer for transfers to and from airports or around the city. Individuals should choose the least expensive, safe and direct type of transportation. In general, transportation to and from the airport should be by airport shuttle unless unavailable. Other reasonable transfer costs will be reimbursed.

When a personal automobile is used for transfer to an air, rail, or ship terminal, day parking at terminals will be reimbursed; however, automobiles should not be parked for extended periods at terminals unless the combined cost of mileage reimbursement and parking is less than other available transfer costs. See section entitled "Parking" for a further explanation of reimbursable parking expenses.

3.1.5 Travel of a Spouse, Significant Other, Family Member or Friend

The cost of travel and any related cancellation fees for a spouse, significant other, family member, or friend is considered a personal expense and is not reimbursable by the District.

3.1.6 Airline Air Phone Usage

Except in emergencies, usage of air phone service is reimbursable only for District business purposes.

3.1.7 Frequent Flyer Award Programs

The District does not reimburse individuals for the value of frequent flyer miles or points redeemed to acquire airline tickets or hotel rooms for out-of-town travel on District business.

Individuals may use frequent flyer miles or points earned through business travel for personal purposes (e.g., personal or family travel). Commissioners and employees may use frequent flyer miles or points to upgrade from a reimbursable class of service to a higher class of service. However, where there is a monetary cost in upgrading, e.g., a charge to upgrade or a higher fare is required, such costs are a personal expense.

Membership dues in frequent flyer and similar award programs (e.g., American Express Membership Rewards Program or Diners Club Rewards) are a personal expense.

3.2 Automobile Travel and Rental Cars

3.2.1 Mileage Allowance and Tolls

Individuals may opt to drive to an out-of-town location instead of fly, if economically feasible. When it is necessary for individuals to travel by personal automobile to out-of-town locations, two or more persons should travel in the same automobile whenever practical to reduce expenses. When a personal automobile is used to travel to an out-of-town location on District business, the District will reimburse tolls paid and actual mileage driven at the District established mileage rate. In these cases, the District will reimburse the lower of either the lowest authorized class of fare available and transfers at that time, or the cost of mileage and tolls paid. The maximum reimbursement shall not exceed the cost of the least expensive authorized class of airfare to the same location.

3.2.2 Parking

The District will reimburse reasonable parking costs incurred while using an automobile on out-of-town District business. The District will reimburse the lesser of the parking cost for a personal vehicle left at the long term parking facility, the cost of a shuttle service, or the cost of a taxi to and from the airport. See section entitled "Public Transportation" for a further explanation of reimbursable transfer expenses.

3.2.3 Rental Cars

Use of automobile rentals while on out-of-town business travel should be limited to those circumstances where the need for an automobile for business purposes is expected to be extensive, where safety of the traveler is a concern, or the use of taxi services or public transportation would not be economical or practicable.

Reservations for a rental car must be made through the Travel Services Coordinator/Travel Management Company so that the optimal reservation can be obtained. When use of a car rental is required, the District will reimburse the expense up to a mid-size vehicle, unless the number of persons traveling requires a larger car. If the District's business is located in the same hotel in which the individual is staying, the cost of the rental car will not be reimbursed unless a vehicle is needed to make a significant amount of business related travel at the travel destination. If using a rental car or personal vehicle, use of a taxi or shuttle is not reimbursable, unless it is more economical (e.g., where the hotel's parking fee is \$20 per day, with no in/out privileges).

Detailed and itemized car rental receipts are required for reimbursement of the cost by the District to the Commissioner or employee. The receipt shall include: make of the car, price per day or week, taxes, and other charges as assigned. A copy of the car rental contract must accompany the reimbursement request. Copies of credit card billing receipts not listing itemized details are insufficient for reimbursement.

3.2.4 Insurance Coverage for Rental Cars

The District's Business Auto Policy (BAP) provides liability, collision, and comprehensive coverage for vehicles rented in the United States, territories and possessions of the U.S., Puerto Rico and Canada by Commissioners and employees while on District business. Additionally, the District has a Travel Accident Policy that provides benefits in the event of accidental death or dismemberment while Commissioners and employees are traveling worldwide on District business. Therefore, while traveling in the U.S., Commissioners and employees should decline all optional liability, property damage and other coverage and waivers offered by the various car rental companies. Commissioners and employees who purchase such coverage and waivers do so at their own expense.

The District's BAP does not provide liability or property damage coverage for vehicles rented in foreign countries other than Canada. Therefore, if and when District Commissioners and employees rent vehicles in foreign countries other than Canada, they should accept all liability insurance coverage and physical damage waivers offered by the rental companies.

3.2.5 Refueling Charges on Rental Cars

Rental car company charges for refueling the car upon return are very expensive. Individuals should make every effort to refuel the car before returning it. If it is offered, and a gas station is not reasonably close to the rental car facility, the traveler should consider pre-paying gasoline.

3.2.6 Personal Use of Rental Cars

Should individuals elect to rent a car even though it is not necessary for use in traveling to and from seminar/conference sites and local restaurants (within a reasonable distance), the car rental is considered a personal expense. All costs of cars rented for personal use (entertainment, shopping, visitation of a friend, etc.) are a personal expense. If a car is rented for combined business and personal use, the total cost of the rental should be allocated between reimbursable business and nonreimbursable personal expense.

3.3 Lodging and Associated Expenses

3.3.1 Lodging

The hotel and type of room selected will be managed by the Travel Services Coordinator/Travel Management Company to obtain appropriate accommodations at the best available rates. Whenever possible, the Traveler should stay at the seminar/conference or business meeting sites to take advantage of group rates and avoid incurring unnecessary transportation costs for taxis or rental cars.

If a hotel reservation must be cancelled, it is the responsibility of the traveler to advise the hotel prior to the arranged date of arrival to avoid "no show" charges.

3.3.2 Laundry and Dry Cleaning

On out-of town business travel consisting of three (3) or more consecutive nights, the District will reimburse reasonable laundry and dry cleaning costs. The District does not reimburse for laundry and dry cleaning costs on out-of-town business travel of fewer than three (3) consecutive nights.

3.3.3 Additional Hotel Charges

Lodging includes only the cost of a single occupancy room and related costs such as room taxes. Meal costs included on the hotel bill should be classified as "Meals." Other business expenses, e.g., business faxes, included on the hotel bill should be accurately classified on the Travel Expense Report. Personal expenses included on the hotel bill, e.g., in-room movies, should be redacted as personal expenses and should not be submitted for reimbursement. Refer to section 2.3, Substantiation of Expenses for further detail.

3.4 Meals and Associated Expenses

3.4.1 Meals

Commissioners and employees are reimbursed for reasonable, actual meal costs that are appropriate for the different circumstances.

3.4.2 Meals and Entertainment with Business Associates

The District encourages activities with business associates who may assist in business development for the District. The business associates entertained and the form of entertainment should be directly related to District business.

Documentation for business entertainment must include the following items:

- The amount of each separate entertainment expense. Incidental items such as taxi fares and telephone calls may be totaled on a daily basis.
- The date the entertainment took place.
- The name, address, or location and the type of entertainment (e.g., dinner, theater, etc.), if the information is not apparent from the designation of the location.
- The reason for the entertainment, or the business benefit gained or expected to be gained, and the nature of any business discussion or activity that took place.

Commissioners and employees must submit adequate substantiation for the expenses claimed or they will not be reimbursed.

3.5 Foreign Currency Conversion

Reimbursement for travel to a foreign country shall be calculated at the average posted exchange rate during the trip, unless the currency exchange receipt or printout from a currency exchange rate site (such as www.oanda.com) showing the date of travel and the

conversion rate is attached. The District will not accept out-of-town expense reports, or the return of travel advances, calculated in foreign currency. Refunds to the District on travel advances paid to Commissioners and employees will be made in U.S. currency only.

3.6 Third-Party Payments

Travel and subsistence expenses received from third parties shall be disclosed in compliance with California Code of Regulations as promulgated by the California Fair Political Practices Commission.

4. Other Business Expenses

4.1 Gratuities

Gratuities paid while out on District business are reimbursed based on actual amounts expended up to maximums identified below plus or minus \$1.00. Gratuities are normally identified separately when paid to bellmen or airport porters. Gratuities for meals and transportation are normally included in the expenses for these categories. Receipts are not required for gratuity reimbursement.

Reasonable gratuities by category are:

- Meals Not greater than 18%
- Other travel services 15%

Gratuities greater than the amounts identified above are considered personal expenses and are not reimbursable.

4.2 Telephone Calls

4.2.1 Business Telephone Calls

The District will reimburse any business-related calls made while out of town on District business. Commissioners and employees are encouraged to use the lowest cost option for these calls; for instance, dialing directly from a hotel room should be the last resort as it is the typically the highest cost alternative.

4.2.2 Personal Telephone Calls

The District will reimburse the reasonable cost of one telephone call per day made by an individual to his or her family or significant other during an out-of-town assignment. Use the lowest cost option for this call, dialing directly from your hotel room should be the last resort as it is typically the highest cost alternative.

4.3 Cellular Phones

Within the United States, those with a District issued cellular phone should use it as usual for business calls and the allowable personal call per day. Outside the United States, refer to Administrative Procedure No. 124-106, Mobile Device Use Procedure.

4.4 Business Fax and Overnight Shipping Charges

Business fax charges and overnight shipment charges while traveling are reimbursable expenses. Generally, fax charges, if available through the hotel's business center, are the least expensive.

4.5 Office Supplies

The District maintains an inventory of standard office supplies used routinely in its work. Supplies that are not standard and are a personal preference are considered a personal expense. In most cases, individuals should not purchase supplies directly. In rare cases, e.g., on out-of-town travel, where it is impractical to obtain supplies from the office, individuals may purchase supplies directly, subject to approval on the Travel Expense Report.

4.6 Promotional Expenses – Local

When authorized and required to make expenditures locally on District business, Commissioners and employees are entitled to receive reimbursement for necessary expenses incurred.

Appendix A

Definition of Terms

Agent of the District: An agent of the public, State or government; a person authorized to act for the public in some manner pertaining to the administration of government or to aid District officials in the performance of the public interest.

Coach Fare: Any fare available in the Coach cabin. Economy plus/coach elite seating service may vary from airline to airline and use various names, but it is in the economy/coach cabin and is considered Coach Fare.

In-town Transportation: Travel that does not fall under the category of out-of-town travel defined below.

Livery Service: A business that keeps vehicles that people can hire (usually alternate transportation such as boats).

Out-of-town Travel: When a traveler is required to be away from the general area of their home substantially longer than an ordinary day's work and the traveler needs to sleep or rest to meet the demands of work while away from home. Generally that would mean a location outside of San Diego County.

Reasonable Calculation for a Travel Advance: The amount of money advanced does not exceed the amount of anticipated expenditures.

Reasonable Time for Issuance of a Travel Advance: Within thirty (30) days of when an expense is paid or incurred.

Reasonable Time for Substantiation of Expenses to the District: Within sixty (60) days after it is paid or incurred.

Reasonable Time for Return of Travel Advance Amount Not used: Within one hundred twenty (120) days.

Appendix B

Reimbursable Expenses

The following out-of-town travel, business and subsistence expenses, when reasonable and properly substantiated, are reimbursable through timely expense reporting:

- Air, ship, or train travel
- Airline baggage check fees
- Foreign transaction fees when on international travel
- Insurance deductible and amounts not reimbursed by insurance for damage to a personal automobile while on District business may be reimbursed on a case-by-case basis
- Insurance deductible and amounts not reimbursed by insurance for theft of, or damage to, personal property from an automobile, hotel room, or office being used while on District business may be reimbursed on a case-by-case basis
- Transportation costs, including taxi fares, ferries, shuttles, etc., when necessary for business transfers
- Hotel or other lodging costs with itemized bill
- Hotel gym usage (excluding spa services, if any)
- Gratuities (up to a maximum of 18% for meals and 15% for other travel services, plus or minus \$1.00)
- One personal telephone call home per day
- Laundry and dry cleaning for travel requiring 3 or more consecutive nights away from home
- Rental car costs when necessary for out-of-town travel
- Mileage, parking charges, and tolls when using an automobile for District business
- Telephone and fax charges for business purposes while traveling Internet access fees
- Overnight shipment charges for business purposes while traveling
- Seminar and conference registration costs

- Meals and/or entertainment of business associates, in connection with a specific business purpose
- Meals and/or refreshments only for employees in connection with a specific approved group-related business activity (pre-approval of the Executive Director or Executive Vice President is necessary)
- Supplies, books, and equipment, if needed for seminars or conferences

Nonreimbursable Expenses

The following are examples of travel and subsistence and business expenses which are not reimbursed by the District:

- Alcohol and liquor served at meals, unless consumed by business associates
- In-room *personal* consumption of hotel mini-bar contents (except non-alcoholic contents, e.g., bottled water, soda or snacks)
- In-room movies or video games
- In-flight movies, airplane head set rental
- Laundry and dry cleaning for travel requiring fewer than three (3) consecutive nights away from home
- Newspapers and magazines
- Toiletries (Reasonable exception may be made in extraordinary circumstances where baggage is lost for an extended period of time and business is to be conducted upon arrival. Proof of lost luggage required.)
- Personal items and services (e.g., baby-sitting, haircuts, kennel fees, etc.)
- Apparel purchases (business or casual) (Reasonable exception may be made in extraordinary circumstances where baggage is lost for an extended period of time and business is to be conducted upon arrival. Proof of lost luggage required.)
- Travel insurance (the District's insurance provides coverage)
- Alarm clocks
- Cost of charter or rental of aircraft
- Parking tickets and traffic fines

- Gasoline, car washes, oil changes, and other maintenance or repair services for personal automobiles used on business trips (the District reimburses automobile expenses based on rate per mile driven which includes auto-related expenses)
- Car washes for rental cars
- Meals or entertainment with persons that have no direct business purpose
- Meals, refreshments, or entertainment among employees unless pre-approved by the Executive Director or Executive Vice President
- Dinner shows
- Unreasonably costly expenditures (e.g., meals at inappropriately expensive restaurants)
- Personal entertainment
- Gifts by employees to other employees, holiday greeting cards, etc.
- Briefcases (unless approved and purchased by the District)
- Office supplies such as pens and pencil sets, pocket calculators, or electronic devices such as daily organizers and personal digital assistants (unless approved and purchased by the District)
- Personal credit or debit card fees (e.g., transaction, membership or annual fees) except foreign transaction fees while on international travel
- Political contributions
- Membership dues in airline clubs for employees
- Membership dues in frequent traveler award programs (e.g., American Express Membership Rewards Program, etc.)
- Expenses incurred for the purpose of supporting or opposing, or raising money to support or oppose any candidate, ballot measure, or political party
- Expenses incurred with any club or organization that discriminates on the basis of race, gender, religion, sexual orientation, or other individuating criteria in its membership policy.

RESOLUTION NUMBER AND DATE: 2012-118, dated August 14, 2012 (Supersedes BPC Policy No. 641, Resolution No. 2000-247, dated November 14, 2000; Resolution 87-221, dated August 4, 1987; and Resolution 86-7, dated January 7, 1986)

(2)

REFERENCE
COPY

RESOLUTION 2012-118

59504

**RESOLUTION AMENDING BOARD OF PORT
COMMISSIONERS POLICY NUMBER 641, TRAVEL
AND BUSINESS EXPENSE REIMBURSEMENT
POLICY**

WHEREAS, the San Diego Unified Port District (District) is a public corporation created by the legislature in 1962 pursuant to Harbors and Navigation Code Appendix 1 (Port Act); and

WHEREAS, Section 21 of the Port Act authorizes the Board of Port Commissioners (Board) to pass all necessary ordinances and resolutions for the regulation of the District; and

WHEREAS, as part of the District's commitment to continuous improvements of its policies and alignment with best practices of public agencies, the President/CEO directed District staff to provide recommendations to the Board for revisions to Board Policy number 641, Travel and Business Expense Reimbursement Policy (Policy); and

WHEREAS, a team of District staff from Audit and Risk Management, Executive Offices, Financial Services, Port Attorney's Office, and the Office of Commissioner and Travel Services reviewed the existing Policy and recommended revisions; and

WHEREAS, District staff review the recommended Policy for compliance with the California Government Code sections 53232.2 and 53232.3, Internal Revenue Publication 463 – Travel and Entertainment, Gift and Car Expenses; and

WHEREAS, District staff reviewed for best practices the San Diego County Taxpayers Association recommendations on Travel and Business Expense Reimbursement approved by the association's board on May 14, 2010 and MasterCard Corporate Payment Solutions, "Best Practices Guide"; and

WHEREAS, District staff reviewed, as benchmarks, the State of California, University of California, San Diego County Regional Airport Authority, City/Port of San Francisco, City/Port of Los Angeles, Port of Long Beach, Port of Hueneme, Port of Stockton, Port of Sacramento, Department of Defense, "the Joint Travel Regulations, Volume 2 for Civilian Personnel"; and

WHEREAS, the recommended revisions to Board Policy number 641, (Attachment C to the corresponding Agenda Sheet) strive to consolidate and clarify information to make the Policy easier for Commissioners, employees and the public to understand and thus results in increased transparency.

NOW, THEREFORE, BE IT RESOLVED by the Board of Port Commissioners of the San Diego Unified Port District, as follows:

That Board of Port Commissioners Policy Number 641, Travel and Business Expense Reimbursement Policy, as amended, a copy of which is on file in the office of the District Clerk, is hereby adopted.

PASSED AND ADOPTED by the Board of Port Commissioners of the San Diego Unified Port District, this 14th day of August, 2012, by the following vote:

AYES: Burdick, Malcolm, Moore, Nelson, Peters, Smith, Valderrama

NAYS: None.

EXCUSED: None.

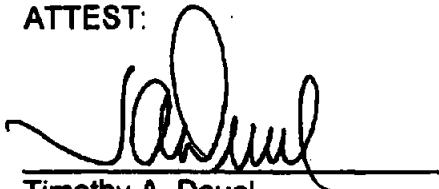
ABSENT: None.

ABSTAIN: None.



Louis M. Smith, Chairman
Board of Port Commissioners

ATTEST:



Timothy A. Deuel
District Clerk

(Seal)

(69)

AGENDA ITEM 37

SAN DIEGO UNIFIED PORT DISTRICT

Reference Copy
59504

DATE: August 14, 2012

SUBJECT: RESOLUTION ADOPTING REVISIONS TO BOARD OF PORT COMMISSIONERS (BPC) POLICY NO. 641, TRAVEL AND BUSINESS EXPENSE REIMBURSEMENT POLICY

EXECUTIVE SUMMARY:

As part of the San Diego Unified Port District's (District) continuous improvement of policies and procedures, staff has been working to recommend a number of revisions to BPC Policy No. 641, Travel and Business Expense Reimbursement Policy (Policy).

The majority of changes to the policy are to eliminate redundancies and to clarify and simplify the language. In addition, the current policy contains a number of sections that are procedural or administrative in nature. Staff recommends removing those sections to an Administrative Procedure that may be updated at the discretion of the President/CEO or designee to allow staff to be more effective and efficient in administrative handling of travel and expense reporting.

RECOMMENDATION:

Adopt a Resolution Revising Board of Port Commissioners (BPC) Policy No. 641, Travel and Business Expense Reimbursement Policy.

FISCAL IMPACT:

This agenda item has no fiscal impact.

COMPASS STRATEGIC GOALS:

The District's Travel and Business Expense Reimbursement Policy reflects a commitment to developing a strong presence in a competitive global environment for the betterment of the San Diego region. This Policy includes a commitment to actively identifying and nurturing business opportunities, maintaining key stakeholder relationships, acting on training and best-practices needs in cooperation and collaboration with other ports, associations and industry groups for the District's long-term success. The Policy seeks to achieve these goals in a responsible, transparent, and accountable manner.

The District is also looking to partner within the region by reaching out to public agencies, non-profit organizations and stakeholders in order to leverage our limited resources and maximize our "Return on Involvement" based on a shared vision to invest

ACTION TAKEN: 08-14-2012 - Resolution 2012118

in and grow our regional economy. In order to identify specific new avenues of cooperation, staff has invested in a number of local and regional relationships.

This agenda item supports the following Strategic Goal(s).

- ☒ A Port that the public understands and trusts.
- ☒ A Port with an innovative and motivated workforce.
- ☒ A financially sustainable Port that drives job creation and regional economic vitality.

DISCUSSION:

As part of the District's commitment to continuous improvements of its policies and alignment with best practices of public agencies, the President/CEO has directed staff to provide recommendations to the Board for revisions to Board of Port Commissioners Policy No. 641, Travel and Expense Reimbursement Policy (Policy).

A team of employees from Audit and Risk Management, Executive Offices, Financial Services, the Port Attorney's Office, and the Office of Commissioner and Travel Services reviewed the existing Policy and recommended changes. A Summary of Recommended Changes to BPC Policy No. 641 is included as Attachment A.

Staff reviewed the recommended Policy for compliance with the following laws and regulations:

- California Government Code Sections 53232.2 and 53232.3
- Internal Revenue Publication 463; Travel and Entertainment, Gift and Car Expenses
- Fair Political Practices Commission regulations

Staff also used the following references for best practices:

- San Diego County Taxpayers Association (Taxpayers Association) Recommendations on Travel and Business Expense Reimbursement approved by their Board on May 14, 2010
- Mastercard Corporate Payment Solutions, "Best Practices Guide"

Staff considered the following public agencies as benchmarks. A matrix, Comparison of Travel Policies by Subject, is included as Attachment B:

- | | |
|--|--|
| • State of California | • Port of Hueneme |
| • University of California | • Port of Stockton |
| • San Diego Regional Airport Authority | • Port of Sacramento |
| • City/Port of San Francisco | • Department of Defense, "The Joint Travel Regulations, Volume 2" for Civilian Personnel |
| • City/Port of Los Angeles | |
| • Port of Long Beach | |

The Recommended Revisions to BPC Policy No. 641 (Attachment C) strive to consolidate and clarify information to make the Policy easier for Commissioners, employees and the public to understand and thus results in increased transparency. A version of the policy with all redlined, recommended changes incorporated is included (Recommended Policy with Revisions Incorporated) as Attachment D for ease of review.

Port Attorney's Comments:

The Port Attorney's Office has been actively involved in promulgating and assisting in drafting the proposed revisions to the Policy. The Board may analyze the issues presented and take appropriate action.

Environmental Review:

This presentation to the Board does not constitute a "project" under the definition set forth in California Environmental Quality Act (CEQA) Guidelines Section 15378 and is therefore not subject to CEQA.

Equal Opportunity Program:

Not Applicable.

PREPARED BY: Donna Morales
Manager, Commissioner Services

Attachment(s):
Attachment A: Summary of Recommended Changes to BPC Policy No. 641
Attachment B: Comparison of Travel Policies by Subject
Attachment C: Recommended Revisions to BPC Policy No. 641
Attachment D: Recommended Policy with Revisions Incorporated

Attachment A to Agenda Sheet No. 37
Summary of Recommended Changes to BPC Policy No. 641

This summary is intended to capture the major changes to the policy, and is not intended to be comprehensive of all changes.

For all changes to the Policy, please see the "redline version."

Section	Description of the Change	Reasoning
Overall	• Consolidate information contained in various sections together. • Remove IRS regulation language and simplify. • Remove procedural and administrative portions of the Policy to an Administrative Procedure, which is approved by the President/CEO or designee. • Change language from should to shall (from guidelines to requirements.)	• Increase readability and clarity for the traveler, the approver and the public. • The District has a variety of Administrative Procedures that are approved at the discretion of the President/CEO or designee. Staff recommends that the administrative procedures related to travel (e.g., the forms that must be completed, details about how travel is booked, how staff processes expense reports) be under the purview of the President/CEO in order to allow the District to be effective in administering the policy.
Purpose	• Move Executive Summary to the beginning and add Subject and Purpose sections headings.	• Consistency with other Board Policies. • 2010 San Diego County Taxpayers Association recommends, "All policies should have detailed purposes and/or objectives that outline the intent of the policy at-hand."
	• Add a paragraph detailing the reasons for and benefits of District travel and business expenses.	• Increased clarity.
	• Add compliance with associated administrative procedures and a provision for annual review for compliance with IRS regulations, CA Government Code and Port policies and procedures.	• Reference other related document and provide for a review of the policy on a regular basis.
1. Approvals	• Add a section to consolidate all information relating approvals to that section.	• Clarifies that the Port adheres to the 2010 San Diego County Taxpayers Association recommendation, "There should be a mechanism in place to avoid all apparent and perceived conflicts of interest, such as ensuring that no one approves their own expenses."
2. General Reimbursable Guidelines	• Add a provision that Commissioner requests for an expense not falling within the policy shall be approved by the Board in a public meeting before the expense is incurred.	• Pursuant to Government Code section 53232.2(f).
	• Move listings of Reimbursable and Nonreimbursable Expenses to Appendix B.	• Highlights that the Port adheres to the 2010 San Diego County Taxpayers Association recommendation, "All policies should contain a list of the types of reimbursable expenses as well as a list of specific non-reimbursable expenses, such as alcohol or recreation."

This summary is intended to capture the major changes to the policy, and is not intended to be comprehensive of all changes.
For all changes to the Policy, please see the "redline version."

Section	Description of the Change	Reasoning
2.2 Time Frames	• Rename "Accountable and Nonaccountable Plans" to "Time Frames."	• Better reflects the intent of the section, consolidates all information relating to time frames to one section and simplifies for improved readability and clarity. • Highlights that the Port adheres to the 2010 San Diego County Taxpayers Association recommendation, "If cash advances are offered, there should be a requirement and a deadline to return unused monies." and "Expense reports should be required with appropriate deadlines set to ensure compliance with the Internal Revenue Service (IRS)."
2.3 Substantiation of Expenses	• Added a requirement for Commissioners to report out at a Board meeting after each trip. • Added requirement for all receipts for Commissioners, the President/CEO, Port Attorney, Port Auditor and Executive Vice Presidents and Vice Presidents. • Removed recommendation to submit receipts for under \$25 for employees.	• Pursuant to Government Code Section 53232.3(b). • Pursuant to California Government Code Section 53232.3 (c). • In order to improve transparency, staff recommends that the District's executives (President/CEO, Port Attorney, Port Auditor, Executive Vice Presidents and Vice Presidents) adhere to the same receipt requirements as the Commissioners. • Employees are not bound by the same provisions of the California Government Code. • Our requirement of a receipt over \$25 is more stringent than IRS regulations and the Federal Joint Travel Regulations, which both require receipts over \$75. • Considering that the District is a smaller organization, and the administrative burden of handling, tracking and processing receipts for small amounts, staff recommends that the current practice for employees remain the same, and simply remove the confusing language that recommends that these receipts be submitted even though they are not required.
2.5 Loss & Theft of Personal Effects	• Add Loss and Theft of Personal Effects section.	• To clarify what is reimbursable.

This summary is intended to capture the major changes to the policy, and is not intended to be comprehensive of all changes.
For all changes to the Policy, please see the "redline version."

Section	Description of the Change	Reasoning
3.1.1 Travel Services Coordinator/Travel Mgmt. Company	Require that all travel be arranged through the Travel Services Coordinator (change language from should to must).	- Mastercard Travel and Entertainment Best Practices Guide recommendation, "Consider Centralization of Corporate Travel Management Functions for Domestic and International Offices." - Aligns with Federal Joint Travel Regulation practices and related to centralization of travel management.
3.1.2 Airfares	- Remove provision for preference to San Diego International Airport. - Add an exception for upgrades necessitated by documented medical or physical condition under the Americans with Disabilities Act. - For air travel within the United States (including Hawaii and Alaska), Mexico and Canada, Coach fare basis. - For air travel outside the United States, Mexico and Canada, Business Class fare (or First Class if Business Class is not available.) For international flights under this rule, the domestic leg/connecting flight may be booked as Business Class fare.	- Increase flexibility for flights out of other airports (e.g., Los Angeles International Airport, McClellan-Palomar Airport, etc.). - The airfare section of the Policy is the area that staff recommends the most dramatic revisions from a policy perspective. It has been many years since the Policy concerning airfares was revised. About half of the agencies benchmarked had a policy of Coach fare only no matter the duration of the flight. Staff believes this requirement is onerous for extremely long flights, and recommends a policy that recognizes the rigors of international business travel wherein Commissioners and employees are expected to conduct business the same day or first thing in the morning upon arrival at a destination. In these cases, Coach fare for a long duration can be problematic for the traveler. The District needs Commissioners and staff to be refreshed and ready for business upon arrival.
4.1 Gratuities	Add a threshold of plus or minus \$1.00 for gratuity limits.	The District recognizes that precision with respect to tips is not always practicable. Therefore, a reasonable threshold for calculation discrepancies is recommended.
4.2 Telephone Calls & 4.3 Cellular Phones	- Updates these sections to reflect current practices. - Refers to Administrative Procedure for Mobile Device Use.	Updates to current technology.
Appendix A Definition of Terms	Defines terms used in the policy.	Adheres to the 2010 San Diego County Taxpayers Association recommendation, "There should be clear definitions of various terms mentioned throughout the policy, e.g. out-of-town travel, reimbursable expenses, etc."

**Attachment B to Agenda Sheet No. 37
Comparison of Travel Policies by Subject**

Subject	San Diego Regional Airport Authority	Port of Long Beach	City/Port of San Francisco	City/Port of Los Angeles	University of California	Port of Hueneme	Port of Stockton	Port of Sacramento	State of California	Joint Federal Travel Regulations
Airfares	Shall use government or group air travel rates when offered. When available, a coach rate for domestic and one class above coach class for non-domestic when flight time exceeds 6 hours.	Coach or tourist class accommodations when traveling within the continental United States by commercial airline. Business class travel is permitted for travel outside of the United States for flights in excess of five (5) hours in length. In addition to the business class option in the City Policy, employees may choose first class when business class is not available or when the physical or medical needs of an employee require this accommodation.	Economy or coach class only. Business/first class not reimbursable.	Except in case of official necessity, air travel expenses allowable only for lowest regular fare available. Higher fare only allowable if department head reviews and concurs with facts constituting necessity.	Coach or discounted class airfare shall be used except in the following instances: - o Business or first class only service offered between two points - o Use of coach class would be more expensive or time consuming. - o Itinerary involves overnight travel without an opportunity for normal rest before commencement of working hours. - o Use of business or first class travel necessary due to disability or medical need of traveler (documentation required)	Coach or economy only. Exceptions must be approved by the Board of Harbor Commissioners in advance.	Domestic: lowest available coach accommodations for Port employees and Commissioners. As an exception for air travel 4 hours or more, Commissioners, Port Director and Deputy Port Directors may use next level of travel class. In this instance other Port employees traveling with Commissioners, Port Director or Deputy Port Directors may use same level of travel class. International: may be by business class.	Not addressed.	Least costly alternative only.	Coach except for flights that exceed 14 hours including non-overnight layovers.

Subject	San Diego Regional Airport Authority	Port of Long Beach	City/Port of San Francisco	City/Port of Los Angeles	University of California	Port of Hueneme	Port of Stockton	Port of Sacramento	State of California	Joint Federal Travel Regulations
Air Phone Charges	Board members and employees only may request reimbursement when the call is (1) actual, (2) reasonable, and (3) directly related to the transaction of the Authority's business.	Not addressed.	Not addressed specifically, however, necessary business telephone charges are reimbursable.	Not addressed specifically, however, business telephone calls are reimbursable.	Not addressed specifically, however long distance telephone calls are reimbursable.	Not addressed.	Not addressed.	Not addressed.	Not addressed specifically, however, telephone calls and other charges necessary for completion of business are reimbursable.	Not addressed specifically, however, phone calls in the government's best interest are reimbursable.
Baggage Check Fees	Not addressed.	Not addressed.	1 st bag only unless business need justification provided.	1 st bag only unless business purpose explained for additional baggage checked.	Excess baggage charges are allowable, however, justification must be provided.	Not addressed.	Not addressed.	Not addressed.	1 st bag only; justification required for additional bags.	May be reimbursable at the discretion of the approving authority.
Expenses Required to be Reported -Timeline	30 days; advances must be cleared within 30 days of issuance for domestic and 45 days for International.	Expense reports must be submitted within a reasonable time; travel advances must be paid back within 10 days.	30 days or 10 days if a travel advance was issued.	30 days; a written explanation must be provided if beyond 30 days.	21 days	30 days	30 days	30 days	30 days	5 working days

Granting Exception	Reimbursement of Board members, President/CEO, the General Counsel and/or Chief Auditor for any expense that does not fall within this policy shall require the approval of the Executive Committee at a regularly scheduled meeting. Reimbursement of employees for any expense that does not fall within this policy shall require the approval of the President/CEO.	Exceptions must be pre-approved, but the Policy does not indicate who approves.	Not addressed.	Not addressed.	May be authorized in writing by the Chancellor or designee in extenuating circumstances.	Any expense that does not fall within the adopted policy must be approved by the Board of Harbor Commissioners in a public meeting before the expense is incurred.	Port Director may grant an exception to the Travel Expense Policy should circumstances require.	Not addressed.	Not addressed.	Not addressed.
Threshold for Itemized Receipts to be required	No threshold established. All expenses require original, itemized, detailed receipts unless Board member or employee submits a written statement of the circumstances why the receipt is not submitted.	\$25	No threshold established.	Receipts for all items under \$25 are to be provided, however, the Controller reserves the right to request receipts for all expenditures regardless of amount.	\$75	No threshold established.	Whenever possible, original, itemized receipts for all expenses in excess of \$20 must accompany the expense statement.	No threshold established.	\$25	\$75

Attachment C to Agenda Sheet No. 37
Recommended Revisions to BPC Policy No. 641



BPC Policy No. 641

SUBJECT: TRAVEL AND BUSINESS REIMBURSEMENT EXPENSE
REIMBURSEMENT POLICY

1. Executive Summary

PURPOSE: This document provides policy guidance for the reimbursement of travel, and subsistence and business expenses to the members of the Board of Port Commissioners (Board Commissioners), and employees and agents of the San Diego Unified Port District (District), as necessary, of the San Diego Unified Port District. The objectives of these guidelines are multifold:

- To ensure that the members of the Board of Port Commissioners, and employees and agents of the District, as necessary, are reimbursed on a timely basis for all appropriate business travel expenditures that they have incurred.
- To ensure that the District's travel, and subsistence, and business expenses are cost effective and necessary for the District's business.
- To set guidelines as to what expenditures are considered appropriate and therefore reimbursable.

The District's Travel and Business Expense Reimbursement Policy (Policy) reflects a commitment to developing a strong presence in a competitive global environment for the betterment of the San Diego region. This Policy includes a commitment to actively identifying and nurturing business opportunities, maintaining key stakeholder relationships, acting on training and best-practices needs in cooperation and collaboration with other ports, associations and industry groups for the District's long-term success. The Policy seeks to achieve these goals in a responsible, transparent and accountable manner.

A list of definitions is included for reference as Appendix A to the Policy.

Commissioners, employees and agents of the District as necessary will comply with this Policy and the procedures detailed in Administrative Procedure 106-121, "Out-of-Town Travel on Authorized District Business," Administrative Procedure 128-213, "Business Mileage Reimbursement," and Administrative Procedure 124-106, "Mobile Device Use Procedure." These Administrative Procedures are established, approved and revised by the Executive Director or designee.

This Policy will be reviewed on an annual basis for compliance with Internal Revenue Service (IRS) regulations, California Government Code and District policies and procedures.

The Chairman of the Board of Port Commissioners (Chairman) may designate appropriate representatives of the Board to participate in Port related travel requirements as early in the calendar year as possible. The maintenance of a quorum of Commissioners within the District for all scheduled meetings shall be a consideration in the Chairman's decision on assignments.

These guidelines are divided into seven sections:

- Executive Summary
- General Expense Reimbursement Guidelines
- Travel and Subsistence Expenses
- Business Expenses
- Out of Town Travel Procedures
- Expense Reimbursement Procedures
- Appendices

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1. Approvals

~~Commissioners, and employees and agents of the District, as necessary, engaging in out-of-town travel (travel in excess of fifty (50) miles one way from the District's Administration Building) for business or professional development purposes must fill out the Out-of-Town Travel Request, UPD Form 244 (Travel Request) obtain approval prior to the travel. It is expected, absent extenuating circumstances, that approval and travel arrangements be made. The Travel Request should be filled out and approved at least three (3) weeks prior to the trip taking place to avoid expensive airline tickets and hotel reservation costs. obtain optimal airline and hotel reservations.~~

Where more than one employee participates in a business activity, the individual at the highest level of authority ~~should must~~ report the expense or obtain a higher level approval (e.g., a Vice President's approval for a Director's expense paid by an employee). It is inappropriate to have an individual at a lower level of authority report the expense, and for an individual at a higher level of authority approve the expense when both participated in the activity. Expenses must be approved by an individual at a higher level of authority than the individual(s) on whose behalf the expense was incurred.

~~The Chairman of the Board of Port Commissioners (Chairman) will may~~ designate appropriate representatives of the Board to participate in Port-related travel requirements as early in the calendar year as possible. The maintenance of a quorum of Commissioners within the District for all scheduled meetings shall be a consideration in the Chair's decision on assignments. ~~In-town and out-of-town seminar and conference attendance. Travel for employees is permitted at the discretion of each appointing authority Department Head or designee. Approval and will be considered within the parameters of each department's duly adopted budget, while maintaining focus on the benefits to the District in relation to the anticipated costs for the proposed travel. Any individual submitting a fraudulent expense report will be subject to disciplinary action that may include dismissal up to and including termination, as well as penalties under applicable IRS regulations.~~

2. General Expense Reimbursement Guidelines

2.1 Reimbursable and Nonreimbursable Expenses

The District has established the following guidelines for travel, subsistence and business expense reimbursement for all Commissioners and Port District employees. ~~The Chairman and Executive Director or his/her designee may approve exceptions to these guidelines. If a Commissioner requests reimbursement for an expense that does not fall within the adopted policy, the expense shall be approved by the Board in a public meeting before the expense is incurred. Reimbursement to employees for any other~~

expenses that have not been covered in this document, or are unusual in type or amount, must be explained in detail on the expense report and is subject to approval by the Executive Director or designee.

The District will reimburse for reasonable, properly approved and substantiated travel, and subsistence, and other business expenses in accordance with the guidelines set forth in this pPolicy. Such expenses may result from attendance at District-related conferences, seminars or meetings; in-town transportation or out-of-town travel for business purposes; or other business-related expenses. ~~Requests for travel in all cases shall be limited to District business, or conferences and training, from which the District will derive a direct benefit through the attendance.~~

~~In town and out of town seminar and conference attendance for employees is permitted at the discretion of each appointing authority.~~

The District will not reimburse for any expense amounts not actually incurred. For example, the District will not reimburse an amount in lieu of hotel costs when an individual stays with friends or relatives, nor will the District reimburse meal costs if in fact the actual costs were paid by another party.

~~If travel outside of the United States is personal and part business, then the travel expenses should be allocated between the deductible reimbursable business portion and the nondeductible nonreimbursable personal portion. The District does not reimburse the nonbusiness portion of travel expenses.~~

~~Where more than one employee participates in a business activity, the individual at the highest level of authority should report the expense. It is inappropriate to have an individual at a lower level of authority report the expense, and an individual at a higher level of authority approve the expense when both participated in the activity. Expenses must be approved by an individual at a higher level of authority than the individual(s) on whose behalf the expense was incurred.~~

~~The following is a A list of the reimbursable and non-reimbursable expenses are listed in Appendix B. Commissioners and employees should refer to the remaining detailed sections of this policy to understand the limitations in each area. See Appendix D for an Accountability Checklist for out of town travel and subsistence expenses.~~

2.1.1 Reimbursable Expenses

~~The following out of town travel and subsistence expenses, when reasonable and properly substantiated, are reimbursable through timely expense reporting:~~

- ~~• Air, ship, or train travel~~

- ~~Transportation costs, including taxi fares, ferries, shuttles, etc., when necessary for business transfers~~
- ~~Hotel or other lodging costs with itemized bill~~
- ~~Gratuities~~
- ~~Personal telephone calls home~~
- ~~Laundry and dry cleaning for travel requiring 3 or more consecutive nights away from home~~
- ~~Rental car costs when necessary for out-of-town travel~~
- ~~Mileage, parking charges, and tolls when using an automobile for District business while out of town~~
- ~~Telephone and fax charges for business purposes while traveling (Commissioners and employees should consider using the least expensive services that meet the need, e.g., use of telephone calling card or a business center within the hotel for faxes, when available)~~
- ~~Overnight shipment charges for business purposes while traveling~~
- ~~Seminar and conference registration costs~~
- ~~Meals and/or entertainment of business associates, in connection with a specific business purpose~~
- ~~Meals and/or refreshments only for employees in connection with a specific approved group-related business activity (pre-approval of the Executive Director is necessary)~~
- ~~Supplies, books, and equipment, if needed for seminars or conferences~~

2.1.2 Nonreimbursable Expenses

The following are examples of travel and subsistence and business expenses not reimbursed by the District:

- ~~Alcohol and liquor served at meals, unless consumed by business associates~~
- ~~In-room *personal* consumption of hotel mini-bar contents~~
- ~~In-room movies or video games~~
- ~~In-flight movies, airplane head set rental~~

- ~~Laundry and dry cleaning for travel requiring fewer than three (3) consecutive nights away from home~~
- ~~Newspapers and magazines~~
- ~~Toiletries~~
- ~~Personal items and services (baby-sitting, haircuts, kennel fees)~~
- ~~Apparel purchases (business or casual)~~
- ~~Travel insurance (the District's insurance provides coverage)~~
- ~~Alarm clocks~~
- ~~Cost of charter or rental of aircraft~~
- ~~Parking tickets and traffic fines~~
- ~~Gasoline, car washes, oil changes, and other maintenance or repair services for personal automobiles used on business trips (the District pays based on rate per mileage driven)~~
- ~~Car washes for rental cars~~
- ~~Damage to a personal automobile while on District business (amounts not reimbursed by insurance may be considered for reimbursement)~~
- ~~Theft of, or damage to, personal property from an automobile, hotel room, or office being used while on District business (same as above)~~
- ~~Meals or entertainment with persons that have no direct business purpose~~
- ~~Meals, refreshments, or entertainment among employees unless pre-approved by the Executive Director~~
- ~~Dinner shows~~
- ~~Unreasonably costly expenditures (e.g., meals at inappropriately expensive restaurants — see section 3.4.1 for guidelines with respect to meal expenses)~~
- ~~Personal entertainment~~
- ~~Gifts by employees to other employees, holiday greeting cards (use the District's greeting cards)~~
- ~~Briefcases (unless approved and purchased by the District)~~
- ~~Pen and pencil sets (same as above)~~

- ~~Pocket calculators (same as above)~~
- ~~Electronic devices such as daily organizers and personal digital assistants (same as above)~~
- ~~Personal credit card fees~~
- ~~Political contributions~~
- ~~Membership dues in airline clubs for employees~~
- ~~Membership dues in frequent traveler award programs, e.g., American Express Membership Rewards Program~~
- ~~Expenses incurred for the purpose of supporting or opposing, or raising money to support or oppose any candidate, ballot measure, or political party~~
- ~~Expenses incurred with any club or organization that discriminates on the basis of race, gender, religion, sexual orientation, or other individuating criteria in its membership policy.~~

2.2 Accountable and Nonaccountable Plans Time Frames

The IRS distinguishes between two types of expense reimbursement plans: an "accountable" plan and a "nonaccountable" plan. An employer maintains an "accountable" plan if business expenses are reimbursed to the employee after timely expense reporting; such reimbursements are not reported as compensation by the employee. The IRS has accepted that all

The following are required time frames for receiving and returning travel advances and submitting travel expense reports. Failure to account for travel advances within the required thirty (30) day period following time frames may result in the suspension of privileges to obtain further advances and/or participation in future District-District-paid travel, and the amount will be treated per IRS regulations.

- A travel advance must be accounted for within thirty (30) days of when an expense is paid or incurred.
- Expenses to be reimbursed must be reported and prepaid expenses must be accounted for within sixty (60) days after expenses are paid or incurred. will be treated as reported on a timely basis. Those reported beyond sixty (60) days of incurring the expense are treated under "non-accountable" plan conditions and expense reimbursements are reportable as taxable earnings on employee paychecks. (See appendix A for more detail.)
- Under the requirements of Reg. §1.62-2(f)(1), an A travel advance in excess of

substantiated and allowable expenses meets the requirements of an accountable plan if it requires the Commissioner or employee to ~~must be returned~~ to the District within a "reasonable" time period ~~one hundred twenty (120) days~~ after the expense was incurred. ~~any amount paid in excess of the expenses substantiated, the amount of money advanced is reasonably calculated not to exceed the amount of anticipated expenditures, and the money advanced is made on a day within a reasonable period of the day that the anticipated expenditures are paid or incurred.~~

Written reminders will be sent to Commissioners and employees who have received travel advances and/or incurred prepaid expenses and who fail to submit an expense report within thirty (30) days of completion of the trip.

Employees terminating employment ~~should~~ must file expense reports at least five (5) working days before the last date of employment. Failure to do so may result in the District denying the reimbursement request.

2.3 Substantiation of Expenses

Each traveler submitting a Travel Expense Report Statement must also submit a ~~Seminar/Conference Summary Travel Report~~ explaining the trip. The ~~R~~report should summarize the highlights of the seminar/conference. ~~In the case of business meetings, the traveler must provide a written report summarizing and/or the key results of discussions the trip. Commissioners must provide a brief verbal report at the next regular meeting of the Board.~~

~~To comply with the rules for accountable plans as set forth in Reg. § 1.62-2(c) and § 1.274-5T, s~~ Substantiation of for travel expenditures must include the following items:

- The amount of the travel expenditures.
- The ~~dates that the employee of employee~~ employee left departure and returned, and the number of travel days spent on business while traveling away from home.
- The destination or locality of the travel, described by name of city or town or other similar designation.
- The business reason for the travel or the business benefit gained or expected to be gained.

Pursuant to California Government Code, Commissioners must provide itemized receipts for all expenses regardless of the amount. The Executive Director, Port Attorney, Port Auditor, Executive Vice Presidents and Vice Presidents must also provide receipts for all expenses regardless of the amount.

~~The~~ For all other employees, the District also requires that original, itemized, detailed receipts must be provided for all expenditures of \$25 or more. It is strongly encouraged and preferred for all receipts to be included in the expense report, even for expenditures below \$25.

For both Commissioners and employees, Each receipt must be imprinted with the name of the business and date. In those instances where a receipt for an expenditure of \$25 or more is lost or otherwise unavailable, a written statement of the circumstances must be attached and may, or may not, be accepted for reimbursement, depending upon the circumstances.

2.4 Cancellation and Penalties

If the ~~a~~ conference or seminar registration fee, airline ticket, or hotel deposit was prepaid by the District, and the employee is unable to travel and the prepayments are not refundable, the employee shall reimburse the District for all prepaid costs, unless the inability to attend is for valid medical reasons, personal emergencies, or trip cancellation by the District or customers in the case of sales calls. In the case of trip cancellation, Commissioners and employees shall should return any travel advance promptly to the District (no later than five (5) working days after cancellation). Employees should ~~shall~~ also ~~return~~ reimburse any non-refundable prepayment promptly to the District.

2.5 Loss and Theft of Personal Effects

Commissioners and employees are encouraged to leave valuable items at home. If that is not possible, items should be placed in a hotel safe when available.

In the case of losses during foreign travel, the District may have some coverage under a foreign liability policy. In the event of loss or theft of personal effects where District insurance does not exist, the Commissioner or employee may choose to file a claim against their personal auto and/or homeowner's insurance policies for reimbursement if possible. Insurance deductibles for damaged, lost or stolen items may be reimbursed on a case-by-case basis.

3. Travel and Subsistence Expenses

3.1 Air Travel

3.1.1 Travel Services Coordinator/Travel Management Company

All airline tickets ~~should~~ shall be obtained through the Travel Services Coordinator/Travel Management Company ~~to ensure the lowest possible cost to the District. Should the~~

District determine that it is more cost effective to use an in-house Travel Coordinator to manage all District travel, all airline tickets should be obtained through the in-house Travel Coordinator. Whenever possible, employees and Commissioners are expected to plan their trip well in advance to obtain the greatest benefit. All unused tickets, refundable or nonrefundable, ~~should~~ shall be returned to the Travel Services Coordinator/Travel Management Company for credit or reuse. All lost or misplaced tickets ~~should~~ must be reported to the Travel Services Coordinator/Travel Management Company who will arrange replacement or refund. Commissioners and employees shall not exchange airline tickets purchased by the District. Any exchanges shall be administered by the Travel Services Coordinator/Travel Management Company See section entitled "Travel Request Procedures" for a further explanation of travel planning procedures.

3.1.2 Airfares

~~Whenever possible, it is the District's intent to support businesses operating from Tidelands. Therefore, when making air travel arrangements, all District travelers will give preference to airlines with operations at SDIA over other competing airlines, as long as there is not a significant price differential.~~

~~Excepting only the above, a~~ Air travel by Commissioners and employees ordinarily should be at the lowest fare available for the applicable class of service that permits travel at reasonable times and with reasonable itineraries taking into consideration business needs, total travel time, the nature of the trip and the participants. This is inclusive of the District's intent to support San Diego region businesses, which includes direct international flights to and from the San Diego International Airport. The cost of upgrading an air ticket from a reimbursable class of service to a higher class of service (e.g., the charge to upgrade plus the differential between the lowest applicable fare available and any higher fare that is required to upgrade), is considered a personal expense. This applies should at Commissioners or employees who opt to upgrade his/her/their air tickets outside of at a cost that exceeds the following reimbursable guidelines:

- For air travel within the United States (including Hawaii and Alaska), Mexico and Canada of less than two (2) hours flight time; Coach fare basis.
- For travel within the United States of more than two (2) hours flight time; Business Class basis for Commissioners and Senior Directors, and Coach Class for all others. Commissioners and Senior Directors may elect the next higher class if Business Class is not available.
- For international air travel outside the United States, Mexico and Canada, Business Class fare (or First Class if Business Class is not available.) For flights under this rule, the domestic leg/connecting flight may be booked as Business Class fare as well. may be reimbursed on the basis of Business Class airfare for

~~Commissioners and Senior Directors and Coach Class for all others. Commissioners and Senior Directors may elect the next higher class if Business Class is not available. If the travel is twelve (12) hours or longer one way, and business negotiations will be conducted on the day of arrival, the Chairman may grant Commissioners, and the Executive Director may grant staff, the exception for First Class air travel.~~

Exceptions may be allowed for free upgrades, upgrades paid by the traveler, or upgrades necessitated by documented medical or physical condition under the Americans with Disabilities Act.

3.1.3 Discounted Fares

~~Commissioners and employees are encouraged expected to take advantage of the minimum fourteen (14) and twenty one (21) day advance ticket pricing. However, where discounted fares are available only with penalties for cancellation or change, the probability of cancellation or change should be weighed against the amount of the discount, the size of the penalty, and the likelihood of future use.~~

To obtain the most economical fare when booking air travel, Commissioners and employees should provide general departure and arrival times, rather than specific carriers and flights. The ideal reservation is one with the least cost but is not unduly inconvenient.

~~Ordinarily, there is no objection if individuals may choose to depart one or two days early (e.g., on a Saturday for a meeting beginning on Monday morning) or to stay one or two extra days (e.g., until Sunday after a meeting ending on Friday or Saturday) if by doing so they are able to obtain a discounted airfare for which they would not otherwise be eligible receive, and as long as the combined cost of the discounted airfare and additional allowable expenses are less than the cost of the lowest airfare otherwise available. If the additional travel does not meet these guidelines, it will be treated as a personal expense. This option would normally apply to weekend travel, where airlines offer a discounted airfare in connection with a Saturday night stay. (This policy does not imply that individuals may leave one business day early or return one business day late.) The District will reimburse the cost of allowable expenses relating to arrivals in advance or departures subsequent to a business meeting or function only for the minimum number of days required to obtain the discounted fare. The cost of hotel, meal and other expenses relating to arrivals prior to the latest arrival date or subsequent to the earliest departure date should be considered personal expenses. If the employee elects to travel extra days, the Appointing Authority must pre-approve such extra travel day(s) on Out of Town Travel Request, UPD Form 244 (Travel Request). The advance departure or extended stay, and the estimated savings should be well documented (e.g., obtain a copy of quotes from the Travel Coordinator/Travel Management Company indicating the higher fare without advance departure or extended stay) and also submitted with the receipts for such travel~~

~~when Out of Town Travel Expense Report, UPD Form 120 (Travel Expense Report) is filed.~~

3.1.4 TransfersPublic Transportation

Out-of-town travel may entail the use of taxis, shuttles, livery service, ferries, buses or other public transportation to go to and from the airport or for movement around a metropolitan area. Cities differ in the types of cost-effective transportation that they offer for transfers to and from airports or around the city. Individuals should choose the least expensive, safe and effective direct type of transportation, ~~where practical.~~ In general, transportation to and from the airport should be by airport shuttle unless unavailable. Other reasonable transfer costs will be reimbursed.

When a personal automobile is used for transfer to an air, rail, or ship terminal, the following reimbursement guidelines apply:

- ~~• On a non-work day, actual mileage incurred in transport will be reimbursed at the District established mileage rate.~~
- ~~• On a workday, mileage incurred during transport from the workplace or home, whichever is less, will be reimbursed.~~

~~Day parking at terminals will be reimbursed; however, automobiles should not be parked for extended periods at terminals unless the combined cost of mileage reimbursement and parking is less than other available transfer costs. See section entitled "Parking" for a further explanation of reimbursable parking expenses.~~

3.1.5 Travel of a Spouse, Significant Other, Family Member or Friend

The cost of travel and any related cancellation fees for a spouse, significant other, family member, or friend is considered a personal expense and is not reimbursable by the District. When an individual is out of town on District business and the individual elects to have a spouse or friend join him/her, it is considered a personal expense.

~~Commissioners and employees must not exchange refundable airline tickets purchased by the District for lower priced, non-refundable tickets, even when additional benefits to the Commissioner or employee, family member, or friend may be incurred. Further, under no circumstances will the District reimburse any additional amounts expended for airline tickets, lodging, rental cars, meals, entertainment, mileage, transfers, parking, or related expenses for the family member or friend. See Appendix A for further explanation of treatment for travel of a spouse.~~

3.1.6 Airline Air Phone Usage

~~With the exception of~~Except in emergencies, usage of air phone service is reimbursable only for District business purposes ~~by Commissioners and Senior Directors.~~

3.1.7 Frequent Flyer Award Programs

The District does not reimburse individuals for the value of frequent flyer miles or points redeemed to acquire airline tickets or hotel rooms for out-of-town travel on District business.

Individuals may use frequent flyer miles or points earned through business travel for personal purposes (e.g., personal or family travel). ~~There is no objection to Commissioners and employees~~ may use frequent flyer miles or points to upgrade from a reimbursable class of service to a higher class of service. However, where there is a monetary cost in upgrading, e.g., a charge to upgrade or a higher fare is required, such costs are a personal expense.

Membership dues in frequent flyer and similar award programs (e.g., American Express Membership Rewards Program or Diners Club Rewards) are a personal expense.

3.2 Automobile Travel and Rental Cars

3.2.1 Mileage Allowance and Tolls

Individuals may opt to drive to an out-of-town location instead of fly, if economically feasible. When it is necessary for individuals to travel by personal automobile to out-of-town locations, two or more persons should travel in the same automobile whenever practical to reduce expenses. When a personal automobile is used to travel to an out-of-town location on District business, the District will reimburse tolls paid and actual mileage driven at the District established mileage rate. In these cases, the District will reimburse the lower of either the lowest authorized class of fare available and transfers at that time, or the cost of mileage and tolls paid. The maximum reimbursement shall not exceed the cost of the least expensive authorized class of airfare to the same location.

3.2.2 Parking

The District will reimburse reasonable parking costs incurred while using an automobile on out-of-town District business. The District will reimburse the lesser of the parking cost for a personal vehicle left at the long term parking facility, the cost of a shuttle service, or the cost of a taxi to and from the airport. See section entitled "TransfersPublic Transportation" for a further explanation of reimbursable transfer expenses.

3.2.3 Rental Cars

Use of automobile rentals while on out-of-town business travel should be limited to those circumstances where the need for an automobile for business purposes is expected to be extensive, where safety of the traveler is a concern, or the use of taxi services or public transportation would not be economical or practicable.

Where possible, reservations for a rental car must be made through the Travel Services Coordinator/Travel Management Company so that the optimal reservation can be so that the company offering the lowest rate can be determined. Use of a rental car must be pre-approved on the Travel Request. In the event obtained. When use of a car rental is required, the District will only reimburse for the expense up to a mid-size vehicle, unless the number of persons traveling requires a larger car. If the conference or seminar District's business is located in the same hotel in which the individual is staying, the cost of the rental car will not be reimbursed unless a vehicle is needed to make a significant amount of business related travel at the travel destination. If using a rental car or personal vehicle, use of a taxi or shuttle is not reimbursable, unless it is more economical (e.g., where the hotel's parking fee is \$20 per day, with no in/out privileges).

Detailed and itemized car rental receipts are required for reimbursement of the cost by the District to the Commissioner or employee. The example of detailed receipt shall include: make of the car, price per day or week, taxes, and other charges as assigned. A copy of the car rental contract must accompany the reimbursement request. Copies of credit card billing receipts not listing itemized details are insufficient for reimbursement.

3.2.4 Insurance Coverage for Rental Cars

The District's Business Auto Policy (BAP) provides liability, collision, and comprehensive coverage for vehicles rented in the United States, territories and possessions of the U.S., Puerto Rico and Canada by Commissioners and employees while on District business. Additionally, the District has a Travel Accident Policy that provides benefits in the event of accidental death or dismemberment while Commissioners and employees are traveling worldwide on District business. Therefore, while traveling in the U.S., Commissioners and employees should decline all optional liability, property damage and other coverage and waivers offered by the various car rental companies. Commissioners and employees who purchase such coverage and waivers do so at their own expense.

The District's BAP does not provide liability or property damage coverage for vehicles rented in foreign countries other than Canada. Therefore, if and when District Commissioners and employees rent vehicles in foreign countries other than Canada, they should accept all liability insurance coverage and physical damage waivers offered by the rental companies.

Detailed car rental receipts are required for reimbursement of the cost by the District to the Commissioner or employee. The example of detailed receipts shall include: make of the car, price per day or week, taxes, and other charges as assigned. A copy of the car rental contract must accompany the reimbursement request. Copies of credit card billing receipts not listing itemized details are insufficient for reimbursement.

3.2.5 Refueling Charges on Rental Cars

Rental car company charges for refueling the car upon return are very expensive. Individuals should make every effort to refuel the car before returning it. If it is offered, and a gas station is not reasonably close to the rental car facility, the traveler should consider pre-paying gasoline. If it is offered and the individual expects to use a full tank of gasoline, he or she should elect the option of purchasing the initial tank of gasoline.

3.2.6 Personal Use of Rental Cars

Should individuals elect to rent a car even though it is not necessary for use in traveling to and from seminar/conference sites and local restaurants (within a reasonable distance), the car rental is considered a personal expense. All costs of cars rented for personal use (entertainment, shopping, visitation of a friend, etc.) are a personal expense. If a car is rented for combined business and personal use, the total cost of the rental should be allocated between reimbursable business and nonreimbursable personal expense.

3.3 Lodging and Associated Expenses

3.3.1 Lodging

The hotel and type of room selected will be managed by the Travel Services Coordinator/Travel Management Company to obtain appropriate accommodations at the best available rates. Whenever possible, the Traveler should stay at the seminar/conference or business meeting sites to take advantage of group rates and avoid incurring unnecessary transportation costs for taxis or rental cars.

If a hotel reservation must be cancelled, it is the responsibility of the traveler to advise the hotel prior to the arranged date of arrival to avoid "no show" charges.

3.3.2 Laundry and Dry Cleaning

On out-of town assignments business travel consisting of three (3) or more consecutive nights, the District will reimburse reasonable laundry and dry cleaning costs. The District does not reimburse for laundry and dry cleaning costs on out-of-town assignments

business travel of fewer than three (3) consecutive nights.

3.3.3 Additional Hotel Charges

Lodging includes only the cost of a single occupancy room and related costs such as room taxes. Meal costs included on the hotel bill should be classified as "Meals." Other business expenses, e.g., business faxes, included on the hotel bill should be accurately classified on the ~~out-of-town expense report~~ Travel Expense Report. Personal expenses included on the hotel bill, e.g., in-room movies, should be ~~identified~~ redacted as personal expenses and should not be submitted for reimbursement. Refer to section 2.3, Substantiation of Expenses for further detail.

3.4 Meals and Associated Expenses

3.4.1 Meals

Commissioners and employees are reimbursed for reasonable, actual meal costs that are appropriate for the different circumstances.

3.4.2 Meals and Entertainment with Business Associates

The District encourages activities with business associates who may assist in business development for the District. The business associates entertained and the form of entertainment should be directly related to District business.

To comply with the IRS rules for accountable plans, documentation for business entertainment should must include the following items, as set forth in Reg. §62-1.274-5T:

- The amount of each separate entertainment expense. Incidental items such as taxi fares and telephone calls may be totaled on a daily basis.
- The date the entertainment took place.
- The name, address, or location and the type of entertainment (e.g., dinner, theater, etc.). If the information is not apparent from the designation of the location.
- The reason for the entertainment, or the business benefit gained or expected to be gained, and the nature of any business discussion or activity that took place.

The following examples describe situations, which may warrant reimbursement; where applicable, Senior Director's prior approval is required:

- ~~Meals with appropriate business associates that have a direct business purpose, when accompanied by an itemized list of business associate's name, affiliation, and explanation of business purpose.~~
- ~~Entertainment of appropriate business associates, when accompanied by an itemized list of business associate's name, affiliation, and explanation of business purpose.~~

The following are examples of meal and entertainment related expenses not reimbursed by the District:

- ~~The cost of nonbusiness-related meals during the normal workday (except during local seminars).~~
- ~~Meals or entertainment with persons that have no direct business purpose.~~
- ~~Recurring entertainment of persons that has become reciprocal.~~
- ~~Meals, refreshments, or entertainment among District staff only, unless pre-approved by the Executive Director.~~
- ~~Entertainment that is primarily social or relationship building, e.g., drinks after work.~~

Commissioners and employees must submit adequate substantiation for the expenses claimed or they will not be reimbursed. See Appendix A for details of adequate substantiation for business-related meal and entertainment expenses, and Appendix D for an Accountability Checklist for meal and entertainment expenses.

3.5 Foreign Country TravelCurrency Conversion

3.5.1 Foreign Currency Conversion

Reimbursement for travel to a foreign country shall be calculated at the average posted exchange rate during the trip, unless the currency exchange receipt or printout from a currency exchange rate site (such as www.oanda.com) showing the date of travel and the conversion rate is attached. When such conversion is necessary, it is the responsibility of the Commissioner and employee to convert the foreign currency units into U.S. dollars. The District will not accept out-of-town expense reports, or the return of travel advances, calculated in foreign currency. Refunds to the District on travel advances paid to Commissioners and employees will be made in U.S. currency only.

3.5.2 Value Added Tax

All reimbursement for any Value Added Tax (VAT) charged for the hotel accommodations

must be returned to the District.

3.6 Third-Party Payments

Travel and subsistence expenses received from third parties shall be disclosed in compliance with California Code of Regulations as promulgated by the California Fair Political Practices Commission.

4. Other Business Expenses

4.1 Gratuities

Gratuities paid while out on District business are reimbursed based on actual amounts expended up to maximums identified below plus or minus \$1.00. Gratuities are normally identified separately when paid to bellmen or airport porters. Gratuities for meals and transportation are normally included in the expenses for these categories. Receipts are not required for gratuity reimbursement.

Reasonable gratuities by category are:

- Meals Not greater than 18%
- Other travel services 15%

Gratuities greater than the amounts identified above are considered personal expenses and are not reimbursable.

4.2 Telephone Calls

4.2.1 Business Telephone Calls

The District will reimburse any business-related calls made charged to a telephone calling card while out of town on District business. A telephone calling card should be used in lieu of Commissioners and employees are encouraged to use the lowest cost option for these calls; for instance, dialing directly from a hotel room should be the last resort as it is the typically the highest cost alternative room whenever possible.

4.2.2 Personal Telephone Calls

The District will reimburse the reasonable cost of one telephone call per day made by an individual to his or her family or significant other during an out-of-town assignment. Use the lowest cost option for this call, dialing directly from your hotel room should be the last resort as it is typically the highest cost alternative.

4.3 Cellular Phones

~~The District will provide, or reimburse the cost of, cellular phones and car phones for Commissioners and employees having pre-approved Port District business needs of such equipment.~~

Within the United States, those with a District issued cellular phone should use it as usual for business calls and the allowable personal call per day. Outside the United States, refer to Administrative Procedure No. 124-106, Mobile Device Use Procedure.

4.4 Business Fax and Overnight Shipping Charges

Business fax charges and overnight shipment charges while traveling are reimbursable expenses. Generally, fax charges, if available through the hotel's business center, are the least expensive.

4.5 Office Supplies

~~Offices-The District maintains an inventory of standard office supplies used routinely in its own work. Supplies that are not standard and are a personal preference are considered a personal expense. In most cases, individuals should not purchase supplies directly. In rare cases, e.g., on an out-of-town engagement travel, where it is impractical to obtain supplies from the office, individuals may purchase supplies directly, subject to approval on the Travel Expense Report, by the department head.~~

4.6 Promotional Expenses – Local

~~When authorized and required to make expenditures within fifty (50) miles of the District Administration Building locally on District business, the members of the Board Commissioners and employees are entitled to receive reimbursement for necessary expenses incurred.~~

5. Out Of Town Travel Procedures

5.1 Travel Request Procedures

~~Commissioners and employees engaging in out of town travel (travel in excess of fifty (50) miles one way from the District Administration Building) for business or professional development purposes must fill out the Out of Town Travel Request, UPD Form 244 (Travel Request). The Travel Request should be filled out and approved at least three (3) weeks prior to the trip taking place to avoid expensive airline ticket and hotel reservation costs.~~

5.1.1 Approval Process

Approval will be considered within the parameters of each department's duly adopted budget, while maintaining focus on the benefits to the District in relation to the anticipated costs for the proposed travel.

Commissioners and employees should seek the appropriate approval for their travel requests as described below:

Position	Approved by
Employees	Department Head
Department Head	Division Head
Deputy Executive Director/Division Head	Executive Director or designee
Commissioners/Executive Director/Port Attorney	Chairman of the Board

Copies of the Travel Request should be distributed as follows:

- The original copy is forwarded to the Financial Services Department.
- A duplicate copy is forwarded to the Travel Coordinator/Travel Management Company and/or Corporate Services Department.
- A duplicate copy is maintained in the requestor's own department.
- A duplicate copy is kept by the employee.

5.1.2 Travel Reservations and Arrangements

All travel arrangements should be made as far in advance as possible, and obtained through the Travel Coordinator/Travel Management Company of the District to take full advantage of special fares and discounts negotiated with various vendors.

5.1.3 Travel Advances and District Prepaid Expenses

The Travel Request form serves as the basis for travel advances, prepayments for out-of-town travel costs and seminar/conference registration, airline tickets, or hotel room deposits. If an advance or prepayment is required, attach a photocopy of the properly approved Travel Request to the Request for Direct Payment (UPD Form 112). Travel advances (in the form of District checks or traveler's checks) will not be disbursed prior to thirty (30) days before the commencement of travel. See Appendix A for a detailed explanation of tax treatment for travel requests and advances.

6. Expense Reimbursement Procedures

6.1 Substantiation of Expenditures

For the expenses to be reimbursed, Commissioners and employees must substantiate the following (IRS requirement):

- ~~amount of the expense~~
- ~~date and place incurred~~
- ~~names and titles of others attending~~
- ~~business purpose of the expense~~

~~The Appointing Authority is responsible for reviewing and approving travel and business expense reports to assure expenses are justified and in accordance with this policy. Whenever the Chairman's approval is required, the travel and expense reports will be reviewed by the Treasurer prior to approval by the Chairman.~~

~~Commissioners and employees should clearly document and explain the business purpose of expenditures in the fields provided on the expense report. General descriptions such as "Business Lunch" or "Business Expense" are not acceptable expense descriptions in and of themselves. If space on the expense report is insufficient, full documentation should be attached on additional sheets.~~

~~The District also requires that original, itemized, detailed receipts must be provided for all expenditures of \$25 or more. It is strongly encouraged and preferred for all receipts to be included in the expense report, even for expenditures below \$25. Each receipt must be imprinted with the name of the business and date. In those instances where a receipt for an expenditure of \$25 or more is lost or otherwise unavailable, a written statement of the circumstances must be attached and may, or may not, be accepted for reimbursement, depending upon the circumstances.~~

~~Below are examples of substantiation that is insufficient. Because the substantiation is insufficient, such expenses will not be reimbursed until adequate substantiation is provided.~~

- ~~A copy of a calling card statement showing telephone charges for calls made during a trip but with no indication of the persons called. The names of the~~

individuals and business purpose for the call must be recorded in the expense report.

- A copy of a credit card statement showing a hotel charge but with no indication of the type of the room, the daily/weekly room rate, the applicable room tax, details of any additional charges, or the purpose of the trip. This information must be documented on the hotel bill.
- A charge slip for a rental car, but with no indication of the size of car rented, daily/weekly rental rate, the applicable tax, details of any additional charges (such as gasoline refueling charges), or the purpose of the rental. Any charges not clearly explained in detail will be assumed unreasonable in nature and may not be reimbursed.
- An original credit card receipt indicating a restaurant charge, but no indication on the expense report or on the receipt of the business purpose of the expenditure. Persons entertained, affiliation, and the business reason for the entertainment must also be included.
- The top sheet of a telephone bill showing total monthly charges, but no detail of the costs of calls made and to whom made.

Please see Appendices A and D for further explanation of adequate substantiation for expense reimbursement.

6.2 Expense Report Submittal and Review

The Travel Expense Report is used to record actual trip expenses. Individuals should submit expense reports reporting only actual allowable business expenses that they have incurred. All expenses must be itemized (e.g., a detailed list of individual expenses, no groupings of expenses), including expenses paid in advance by the District. If meals provided for the business associate or customer are paid by the Commissioner or employee, the name and business affiliation of the business associate, as well as the purpose for the meeting, must be listed on the reverse side of the expense report.

Expense reports should be submitted promptly, and no later than thirty (30) working days after the completion of the trip. All travel advances must be cleared within thirty (30) working days after the completion of the trip. Should the Commissioner or employee owe the District for a portion of the unused travel advance, the Commissioner or employee must return the unused portion via personal check. Failure to account for travel advances within the required thirty (30) day period may result in the suspension of privileges to obtain further advances and/or participation in future District paid travel. Extension for the filing deadlines may be granted for international travel; however, expense reports and clearing of advances should be filed within sixty (60) days after completion of the travel to

~~meet the IRS guidelines for an 'accountable' plan (see Appendix A). In special circumstances, ninety (90) days may be granted for filing an expense report and clearing advances.~~

~~Expense reports should be submitted to the appropriate Appointing Authority for approval. Upon review for reasonableness, consideration will be given to the trip destination and nature of the expense.~~

~~At all times, the individual reporting the expenses should review the report for accuracy and is responsible for the data submitted. Any individual submitting a fraudulent expense report will be subject to disciplinary action that may include dismissal.~~

~~The Financial Services Department (Financial Services) will review the report for mathematical accuracy, foreign currency conversion accuracy, and compliance with this travel policy. Financial Services will also verify that all required original receipts are attached. Written reminders will be sent to Commissioners and employees who have received travel advances and/or incurred prepaid expenses and who fail to submit an expense report within thirty (30) days of completion of the trip.~~

~~In accordance with IRS rules (see Appendix A), if the expense report is received after sixty (60) days of completion of the trip, the travel expense incurred will be taxable to the Commissioner and employee. Excess travel advances not paid back to the District before one hundred twenty (120) days after return from the trip will also be taxable to the Commissioner and employee. Employees are required to make arrangements with Financial Services to return excess travel advances due the District via paycheck deduction if not returned after sixty (60) days of completion of the trip. Failure to make such arrangements is cause for disciplinary action that may include dismissal from employment.~~

~~Reimbursements will only be made when all documentary requirements have been met.~~

~~The IRS requires an employer to maintain an "accountable" expense reimbursement plan if it is to deduct reimbursed business expenses. Under "nonaccountable" plans, expense reimbursements must be reported by the employee as income. One requirement for maintaining an "accountable" plan is that expenses be reported on a timely basis. The IRS has accepted that all expenses reported within sixty (60) days after expenses are paid or incurred will be treated as being reported on a timely basis.~~

~~Employees terminating employment should file expense reports at least five (5) working days before the last date of employment. Failure to do so may result in the District denying the reimbursement request. The District requires terminating employees to make arrangements to deduct any "nonaccountable" amount of the travel advance through deduction from the last paycheck. See Appendix A for further explanation of timeliness of~~

~~expense reporting.~~

~~Each traveler submitting a Travel Expense Report must also submit a Seminar/Conference Summary Report. The report should summarize the highlights of the seminar/conference. In the case of business meetings, the traveler must provide a written report summarizing the key results of discussions.~~

6.3 Promotional Expense Report Submittal and Request for Reimbursement

~~Expense Reimbursement Request (UPD form 121) is used to record actual promotional expenses incurred locally. The Expense Reimbursement Request form should be submitted once a month, or more frequently if a large amount of reimbursement is involved, to the appropriate Appointing Authority for approval. The properly approved and fully substantiated Expense Reimbursement Request must be attached to the Request for Direct Payment and should be forwarded to Financial Services no later than ten (10) working days of the succeeding month.~~

~~The IRS requirement for an "accountable" expense reimbursement plan described under section 6.2 of this policy applies to all business expenditures.~~

~~Although these guidelines cover most expenses, which are incurred as a result of the District's activities, Commissioners and employees may incur expenses for which an explicit policy does not exist. Reimbursement for any other expenses that have not been covered in this document, or are unusual in type or amount, must be explained in detail on the expense report. The corresponding receipt must be attached to the expense report. In these cases, evidence of approval by the Appointing Authority should be attached to the expense report and supporting receipt.~~

Appendix A

Definition of Terms

Agent of the District: An agent of the public, State or government; a person authorized to act for the public in some manner pertaining to the administration of government or to aid District officials in the performance of the public interest.

Coach Fare: Any fare available in the Coach cabin. Economy plus/coach elite seating service may vary from airline to airline and use various names, but it is in the economy/coach cabin and is considered Coach Fare.

In-town Transportation: Travel that does not fall under the category of out-of-town travel defined below.

Livery Service: A business that keeps vehicles that people can hire (usually alternate transportation such as boats).

Out-of-town Travel: Per the IRS, when a traveler is required to be away from the general area of their home substantially longer than an ordinary day's work and the traveler needs to sleep or rest to meet the demands of work while away from home. Generally that would mean a location outside of San Diego County.

Reasonable Calculation for a Travel Advance: The amount of money advanced does not exceed the amount of anticipated expenditures

Reasonable Time for Issuance of a Travel Advance: Within thirty (30) days of when an expense is paid or incurred.

Reasonable Time for Substantiation of Expenses to the District: Within sixty (60) days after it is paid or incurred.

Reasonable Time for Return of Travel Advance Amount Not used: Within one hundred twenty (120) days.

Appendix B

Reimbursable Expenses

The following out-of-town travel, business and subsistence expenses, when reasonable and properly substantiated, are reimbursable through timely expense reporting:

- Air, ship, or train travel
- Airline baggage check fees
- Foreign transaction fees when on international travel
- Insurance deductible and amounts not reimbursed by insurance for damage to a personal automobile while on District business may be reimbursed on a case-by-case basis
- Insurance deductible and amounts not reimbursed by insurance for theft of, or damage to, personal property from an automobile, hotel room, or office being used while on District business may be reimbursed on a case-by-case basis

- Transportation costs, including taxi fares, ferries, shuttles, etc., when necessary for business transfers
- Hotel or other lodging costs with itemized bill
- Hotel gym usage (excluding spa services, if any)
- Gratuities (up to a maximum of 18% for meals and 15% for other travel services, plus or minus \$1.00)
- One Personal telephone calls home per day
- Laundry and dry cleaning for travel requiring 3 or more consecutive nights away from home
- Rental car costs when necessary for out-of-town travel
- Mileage, parking charges, and tolls when using an automobile for District business while out of town
- ~~Telephone and fax charges for business purposes while traveling (Commissioners and employees should consider using the least expensive services that meet the need, e.g., use of telephone calling card or a business center within the hotel for faxes when available)~~
- Internet access fees
- Overnight shipment charges for business purposes while traveling
- Seminar and conference registration costs
- Meals and/or entertainment of business associates, in connection with a specific business purpose
- Meals and/or refreshments only for employees in connection with a specific approved group-related business activity (pre-approval of the Executive Director or Executive Vice President is necessary)
- Supplies, books, and equipment, if needed for seminars or conferences

Nonreimbursable Expenses

The following are examples of travel and subsistence and business expenses which are not reimbursed by the District:

- Alcohol and liquor served at meals, unless consumed by business associates
- In-room *personal* consumption of hotel mini-bar contents (except non-alcoholic contents, e.g., bottled water, soda or snacks)

- In-room movies or video games
- In-flight movies, airplane head set rental
- Laundry and dry cleaning for travel requiring fewer than three (3) consecutive nights away from home
- Newspapers and magazines
- Toiletries (Reasonable exception may be made in extraordinary circumstances where baggage is lost for an extended period of time and business is to be conducted upon arrival. Proof of lost luggage required.)
- Personal items and services (e.g., baby-sitting, haircuts, kennel fees, etc.)
- Apparel purchases (business or casual) (Reasonable exception may be made in extraordinary circumstances where baggage is lost for an extended period of time and business is to be conducted upon arrival. Proof of lost luggage required.)
- Travel insurance (the District's insurance provides coverage)
- Alarm clocks
- Cost of charter or rental of aircraft
- Parking tickets and traffic fines
- Gasoline, car washes, oil changes, and other maintenance or repair services for personal automobiles used on business trips (the District reimburses automobile expenses pays based on rate per mileage driven which includes auto-related expenses)
- Car washes for rental cars
- ~~Damage to a personal automobile while on District business (amounts not reimbursed by insurance may be considered for reimbursement)~~
- ~~Theft of, or damage to, personal property from an automobile, hotel room, or office being used while on District business (same as above)~~
- Meals or entertainment with persons that have no direct business purpose
- Meals, refreshments, or entertainment among employees unless pre-approved by the Executive Director or Executive Vice President
- Dinner shows

- Unreasonably costly expenditures (e.g., meals at inappropriately expensive restaurants—see section 3.4.1 for guidelines with respect to meal expenses)
- Personal entertainment
- ~~Gifts by employees to other employees, holiday greeting cards, etc. (use the District's greeting cards)~~
- Briefcases (unless approved and purchased by the District)
- Office supplies such as pens and pencil sets, pocket calculators, or electronic devices such as daily organizers and personal digital assistants (unless approved and purchased by the District)
- ~~Pen and pencil sets (same as above)~~
- ~~Pocket calculators (same as above)~~
- ~~Electronic devices such as daily organizers and personal digital assistants (same as above)~~
- Personal credit or debit card fees (e.g., transaction, membership or annual fees) except foreign transaction fees while on international travel
- Political contributions
- Membership dues in airline clubs for employees
- Membership dues in frequent traveler award programs, (e.g., American Express Membership Rewards Program, etc.)
- Expenses incurred for the purpose of supporting or opposing, or raising money to support or oppose any candidate, ballot measure, or political party
- Expenses incurred with any club or organization that discriminates on the basis of race, gender, religion, sexual orientation, or other individuating criteria in its membership policy.

APPENDIX A

General Tax Requirements for an Accountable Plan

~~Reimbursements paid under an accountable plan are not reported as compensation to the Commissioner or employee, whereas reimbursements paid under nonaccountable plans are reported as compensation. Under a nonaccountable plan, the Commissioner or employee must then itemize these expenses on their personal tax returns to deduct them~~

from income; however, they will not be able to benefit fully from these deductions. Miscellaneous itemized deductions are deductible only to the extent they exceed 2% of AGI, and are not deductible at all if the Commissioner or employee does not itemize. In addition, these amounts are not deductible for the alternative minimum tax (AMT). Therefore, the Commissioner or employee will generally pay more tax if the reimbursement is not structured as an accountable plan.

Under Reg. §1.274-5T(h), reimbursements to non-employees, such as independent contractors, also are not reportable as compensation if properly substantiated under the accountable plan rules. To the extent that the reimbursements are not substantiated, they are reportable as income.

To qualify as an accountable plan, the reimbursement arrangement to both employees and non-employees must meet all three of the following rules:

1. The expenses must have a business connection. To meet these requirements, the expenses must be incurred while performing services.

2. The expenses must be adequately accounted for to the employer within a reasonable time period.

3. The employee must return any excess reimbursement or allowance within a reasonable period of time.

Adequate accounting includes documentary evidence of the expenses, such as receipts, canceled checks and bills. However, for IRS purposes, receipts or other documentary evidence are not required for expenses for which the employer utilizes a per diem allowance method that includes meals and/or lodging, or the expense is less than \$75 for expenses incurred after October 1, 1995. (Notice 95-50, 1995-2 CB 333).

Although in 1995 the IRS raised the threshold for receipts from \$25 to \$75, most businesses still require receipts and other documentary evidence for all expenses over \$25 for internal control purposes. Therefore, the District's \$25 limit is an optimal threshold for monitoring expenses internally.

The following expense categories must also include the additional documentation discussed below:

In-Town and Out-of-Town Travel and Subsistence Expenses

To comply with the rules for accountable plans as set forth in Reg. §1.62-2(c) and §1.274-5T, substantiation for travel expenditures must include the following items:

1. The amount of the travel expenditures.

~~2. The dates that the employee left and returned, and the number of days spent on business while traveling away from home.~~

~~3. The destination or locality of the travel, described by name of city or town or other similar designation.~~

~~4. The business reason for the travel or the business benefit gained or expected to be gained.~~

~~If the trip is part personal and part business, then domestic travel expenses to arrive at the destination are deductible under §274. If the trip is primarily personal, then the cost of the trip is a nondeductible personal expense; however, expenses at the destination that are directly related to business are deductible.~~

~~In order to meet the accountable plan rules under §62, the Regulations under §1.62-2(e)(2) require that an arrangement that reimburses travel, entertainment, listed property, or other business expenses governed by §274, must meet the substantiation requirements of §274. Therefore, throughout this document where we refer to whether an expense is "deductible" under §274, we also mean "reimbursable" under §62.~~

Foreign Country Travel

~~Under Reg. §1.274-4, the rules for travel outside the United States are more stringent than for domestic travel. For this purpose, the United States includes only the States and the District of Columbia. Therefore, travel to all other countries including Canada and Mexico is considered foreign travel. As is true for all travel expenses, if the trip is primarily personal, then the cost of the trip is a nondeductible personal expense.~~

~~If travel outside the United States is entirely for business, all travel expenses are deductible as a business expense. Therefore the entire reimbursement would have a business connection and would not be taxable compensation. If travel outside the United States is part personal and part business, then the travel expenses should be allocated between the deductible business portion and the nondeductible personal portion. Reimbursement for the nonbusiness portion would not meet the requirements for an accountable plan, and therefore would be reportable as compensation income (the District does not reimburse the nonbusiness portion of travel expenses). If the nonbusiness activity constitutes 25 percent or more of the total time on the trip, and the time away from the United States exceeds one week, then the travel expenses must be allocated on a day-to-day basis between days that the employee conducted business, and the days that the employee did not conduct business.~~

~~With respect to weekends, a day spent outside the United States away from home shall be deemed entirely a business day, if the Commissioner or employee establishes that such day was a Saturday, Sunday, legal holiday, or other reasonably necessary standby day~~

~~which intervened during that course of the Commissioner's or employee's trade or business while outside of the United States. For example, if a Commissioner or employee travels from New York to London to take part in business beginning on a Wednesday and concluding on the following Tuesday, the intervening Saturday and Sunday shall be considered business days whether or not business is conducted on either of such days. Similarly, if in the above case, the meetings which concluded on Tuesday evening were followed by business meetings with another business group in London on the immediately succeeding Thursday and Friday, the intervening Wednesday will be deemed a business day. However, if at the conclusion of the business activities on Friday, the Commissioner or employee stays in London for an additional week for personal purposes, the Saturday and Sunday following the conclusion of the business meeting will not be considered business days.~~

~~The reimbursable travel expense is the total cost of the travel, (i.e., airfare, ground transportation, etc.) multiplied by the following fraction:~~

$$\frac{\text{the total number of days spent on business}}{\text{the total number of days outside the U.S.}}$$

~~Travel days are counted as days outside the United States, and as business days.~~

~~Travel of a Spouse, Significant Other, Family Member or Friend to a Work Location~~

~~Generally, travel expenses paid or incurred with respect to a spouse, dependent, or other individual accompanying the Commissioner or employee on business travel are not reimbursable unless a business purpose can be shown.~~

~~The presence of the spouse has to be necessary, not merely helpful, in order to show business purpose. The test of business necessity for the spouse's presence is made in relation to the business of the Commissioner or employee, rather than the business of the District. Therefore, even if the District required the Commissioner or employee to be accompanied by their spouse on the trip, their expenses might nonetheless be nondeductible under §274 in the absence of a showing of why their presence was necessary in relation to the conduct of the Commissioner's or employee's trade or business. We urge caution in this area, and feel it will be difficult for the District to show business purpose in most cases for spousal travel, assuming that the spouse is not an employee at the District.~~

~~Business-Related Entertainment Expenses~~

~~To comply with the rules for accountable plans, documentation should include the following items, as set forth in Reg. §1.274-5T:~~

~~1. The amount of each separate entertainment expense. Incidental items such as taxi fares and telephone calls may be totaled on a daily basis.~~

~~2. The date the entertainment took place.~~

~~3. The name, address, or location and the type of entertainment (i.e., dinner or theater), if the information is not apparent from the designation of the place.~~

~~4. The reason for the entertainment, or the business benefit gained or expected to be gained, and the nature of any business discussion or activity that took place.~~

~~5. The occupation or other information about the person or persons for whom the entertainment expense is being claimed. The name, title, or other designation given must be sufficient to establish the business relationship to the District.~~

~~6. Proof of the presence of the Commissioner or employee at the event. For example, the Commissioner's or employee's signature on the credit card receipt would suffice as proof of presence at the event.~~

~~If the expenses are reimbursed under an otherwise accountable plan, but the Commissioner or employee does not return within a reasonable period of time any reimbursement of expenses for which he or she did not adequately account for, then the amount for which there is not adequate accountability, is treated as reimbursed under a nonaccountable plan. The amounts reimbursed under a nonaccountable plan must be reported as wages on the employee's form W-2. For Commissioners, the amounts reimbursed under a nonaccountable plan must be reported as miscellaneous income on a form 1099-MISC. (See Appendix D for substantiation requirements for entertainment.)~~

Travel Requests and Advances

~~Under the requirements of Reg. §1.62-2(f)(1), an advance meets the requirements of an accountable plan if it requires the Commissioner or employee to return to the District within a "reasonable" time period any amount paid in excess of the expenses substantiated, the amount of money advanced is reasonably calculated not to exceed the amount of anticipated expenditures, and the money advanced is made on a day within a reasonable period of the day that the anticipated expenditures are paid or incurred.~~

~~Reg. §1.62-2(g) states that in general, a determination of what constitutes a reasonable time period depends on the facts and circumstances, and provides for a safe harbor known as the "fixed date method." Under this safe harbor, an advance made within thirty (30) days of when an expense is paid or incurred, an expense substantiated to the District within sixty (60) days after it is paid or incurred, or an amount returned to the District within one hundred twenty (120) days after an expense is paid or incurred will be treated as~~

being substantiated or returned within a reasonable period of time. Reg. §1.62-2(j) states that excessive advances, e.g., advances beyond what an employee reasonably expects to incur, will be treated as paid under a nonaccountable plan.

Nonaccountable Plans

Under Reg. §1.62-2(h)(2)(ii), if an arrangement does not satisfy the requirements of an accountable plan, the amounts paid are wages and are subject to withholding and employment taxes when paid.

APPENDIX B

Summary of Penalties and Applicable Code Sections for Failure to Properly Report Remuneration (Information is Based on Regulations Applicable to Tax Year 1999)

Failure to properly report remuneration to employees can expose the District to penalties for non-compliance. The following is a summary of potential penalties and applicable code sections for failure to properly report remuneration.

<u>Withholding Code §</u>	<u>Description</u>	
Federal Income Tax	§3402 Requires Withholding: Percentage Method	
Wage Bracket - Alternate Method		
FICA and Medicare	§3101 Imposes FICA tax at a rate of 12.4% on the first \$72,600 of	
§3111	wages paid. Imposes Medicare tax at a rate of 2.9% on all wage payments.	
FUTA	§3301 Imposes FUTA taxes on the first \$7,000 of wages at a rate of 6.2%.	
Requirement to Withhold	§3403 Imposes the liability for tax required to have been withheld by the employer.	
<u>Penalty</u>	<u>Code §</u>	<u>Monetary Exposure</u>
Failure to File	§6651(a)(1)	5% per month per period to a maximum of 25% (reduced by §6651(e)(2) when calculated concurrently with §6651(a)(3)).
Failure to Pay	§6652(a)(2)	1/2 of 1% per month per period to a maximum of 25%.
Failure to Deposit	§6656	2% if deposit is 1 to 5 days late. 5% if deposit is 6 to 15 days late. 10% if deposit is more than 15 days late. Penalty is computed on amount due to IRS when deposit was required. 15% if tax is unpaid after the 10th day following notice and demand for payment.
Trust Fund Recovery	§6672	100% assessable against responsible individuals up to the penalty amount required to be withheld and paid over (EE/FICA/MEDI and FIT).
Fraudulent Statement	§6674	In addition to criminal penalties, the provision provides for (W-2) penalty of \$50 per return.

~~Willful Conduct \$7202 \$10,000 or imprisonment for a period not exceeding five years.~~

~~Interest \$6501,02, Interest is charged at the published Federal rate from the due 11,12,31,22 date of the return (restricted interest may apply).~~

~~Failure to File Correct \$6721 \$50 per incorrect return limited to \$250,000.~~

~~Info Returns \$100 per incorrect return if intentional disregard or 10% of amount required to have shown on return no limitation.~~

~~Failure to Furnish Correct \$6722 \$50 for each failure to a maximum of \$100,000.~~

~~Payee Statements \$100 per incorrect return if intentional disregard or 10% of amount required to have shown on return no limitation.~~

APPENDIX C

Explanation of Expense Categories

Elements to be Proved
Amount

Travel Expenses

Amount of each separate expense for travel, lodging, and meals. Incidental expenses may be totaled in reasonable categories, such as taxis, daily meals for traveler, etc.

Entertainment Expenses

Amount of each separate expense. Incidental expenses such as taxis, telephones, etc. may be totaled on a daily basis.

Time

Date you left and returned for each trip and number of days for business.

Date of entertainment. For meals or entertainment before or after a business discussion, the date and duration of the business discussion.

Place

Name of city or other designation.

Name and address or location of place of entertainment. Type of entertainment if not otherwise apparent. Place where business discussion

~~was held if entertainment is directly before or after a business discussion.~~

Business Purpose	Business reason for travel or the business benefit gained or expected to be gained.	Business reason or the business benefit gained or expected to be gained. Nature of business discussion or activity.
------------------	---	---

Business Relationship

Not applicable.

Occupations or other information such as names or other designations about persons entertained and their relationship to you. If all people entertained did not take part in business discussion, identify those who did. You must also prove that the employee was present if the entertainment was a business meal.

APPENDIX D

Checklist §274 — Entertainment

- ~~Yes~~ ~~No~~
1. Is there adequate substantiation for the expenditure for entertainment?

Adequate substantiation includes:

____ Amount, date, place, and type of entertainment for each separate expenditure. (Incidental items, e.g., taxi fares, may be aggregated on a daily basis.)

____ Business purpose of the entertainment, or business benefit derived or expected to be derived.

____ Occupation, name, and title of the persons attending, sufficient to establish a business relationship to the District.

~~_____ If any of the above is not provided, the reimbursement request should be returned to the employee for additional information.~~

- 2- ~~Is the entertainment directly related to the active conduct of the District's trade or business:~~

~~_____~~
~~_____~~

~~_____ If no, the IRS requirements are not met and the District will not reimburse these costs.~~

- 3- ~~Did the entertainment precede or follow a substantial business discussion? Does the substantiation include the time, place, duration, and business purpose of the discussion, and the identity and business relationship of those attending?~~

~~_____~~
~~_____~~

~~_____ If no, the IRS requirements are not met and the District will not reimburse these costs.~~

~~_____~~
~~_____~~

Checklist - Domestic Travel

Yes No

- 1- ~~Are the travel expenses incurred in connection with a trade or business?~~

~~_____~~ ~~_____~~

- 2- ~~Does the employee have substantial documentation for the expenses incurred?~~

~~_____~~ ~~_____~~

Adequate substantiation includes:

_____ Amount of each separate expense for travel, lodging, and meals (incidental expenses may be totaled in reasonable categories).

_____ Date employee left and returned for each trip and numbers of days for business.

_____ Name of city or other designation.

_____ Business reason for travel or the business benefit gained or expected to be gained.

_____ If any of the above is not provided, the reimbursement should be returned to the employee for additional information.

3. For travel advances

_____ Are the employees required to return to the District within a reasonable period of time any amount paid in excess of the expenses substantiated? _____

_____ Is the amount of money advanced reasonably calculated not to exceed the amount of anticipated expenditures? _____

_____ Is the money advanced made on a day within a reasonable period of the day that the anticipated expenditures are paid or incurred? _____

_____ If yes, the advances meet the requirements of an accountable plan.

4. Are advances made within thirty (30) days of when an expense is paid or incurred, expenses substantiated to the District within sixty (60) days after it is paid or incurred, or amounts returned to the District within one hundred twenty (120) days after an expense is paid or incurred?

_____ If yes, amounts will be treated as being substantiated or returned within a reasonable period of time.

_____ If no, unless facts and circumstances can warrant a different time period, amounts should be returned to the District.

Checklist - Foreign Travel

	<u>Yes</u>	<u>No</u>
1. Was the foreign travel expense incurred in pursuit of a trade or business, or an activity for the production of income?	_____	_____
_____ If no, the IRS requirements are not met and the District will not reimburse these costs. Nontravel business expenses incurred at the destination may be allowable subject to meal and entertainment rules.		
2. Is there adequate substantiation for		
_____ The amount of each expenditure	_____	_____
_____ Destination	_____	_____
_____ The dates of departure and return	_____	_____
_____ The business reason for the travel or the business benefit derived or expected to be derived	_____	_____
_____ If any of the above is not provided, the reimbursement request should be returned to the employee for additional information.		

3. Was the travel time less than one week? _____

_____ If yes, the foreign travel rules are inapplicable;
domestic travel rules apply.

4. If travel was for 1 week or more, will the portion of time
attributable to nonbusiness activity exceed 25% of the total
travel time? _____

_____ If no, the travel expenses can be reimbursed under an
accountable plan if they satisfy domestic travel rules.

_____ If yes, travel expenses must be allocated between
business and nonbusiness on a daily basis. The business
portion will be reimbursable under an accountable plan.

5.

Checklist - Meals

_____ Yes _____ No

1. Is there adequate substantiation of

_____ The date, place, amount, and duration of the business
discussion. _____

_____ The subject of the discussion or the nature of the
business benefit derived or expected to be derived (i.e.,
business purpose). _____

_____ Identity of those present at the meal.

_____ If no, go to question 2.

_____ If yes, go to question 3.

2. Was the meal so small or infrequent an item as to make
accounting for it unreasonable or administratively impractical
(a "de minimis fringe")? _____

_____ If yes, the expenses are allowable.

_____ If no, the IRS requirements are not met and the District

~~will not reimburse these costs.~~

3. ~~Were the expenses incurred for a meal away from home when the employee was alone or with persons not connected with business?~~ _____

~~_____ If yes, the meal expense of the employee only meets IRS rules for accountable plans. Adequate substantiation (date, place, and amounts) must be provided.~~

4. ~~Was business discussed during, directly before, or after the meal directly associated with the active conduct of the District's trade or business?~~ _____

~~_____ If no, the IRS requirements are not met and the District will not reimburse these costs.~~

5. ~~Was the meal lavish or extravagant under the circumstances?~~ _____

~~_____ If yes, the IRS requirements are not met and reimbursement must be treated as compensation to the extent they are lavish and extravagant. The amount not considered lavish is allowable.~~

6. ~~Was the employee present at the meal? (An independent contractor rendering significant services to the District, such as a lawyer, is treated as an employee if attending the meal in connection with providing services to the District.)~~ _____

~~_____ If no, the IRS requirements are not met and the District will not reimburse these costs.~~

Checklist - Conventions, Seminars, Etc.

- | | <u>Yes</u> | <u>No</u> |
|---|---------------|---------------|
| 1. Is there adequate substantiation? This consists of adequate records or sufficient corroborating evidence by the employee's own statement of: | | |
| — The amount of the expense. | <u> </u> | <u> </u> |
| — The time and place of the expenditure. | <u> </u> | <u> </u> |
| — If no, the IRS requirements are not met and the District will not reimburse these costs | | |
| 2. Did the convention take place within North America and not on a cruise ship? (North America consists of the United States, Canada, Mexico, U.S. possessions, trust territory of the Pacific Islands, nations included by treaty, and qualifying Caribbean Basin nations.) | <u> </u> | <u> </u> |
| — If yes, the expenses are subject to the normal travel rules. | | |

3. ~~Can the employee prove that the meeting is directly related to the active conduct of a trade or business and that it was as reasonable for the meeting to be held outside of North America as within it? The following factors are considered in determining a business purpose and reasonableness:~~ _____

~~— The purpose of the meeting and the nature of the activities.~~

~~— The purpose of the activities of the sponsoring group.~~

~~— The residences of active members of the sponsoring group and the location of other meetings of the group planned as already held.~~

~~— Any other relevant factors.~~

~~— If no, the IRS requirements are not met and the District will not reimburse these costs.~~

4. ~~Was the convention held on a cruise ship?~~ _____

~~— If no, the expense is allowable.~~

5. ~~Was the cruise ship a United States registered ship, all of whose ports of call were within the United States or its possessions?~~ _____

~~— If no, the IRS requirements are not met and any reimbursement must be treated as compensation.~~

RESOLUTION NUMBER AND DATE: 2012-XXX, 14 August 2012 (Supersedes BPC Policy 641, Resolution No. 2000-247, 14 November 2000, (Supersedes BPC Policy 641, Resolution No. 87-221, 4 August 1987 and Resolution No. 86-7, 7 January 1986)



Attachment D to Agenda Sheet No. 37
Recommended Policy with Revisions Incorporated

BPC Policy No. 641

SUBJECT: TRAVEL AND BUSINESS EXPENSE REIMBURSEMENT POLICY

PURPOSE: To provide policy guidance for the reimbursement of travel, subsistence and business expenses to the members of the Board of Port Commissioners (Commissioners), employees and agents of the San Diego Unified Port District (District), as necessary. The objectives of these guidelines are multifold:

- To ensure that Commissioners, employees and agents of the District, as necessary, are reimbursed on a timely basis for all appropriate business travel expenditures that they have incurred.
- To ensure that the District's travel, subsistence, and business expenses are cost effective and necessary for the District's business.
- To set guidelines as to what expenditures are considered appropriate and therefore reimbursable.

The District's Travel and Business Expense Reimbursement Policy (Policy) reflects a commitment to developing a strong presence in a competitive global environment for the betterment of the San Diego region. This Policy includes a commitment to actively identifying and nurturing business opportunities, maintaining key stakeholder relationships, acting on training and best-practices needs in cooperation and collaboration with other ports, associations and industry groups for the District's long-term success. The Policy seeks to achieve these goals in a responsible, transparent and accountable manner.

A list of definitions is included for reference as Appendix A to the Policy.

Commissioners, employees and agents of the District as necessary will comply with this Policy and the procedures detailed in Administrative Procedure 106-121, "Out-of-Town Travel on Authorized District Business," Administrative Procedure 128-213, "Business Mileage Reimbursement," and Administrative Procedure 124-106, "Mobile Device Use Procedure." These Administrative Procedures are established, approved and revised by the Executive Director or designee.

This Policy will be reviewed on an annual basis for compliance with Internal Revenue Service (IRS) regulations, California Government Code and District policies and procedures.

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1. Approvals

Commissioners, employees and agents of the District, as necessary, engaging in out-of-town travel for business or professional development purposes must obtain approval prior to the travel. It is expected, absent extenuating circumstances, that approval and travel arrangements be made at least three (3) weeks prior to the trip taking place to obtain optimal airline and hotel reservations.

Where more than one employee participates in a business activity, the individual at the highest level of authority must report the expense or obtain a higher level approval (e.g., a Vice President's approval for a Director's expense paid by an employee). It is inappropriate to have an individual at a lower level of authority report the expense, and for an individual at a higher level of authority approve the expense when both participated in the activity. Expenses must be approved by an individual at a higher level of authority than the individual(s) on whose behalf the expense was incurred.

The Chair of the Board of Port Commissioners (Chair) may designate appropriate representatives of the Board to participate in Port-related travel requirements early in the calendar year. The maintenance of a quorum of Commissioners within the District for all scheduled meetings shall be a consideration in the Chair's decision on assignments. Travel for employees is permitted at the discretion of each Department Head or designee and will be considered within the parameters of each department's adopted budget, while maintaining focus on the benefits to the District in relation to the anticipated costs for the proposed travel. Any individual submitting a fraudulent

BPC Policy No. 641

expense report will be subject to disciplinary action up to and including termination, as well as penalties under applicable IRS regulations.

2. General Expense Reimbursement Guidelines

2.1 Reimbursable and Nonreimbursable Expenses

The District has established the following guidelines for travel, subsistence and business expense reimbursement for all Commissioners and District employees. If a Commissioner requests reimbursement for an expense that does not fall within the adopted policy, the expense shall be approved by the Board in a public meeting before the expense is incurred. Reimbursement to employees for any expenses that have not been covered in this document, or are unusual in type or amount, must be explained in detail on the expense report and is subject to approval by the Executive Director or designee.

The District will reimburse for reasonable, properly approved and substantiated travel, subsistence, and business expenses in accordance with the guidelines set forth in this Policy. Such expenses may result from attendance at District-related conferences, seminars or meetings; in-town transportation or out-of-town travel for business purposes; or other business-related expenses.

The District will not reimburse for any expense amounts not actually incurred. For example, the District will not reimburse an amount in lieu of hotel costs when an individual stays with friends or relatives, nor will the District reimburse meal costs if in fact the actual costs were paid by another party.

If travel is personal and part business, then the travel expenses should be allocated between the reimbursable business portion and the nonreimbursable personal portion. The District does not reimburse the nonbusiness portion of travel expenses.

A list of the reimbursable and non-reimbursable expenses are listed in Appendix B. Commissioners and employees should refer to the remaining detailed sections of this policy to understand the limitations in each area.

2.2 Time Frames

The following are required time frames for receiving and returning travel advances and submitting travel expense reports. Failure to account for travel advances within following time frames may result in the suspension of privileges to obtain further advances and/or participation in future District-paid travel and the amount will be treated per IRS regulations.

- A travel advance must be accounted for within thirty (30) days of when an expense is paid or incurred.
- Expenses to be reimbursed must be reported and prepaid expenses must be accounted for within sixty (60) days after expenses are paid or incurred.
- A travel advance in excess of substantiated and allowable expenses must be returned to the District within one hundred twenty (120) days

Written reminders will be sent to Commissioners and employees who have received travel advances and/or incurred prepaid expenses and who fail to submit an expense report within thirty (30) days of completion of the trip.

Employees terminating employment must file expense reports at least five (5) working days before the last date of employment. Failure to do so may result in the District denying the reimbursement request.

2.3 Substantiation of Expenses

Each traveler submitting a Travel Expense Report Statement must also submit a Travel Report explaining the trip. The Report should summarize the highlights of and/or the key results of the trip. Commissioners must provide a brief verbal report at the next regular meeting of the Board.

Substantiation of travel expenditures must include the following items:

- The amount of the travel expenditures.
- The dates of employee departure and return, and the number of travel days spent on business away from home.
- The destination or locality of the travel, described by name of city or town or other similar designation.
- The business reason for the travel or the business benefit gained or expected to be gained.

Pursuant to California Government Code, Commissioners must provide itemized receipts for all expenses regardless of the amount. The Executive Director, Port Attorney, Port Auditor, Executive Vice Presidents and Vice Presidents must also provide itemized receipts for all expenses regardless of the amount.

For all other employees, the District requires that itemized receipts must be provided for all expenditures of \$25 or more.

For both Commissioners and employees, each receipt must be imprinted with the name of the business and date. In those instances where a receipt is lost or otherwise unavailable, a written statement of the circumstances must be attached and may, or may not, be accepted for reimbursement, depending upon the circumstances.

2.4 Cancellation and Penalties

If a conference or seminar registration fee, airline ticket, or hotel deposit was prepaid by the District, and the employee is unable to travel and the prepayments are not refundable, the employee shall reimburse the District for all prepaid costs, unless the inability to attend is for valid medical reasons, personal emergencies, or trip cancellation by the District or customers in the case of sales calls. In the case of trip cancellation, Commissioners and employees shall return any travel advance promptly to the District. Employees shall also reimburse any non-refundable prepayment promptly to the District.

2.5 Loss and Theft of Personal Effects

Commissioners and employees are encouraged to leave valuable items at home. If that is not possible, items should be placed in a hotel safe when available.

In the case of losses during foreign travel, the District may have some coverage under a foreign liability policy. In the event of loss or theft of personal effects where District insurance does not exist, the Commissioner or employee may choose to file a claim against their personal auto and/or homeowner's insurance policies for reimbursement if possible. Insurance deductibles for damaged, lost or stolen items may be reimbursed on a case-by-case basis.

3. Travel and Subsistence Expenses

3.1 Air Travel

3.1.1 Travel Services Coordinator/Travel Management Company

All airline tickets shall be obtained through the Travel Services Coordinator/Travel Management Company. All unused tickets, refundable or nonrefundable, shall be returned to the Travel Services Coordinator/Travel Management Company for credit or reuse. All lost or misplaced tickets must be reported to the Travel Services Coordinator/Travel Management Company who will arrange replacement or refund. Commissioners and employees shall not exchange airline tickets purchased by the District. Any exchanges shall be administered by the Travel Services Coordinator/Travel Management Company.

3.1.2 Airfares

Air travel by Commissioners and employees ordinarily should be at the lowest fare available for the applicable class of service that permits travel at reasonable times and with reasonable itineraries taking into consideration business needs, total travel time, the nature of the trip and the participants. This is inclusive of the District's intent to support San Diego region businesses, which includes direct international flights to and from San Diego International Airport. The cost of upgrading an air ticket from a reimbursable class of service to a higher class of service (e.g., the charge to upgrade plus the differential between the lowest applicable fare available and any higher fare that is required to upgrade), is considered a personal expense. This applies to Commissioners or employees who opt to upgrade their air tickets at a cost that exceeds the following reimbursable guidelines:

- For air travel within the United States (including Hawaii and Alaska), Mexico and Canada ; Coach fare basis.
- For air travel outside the United States, Mexico and Canada, Business Class fare (or First Class if Business Class is not available.) For flights under this rule, the domestic leg/connecting flight may be booked as Business Class fare as well.

Exceptions may be allowed for free upgrades, upgrades paid by the traveler, or upgrades necessitated by documented medical or physical condition under the Americans with Disabilities Act.

3.1.3 Discounted Fares

Commissioners and employees are expected to take advantage of the advance ticket pricing. However, where discounted fares are available only with penalties for cancellation or change, the probability of cancellation or change should be weighed against the amount of the discount, the size of the penalty, and the likelihood of future use.

To obtain the most economical fare when booking air travel, Commissioners and employees should provide general departure and arrival times, rather than specific carriers and flights. The ideal reservation is one with the least cost but is not unduly inconvenient.

Ordinarily, individuals may choose to depart one or two days early (e.g., on a Saturday for a meeting beginning on Monday morning) or to stay one or two extra days (e.g., until Sunday after a meeting ending on Friday or Saturday) if by doing so they are able to obtain a discounted airfare which they would not otherwise receive, and as long as the combined cost of the discounted airfare and additional allowable expenses are less than the cost of the lowest airfare otherwise available. If the additional travel does not meet these guidelines, it will be treated as a personal expense.

3.1.4 Public Transportation

Out-of-town travel may entail the use of taxis, shuttles, livery service, ferries, buses or other public transportation to go to and from the airport or for movement around a metropolitan area. Cities differ in the types of cost-effective transportation that they offer for transfers to and from airports or around the city. Individuals should choose the least expensive, safe and direct type of transportation. In general, transportation to and from the airport should be by airport shuttle unless unavailable. Other reasonable transfer costs will be reimbursed.

When a personal automobile is used for transfer to an air, rail, or ship terminal, day parking at terminals will be reimbursed; however, automobiles should not be parked for extended periods at terminals unless the combined cost of mileage reimbursement and parking is less than other available transfer costs. See section entitled "Parking" for a further explanation of reimbursable parking expenses.

3.1.5 Travel of a Spouse, Significant Other, Family Member or Friend

The cost of travel and any related cancellation fees for a spouse, significant other, family member, or friend is considered a personal expense and is not reimbursable by the District.

3.1.6 Airline Air Phone Usage

Except in emergencies, usage of air phone service is reimbursable only for District business purposes.

3.1.7 Frequent Flyer Award Programs

The District does not reimburse individuals for the value of frequent flyer miles or points redeemed to acquire airline tickets or hotel rooms for out-of-town travel on District business.

Individuals may use frequent flyer miles or points earned through business travel for personal purposes (e.g., personal or family travel). Commissioners and employees may use frequent flyer miles or points to upgrade from a reimbursable class of service to a higher class of service. However, where there is a monetary cost in upgrading, e.g., a charge to upgrade or a higher fare is required, such costs are a personal expense.

Membership dues in frequent flyer and similar award programs (e.g., American Express Membership Rewards Program or Diners Club Rewards) are a personal expense.

3.2 Automobile Travel and Rental Cars

3.2.1 Mileage Allowance and Tolls

Individuals may opt to drive to an out-of-town location instead of fly, if economically feasible. When it is necessary for individuals to travel by personal automobile to out-of-town locations, two or more persons should travel in the same automobile whenever practical to reduce expenses. When a personal automobile is used to travel to an out-of-town location on District business, the District will reimburse tolls paid and actual mileage driven at the District established mileage rate. In these cases, the District will reimburse the lower of either the lowest authorized class of fare available and transfers at that time, or the cost of mileage and tolls paid. The maximum reimbursement shall not exceed the cost of the least expensive authorized class of airfare to the same location.

3.2.2 Parking

The District will reimburse reasonable parking costs incurred while using an automobile on out-of-town District business. The District will reimburse the lesser of the parking cost for a personal vehicle left at the long term parking facility, the cost of a shuttle service, or the cost of a taxi to and from the airport. See section entitled "Public Transportation" for a further explanation of reimbursable transfer expenses.

3.2.3 Rental Cars

Use of automobile rentals while on out-of-town business travel should be limited to those circumstances where the need for an automobile for business purposes is expected to be extensive, where safety of the traveler is a concern, or the use of taxi services or public transportation would not be economical or practicable.

Reservations for a rental car must be made through the Travel Services Coordinator/Travel Management Company so that the optimal reservation can be obtained. When use of a car rental is required, the District will reimburse the expense up to a mid-size vehicle, unless the number of persons traveling requires a larger car. If the District's business is located in the same hotel in which the individual is staying, the cost of the rental car will not be reimbursed unless a vehicle is needed to make a significant amount of business related travel at the travel destination. If using a rental car or personal vehicle, use of a taxi or shuttle is not reimbursable, unless it is more economical (e.g., where the hotel's parking fee is \$20 per day, with no in/out privileges).

Detailed and itemized car rental receipts are required for reimbursement of the cost by the District to the Commissioner or employee. The receipt shall include: make of the

car, price per day or week, taxes, and other charges as assigned. A copy of the car rental contract must accompany the reimbursement request. Copies of credit card billing receipts not listing itemized details are insufficient for reimbursement.

3.2.4 Insurance Coverage for Rental Cars

The District's Business Auto Policy (BAP) provides liability, collision, and comprehensive coverage for vehicles rented in the United States, territories and possessions of the U.S., Puerto Rico and Canada by Commissioners and employees while on District business. Additionally, the District has a Travel Accident Policy that provides benefits in the event of accidental death or dismemberment while Commissioners and employees are traveling worldwide on District business. Therefore, while traveling in the U.S., Commissioners and employees should decline all optional liability, property damage and other coverage and waivers offered by the various car rental companies. Commissioners and employees who purchase such coverage and waivers do so at their own expense.

The District's BAP does not provide liability or property damage coverage for vehicles rented in foreign countries other than Canada. Therefore, if and when District Commissioners and employees rent vehicles in foreign countries other than Canada, they should accept all liability insurance coverage and physical damage waivers offered by the rental companies.

3.2.5 Refueling Charges on Rental Cars

Rental car company charges for refueling the car upon return are very expensive. Individuals should make every effort to refuel the car before returning it. If it is offered, and a gas station is not reasonably close to the rental car facility, the traveler should consider pre-paying gasoline.

3.2.6 Personal Use of Rental Cars

Should individuals elect to rent a car even though it is not necessary for use in traveling to and from seminar/conference sites and local restaurants (within a reasonable distance), the car rental is considered a personal expense. All costs of cars rented for personal use (entertainment, shopping, visitation of a friend, etc.) are a personal expense. If a car is rented for combined business and personal use, the total cost of the rental should be allocated between reimbursable business and nonreimbursable personal expense.

3.3

Lodging and Associated Expenses

3.3.1 Lodging

The hotel and type of room selected will be managed by the Travel Services Coordinator/Travel Management Company to obtain appropriate accommodations at the best available rates. Whenever possible, the Traveler should stay at the seminar/conference or business meeting sites to take advantage of group rates and avoid incurring unnecessary transportation costs for taxis or rental cars.

If a hotel reservation must be cancelled, it is the responsibility of the traveler to advise the hotel prior to the arranged date of arrival to avoid "no show" charges.

3.3.2 Laundry and Dry Cleaning

On out-of town business travel consisting of three (3) or more consecutive nights, the District will reimburse reasonable laundry and dry cleaning costs. The District does not reimburse for laundry and dry cleaning costs on out-of-town business travel of fewer than three (3) consecutive nights.

3.3.3 Additional Hotel Charges

Lodging includes only the cost of a single occupancy room and related costs such as room taxes. Meal costs included on the hotel bill should be classified as "Meals." Other business expenses, e.g., business faxes, included on the hotel bill should be accurately classified on the Travel Expense Report. Personal expenses included on the hotel bill, e.g., in-room movies, should be redacted as personal expenses and should not be submitted for reimbursement. Refer to section 2.3, Substantiation of Expenses for further detail.

3.4 Meals and Associated Expenses

3.4.1 Meals

Commissioners and employees are reimbursed for reasonable, actual meal costs that are appropriate for the different circumstances.

3.4.2 Meals and Entertainment with Business Associates

The District encourages activities with business associates who may assist in business development for the District. The business associates entertained and the form of entertainment should be directly related to District business.

Documentation for business entertainment must include the following items:

- The amount of each separate entertainment expense. Incidental items such as taxi fares and telephone calls may be totaled on a daily basis.
- The date the entertainment took place.
- The name, address, or location and the type of entertainment (e.g., dinner, theater, etc.), if the information is not apparent from the designation of the location.
- The reason for the entertainment, or the business benefit gained or expected to be gained, and the nature of any business discussion or activity that took place.

Commissioners and employees must submit adequate substantiation for the expenses claimed or they will not be reimbursed.

3.5 Foreign Currency Conversion

Reimbursement for travel to a foreign country shall be calculated at the average posted exchange rate during the trip, unless the currency exchange receipt or printout from a currency exchange rate site (such as www.oanda.com) showing the date of travel and the conversion rate is attached. The District will not accept out-of-town expense reports, or the return of travel advances, calculated in foreign currency. Refunds to the District on travel advances paid to Commissioners and employees will be made in U.S. currency only.

3.6 Third-Party Payments

Travel and subsistence expenses received from third parties shall be disclosed in compliance with California Code of Regulations as promulgated by the California Fair Political Practices Commission.

4. Other Business Expenses

4.1 Gratuities

Gratuities paid while out on District business are reimbursed based on actual amounts expended up to maximums identified below plus or minus \$1.00. Gratuities are normally identified separately when paid to bellmen or airport porters. Gratuities for meals and transportation are normally included in the expenses for these categories. Receipts are not required for gratuity reimbursement.

Reasonable gratuities by category are:

- Meals Not greater than 18%
- Other travel services 15%

Gratuities greater than the amounts identified above are considered personal expenses and are not reimbursable.

4.2 Telephone Calls

4.2.1 Business Telephone Calls

The District will reimburse any business-related calls made while out of town on District business. Commissioners and employees are encouraged to use the lowest cost option for these calls; for instance, dialing directly from a hotel room should be the last resort as it is typically the highest cost alternative.

4.2.2 Personal Telephone Calls

The District will reimburse the reasonable cost of one telephone call per day made by an individual to his or her family or significant other during an out-of-town assignment. Use the lowest cost option for this call, dialing directly from your hotel room should be the last resort as it is typically the highest cost alternative.

4.3 Cellular Phones

Within the United States, those with a District issued cellular phone should use it as usual for business calls and the allowable personal call per day. Outside the United States, refer to Administrative Procedure No. 124-106, Mobile Device Use Procedure.

4.4 Business Fax and Overnight Shipping Charges

Business fax charges and overnight shipment charges while traveling are reimbursable expenses. Generally, fax charges, if available through the hotel's business center, are the least expensive.

4.5 Office Supplies

The District maintains an inventory of standard office supplies used routinely in its work. Supplies that are not standard and are a personal preference are considered a personal expense. In most cases, individuals should not purchase supplies directly. In rare cases, e.g., on out-of-town travel, where it is impractical to obtain supplies from the office, BPC Policy No. 641

individuals may purchase supplies directly, subject to approval on the Travel Expense Report.

4.6 Promotional Expenses – Local

When authorized and required to make expenditures locally on District business, Commissioners and employees are entitled to receive reimbursement for necessary expenses incurred.

DRAFT

Appendix A

Definition of Terms

Agent of the District: An agent of the public, State or government; a person authorized to act for the public in some manner pertaining to the administration of government or to aid District officials in the performance of the public interest.

Coach Fare: Any fare available in the Coach cabin. Economy plus/coach elite seating service may vary from airline to airline and use various names, but it is in the economy/coach cabin and is considered Coach Fare.

In-town Transportation: Travel that does not fall under the category of out-of-town travel defined below.

Livery Service: A business that keeps vehicles that people can hire (usually alternate transportation such as boats).

Out-of-town Travel: When a traveler is required to be away from the general area of their home substantially longer than an ordinary day's work and the traveler needs to sleep or rest to meet the demands of work while away from home. Generally that would mean a location outside of San Diego County.

Reasonable Calculation for a Travel Advance: The amount of money advanced does not exceed the amount of anticipated expenditures

Reasonable Time for Issuance of a Travel Advance: Within thirty (30) days of when an expense is paid or incurred.

Reasonable Time for Substantiation of Expenses to the District: Within sixty (60) days after it is paid or incurred.

Reasonable Time for Return of Travel Advance Amount Not used: Within one hundred twenty (120) days.

Appendix B

Reimbursable Expenses

The following out-of-town travel, business and subsistence expenses, when reasonable and properly substantiated, are reimbursable through timely expense reporting:

- Air, ship, or train travel
- Airline baggage check fees
- Foreign transaction fees when on international travel
- Insurance deductible and amounts not reimbursed by insurance for damage to a personal automobile while on District business may be reimbursed on a case-by-case basis
- Insurance deductible and amounts not reimbursed by insurance for theft of, or damage to, personal property from an automobile, hotel room, or office being used while on District business may be reimbursed on a case-by-case basis
- Transportation costs, including taxi fares, ferries, shuttles, etc., when necessary for business transfers
- Hotel or other lodging costs with itemized bill
- Hotel gym usage (excluding spa services, if any)
- Gratuities (up to a maximum of 18% for meals and 15% for other travel services, plus or minus \$1.00)
- One personal telephone call home per day
- Laundry and dry cleaning for travel requiring 3 or more consecutive nights away from home
- Rental car costs when necessary for out-of-town travel
- Mileage, parking charges, and tolls when using an automobile for District business
- Telephone and fax charges for business purposes while traveling Internet access fees
- Overnight shipment charges for business purposes while traveling
- Seminar and conference registration costs

- Meals and/or entertainment of business associates, in connection with a specific business purpose
- Meals and/or refreshments only for employees in connection with a specific approved group-related business activity (pre-approval of the Executive Director or Executive Vice President is necessary)
- Supplies, books, and equipment, if needed for seminars or conferences

Nonreimbursable Expenses

The following are examples of travel and subsistence and business expenses which are not reimbursed by the District:

- Alcohol and liquor served at meals, unless consumed by business associates
- In-room *personal* consumption of hotel mini-bar contents (except non-alcoholic contents, e.g., bottled water, soda or snacks)
- In-room movies or video games
- In-flight movies, airplane head set rental
- Laundry and dry cleaning for travel requiring fewer than three (3) consecutive nights away from home
- Newspapers and magazines
- Toiletries (Reasonable exception may be made in extraordinary circumstances where baggage is lost for an extended period of time and business is to be conducted upon arrival. Proof of lost luggage required.)
- Personal items and services (e.g., baby-sitting, haircuts, kennel fees, etc.)
- Apparel purchases (business or casual) (Reasonable exception may be made in extraordinary circumstances where baggage is lost for an extended period of time and business is to be conducted upon arrival. Proof of lost luggage required.)
- Travel insurance (the District's insurance provides coverage)
- Alarm clocks
- Cost of charter or rental of aircraft
- Parking tickets and traffic fines

- Gasoline, car washes, oil changes, and other maintenance or repair services for personal automobiles used on business trips (the District reimburses automobile expenses based on rate per mile driven which includes auto-related expenses)
- Car washes for rental cars
- Meals or entertainment with persons that have no direct business purpose
- Meals, refreshments, or entertainment among employees unless pre-approved by the Executive Director or Executive Vice President
- Dinner shows
- Unreasonably costly expenditures (e.g., meals at inappropriately expensive restaurants)
- Personal entertainment
- Gifts by employees to other employees, holiday greeting cards, etc. Briefcases (unless approved and purchased by the District)
- Office supplies such as pens and pencil sets, pocket calculators, or electronic devices such as daily organizers and personal digital assistants (unless approved and purchased by the District)
- Personal credit or debit card fees (e.g., transaction, membership or annual fees) except foreign transaction fees while on international travel
- Political contributions
- Membership dues in airline clubs for employees
- Membership dues in frequent traveler award programs (e.g., American Express Membership Rewards Program, etc.)
- Expenses incurred for the purpose of supporting or opposing, or raising money to support or oppose any candidate, ballot measure, or political party
- Expenses incurred with any club or organization that discriminates on the basis of race, gender, religion, sexual orientation, or other individuating criteria in its membership policy.

RESOLUTION NUMBER AND DATE: 2012-XXX, 14 August 2012 (Supersedes BPC Policy 641, Resolution No. 2000-247, 14 November 2000, Resolution No. 87-221, 4 August 1987 and Resolution No. 86-7, 7 January 1986)

DRAFT

RESOLUTION _____

**RESOLUTION AMENDING BOARD OF PORT
COMMISSIONERS POLICY NUMBER 641, TRAVEL
AND BUSINESS EXPENSE REIMBURSEMENT
POLICY**

WHEREAS, the San Diego Unified Port District (District) is a public corporation created by the legislature in 1962 pursuant to Harbors and Navigation Code Appendix 1 (Port Act); and

WHEREAS, Section 21 of the Port Act authorizes the Board of Port Commissioners (Board) to pass all necessary ordinances and resolutions for the regulation of the District; and

WHEREAS, as part of the District's commitment to continuous improvements of its policies and alignment with best practices of public agencies, the President/CEO directed District staff to provide recommendations to the Board for revisions to Board Policy number 641, Travel and Business Expense Reimbursement Policy (Policy); and

WHEREAS, a team of District staff from Audit and Risk Management, Executive Offices, Financial Services, Port Attorney's Office, and the Office of Commissioner and Travel Services reviewed the existing Policy and recommended revisions; and

WHEREAS, District staff review the recommended Policy for compliance with the California Government Code sections 53232.2 and 53232.3, Internal Revenue Publication 463 – Travel and Entertainment, Gift and Car Expenses; and

WHEREAS, District staff reviewed for best practices the San Diego County Taxpayers Association recommendations on Travel and Business Expense Reimbursement approved by the association's board on May 14, 2010 and MasterCard Corporate Payment Solutions, "Best Practices Guide"; and

WHEREAS, District staff reviewed, as benchmarks, the State of California, University of California, San Diego County Regional Airport Authority, City/Port of San Francisco, City/Port of Los Angeles, Port of Long Beach, Port of Hueneme, Port of Stockton, Port of Sacramento, Department of Defense, "the Joint Travel Regulations, Volume 2 for Civilian Personnel"; and

WHEREAS, the recommended revisions to Board Policy number 641, (Attachment C to the corresponding Agenda Sheet) strive to consolidate and clarify information to make the Policy easier for Commissioners, employees and the public to understand and thus results in increased transparency.

NOW, THEREFORE, BE IT RESOLVED by the Board of Port Commissioners of the San Diego Unified Port District, as follows:

That Board of Port Commissioner's Policy Number 641, Travel and Business Expense Reimbursement Policy, as amended, a copy of which is on file in the office of the District Clerk, is hereby adopted.

ADOPTED this _____ day of _____, 2012.

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POLICY

Authorized Expenses

City funds, equipment, supplies, titles, and staff time must only be used for authorized city business. Expenses incurred in connection with the following types of activities generally constitute authorized expenses, as long as the other requirements of this policy are met:

1. Communicating with representatives of regional, state and national government on matters of interest to the City.
2. Meeting with City staff on matters relating to City business.
3. Attending educational seminars designed to improve officials' skill and information levels.
4. Participating in local, regional, state, and national organizations whose activities affect the city's interests; however, a member of the City Council shall not accept an elected or appointed position that would require anticipated costs to the City of more than \$100 annually without City Council approval.
5. Recognizing the service to the City (for example, thanking a longtime employee with a retirement gift of nominal value).
6. Attending fundraising events for nonprofit entities providing services of benefit to the City and /or its residents.
7. Attending City events.
8. Implementing a City approved strategy for attracting or retaining businesses to the City, which will typically involve at least one staff member.

All other expenses require prior approval by the City Council.

The City will not reimburse the following expenses:

1. The personal portion of any trip.
2. Political contributions or events.
3. Family expenses, including partner's expenses when accompanying official on agency-related business.
4. Entertainment expenses, such as movies, sporting events, or cultural events.
5. Non-mileage personal automobile expenses, including repairs, citations, insurance or gasoline.

Cost Control

To conserve City resources and keep expenses within community standards for public officials, expenditures should adhere to the following guidelines. If expenses are incurred that exceed these guidelines, the cost borne or reimbursed by the City will be limited to the costs that fall within these guidelines.

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Transportation

Officials traveling on City business shall use the most economical mode and class of transportation reasonably consistent with scheduling needs and cargo space requirements, using the most direct, time-efficient route. Government and group rates must be used when available.

Airfare

Airfares that are equal to or less than those available through the League of California Cities, the California State Association of Counties and the State of California are presumed to be the most economical and reasonable for purposes of reimbursement under this policy.

Automobile

Mileage shall be reimbursed at IRS rates presently in effect (see www.irs.gov). For 2006, the rate is 44.5 cents per mile. These rates are designed to compensate the driver for gasoline, insurance, maintenance, and other expenses. In addition, drivers may be reimbursed for bridge and road tolls. For rental vehicles, only receipted fuel expenses will be reimbursed.

Car Rental

Rental rates that are equal or less than those available through the State of California's website (<http://www.catravelsmart.com/default.htm>) shall be considered the most economical and reasonable for purposes of reimbursement under this policy.

Taxis/Shuttles

Taxis or shuttle fares may be reimbursed, including a 15 percent gratuity per fare, when the cost of such fares is equal or less than the cost of car rentals, gasoline, and parking combined, or when such transportation is necessary for time-efficiency.

Lodging

Lodging expenses will be reimbursed or paid for when travel on official City business reasonably requires an overnight stay.

Conferences/Meetings

If such lodging is in connection with a conference, lodging expenses must not exceed the group rate published by the conference sponsor for the meeting in question if such rates are available at the time of booking. If the group rate is not available, rates that are equal to or less than the group rate at the host

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hotel are presumed to be reasonable and reimbursable for purposes of this policy.

Meals

Reimbursable meal expenses and associated gratuities will not exceed the following rates per person:

Breakfast: \$12

Lunch: \$24

Dinner: \$45

When the meal function is an organized event, the official or employee shall be reimbursed the amount being charged by the event organizer for the meal. The City will not pay for alcohol/personal bar expenses.

Telephone/Fax/Cellular

Officials will be reimbursed for actual telephone and fax expenses incurred on City business. Telephone bills should identify which calls were made on City business.

Internet

Officials will be reimbursed for Internet access connection and/or usage fees away from home, if Internet access is necessary for City business.

Airport Parking

Long-term parking must be used for travel exceeding 24 hours.

Expense Reports

Expense reimbursement requests must be submitted on an expense report form provided by the City. Reports must document how the expenditure met the requirements of this policy.

Expense reports must be submitted within 30 days of an expense being incurred, and must be accompanied by receipts documenting each expense.

Expense reports are a public record.

Audits of Expenses

All expenses are subject to verification that they comply with this policy.

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Reports on Meetings

Each official shall briefly report on any Brown Act meetings they attended for which they receive expense reimbursement at their next City Council, Board, or Commission meeting.

Board/Commission Expense Reimbursement

Before a board member or commissioner incurs expenses for which they intend to seek reimbursement, they shall consult with the Department Head of the department providing staff support to the board or commission to determine that funds have been appropriated and are available for such purposes.

Violation of this Policy

Under state law, use of public resources or falsifying expense reports in violation of this policy may result in any or all of the following: 1) loss of reimbursement privileges, 2) a demand for restitution to the City, 3) the agency's reporting the expenses as income to the official to state and federal tax authorities, 4) civil penalties of up to \$1,000 per day and three times the value of the resources used, and 5) prosecution for misuse of public resources.

CITY ADMINISTRATIVE MEMO

TO: Department Directors

FROM: City Manager

SUBJECT: TRAVEL AND EXPENSE REIMBURSEMENT POLICY

I. PURPOSE AND SCOPE

This CAM sets forth the City of Santa Maria's travel policy and prescribes procedures for officials and employees to report and be reimbursed for official travel and business expenses. The following guidelines and procedures are set forth to minimize costs, improve accountability, to ease management review of reimbursement claims, and to be in compliance with Government Code Section 53232 as it pertains to officials.

This policy applies to elected and appointed officials (commissioners, advisory committee members, and/or appointed board members) of the City of Santa Maria herein referred to as "officials" and all employees of the City of Santa Maria herein referred to as "employees." Department Directors may adopt more restrictive policies due to budget limitations or requirements of other government agencies. Compensation to employees for travel time shall be consistent with the requirements of the Fair Labor Standards Act.

This policy assumes a mutual trust between the City and its officials and employees. The City will reimburse officials and employees for all reasonable costs incurred on behalf of the City pursuant to this policy, if they appropriately documented, properly allocated and authorized, and within the principles of this policy, and accommodated by the relevant budget. Officials and employees are expected to use good judgment in spending public funds which have been entrusted to them. Misuse or misappropriation of City funds and equipment not in conformance with this policy for City employees may result in disciplinary action, which may include termination of employment, and for officials, possible sanctions.

II. GENERAL PROVISIONS

Travel will be authorized only when necessary and in the best interest of the City. The City will reimburse actual, reasonable, and necessary expenses incurred while on City business, not to exceed the then-current U.S. Government Per Diem Schedule for the specific geographic area, as stated on the U.S. General Services Administration website (Attachment "A").

Officials and employees will use the most economical available means of transportation, unless unusual circumstances require other alternatives.

City officials and employees should neither enrich themselves nor be required to use their own funds while traveling on City business.

Department Directors and their Division Managers generally should not travel to the same meetings, conferences, or seminars or otherwise be away from the City at the same time without the consent of the City Manager.

The City will not pay for nor reimburse expenses for any alcoholic beverages purchased by officials and employees while traveling on City business.

The City Manager must approve all proposed travel out of the Santa Barbara/San Luis Obispo Counties area for City employees. References in this policy to out-of-area travel shall mean travel outside the Santa Barbara/San Luis Obispo Counties area.

III. REIMBURSABLE ACTIVITIES

City officials and employees may claim reimbursable expenses for a number of official activities. The following are types of activities that generally constitute authorized activities:

A. Meetings, Conferences, Seminars

1. Attendance and participation at meetings, conferences, and seminars that are directly related to City business, official/employee training or career and professional development. Approval of travel requests will be based upon determination that participation will benefit the City.
2. Requests for more than one employee's attendance at any one meeting, conference, or seminar must be justified and submitted to the Department Director for approval prior to attendance. A copy of the approval shall be attached to any request submitted to the City Manager for travel outside the bi-counties area, and/or any claim for reimbursement.

B. Community Relations Activities

1. Employees may, with prior Department Director approval, represent the City at functions sponsored by community organizations, and, if participation is determined to be in the City's best interest, be reimbursed for expenses incurred.
2. Officials that represent the City at functions that either have a direct nexus to the affairs of the City and are sponsored by community organizations or are functions that are City sponsored events, in

which the Official's participation is determined to be in the City's best interest, their incurred expense will be reimbursed. The meal expense of a City Council member's spouse at a local function (e.g. Quarterly League of California Cities dinner meeting) will also be reimbursed when it is obvious that the spouse is expected to attend the event and would not otherwise attend if not for their spouse's official role.

C. Other

Employees may claim expenses for activities other than described above with prior Department Director and City Manager approval. Officials too may claim expenses for activities other than described above with prior City Council approval.

D. Non-Reimbursable Activities

Examples of personal expenses that the City will not reimburse include, but are not limited to: the personal portion of any trip; political or charitable contributions or events; unless otherwise indicated, family expenses, including partner's expenses when accompanying official on agency-related business, as well as children- or pet-related expenses; entertainment expenses, including theater, movies (either in-room or at the theater), sporting events (including gym, massage and/or golf-related expenses), or other cultural events; non-mileage personal automobile expenses, including damage or repairs, traffic and parking citations, insurance; and personal losses incurred while on City business.

Any questions regarding the propriety of a particular type of expense should be resolved by the approving authority before the expense is incurred.

IV. AUTHORIZATION FOR TRAVEL AT CITY EXPENSE

A. Out-of-State Travel

1. Employees must obtain the City Manager's prior written approval for any official out-of-state travel. However, when out-of-state travel is related to public safety mutual aid responses, prisoner transports, or investigative-type activities, notification to the City Manager along with Department Director approval is only required and it is not necessary to complete the Travel Authorization form (Attachment B). Upon return to the City, the supervisor in charge shall complete the Expense Report and/or Reconciliation form (Attachment C) and submit to the City Manager within five (5) days of their return. If no reimbursable expenses were incurred, then completion of an Expense Report and/or Reconciliation form is not required. Per

mutual aid contracts, when Per Diem reimbursement is authorized by the requesting agency, the employee may receive post response Per Diem, without prior approval or the need to produce receipts.

2. Elected officials shall not be absent from the state for more than thirty (30) days unless on official business or with City Council consent. Furthermore, elected officials absence for more than two months requires the City Council's written approval and shall not exceed six months in any one year. (Refer to Government Code Section 1062.)

B. Travel Within/Outside the City

1. Within the Bi-Counties Area

Employees must obtain Department Director approval prior to official travel within the bi-counties area (Santa Barbara and San Luis Obispo Counties).

2. Outside the Bi-Counties Area

Employees must obtain Department Director and City Manager (or his/her designee) approval prior to travel outside the bi-counties area on City business that necessitate overnight accommodations. However, when travel outside the bi-counties area is related to public safety mutual aid responses, prisoner transports, or investigative-type activities, notification to the City Manager along with Department Director approval is only required. The information to be submitted with all requests, except noted above, for out-of-area travel is as follows:

- a. Requests must be submitted in advance of the actual travel, using the Travel Authorization Request form (Attachment "B"), or alternate request format approved by the City Manager's Office, a minimum of five working days prior to the Accounts Payable Schedule invoice deadline, unless otherwise approved by the City Manager.
- b. Indicate whether the requested travel was included in the original budget and whether sufficient monies are still contained in the budget to provide for the travel.
- c. Itemize the total cost of the proposed travel on the Travel Expense Report and/or Reconciliation form (Attachment "C"), including all costs for registration fees, lodging, meals, transportation, etc., and attach to the Travel Authorization

Request form. Within five (5) days after travel is completed, the Expense Report and/or Reconciliation form is required to be completed and submitted to the Department Director for approval and signature (and for Department Directors to the City Manager).

- d. Indicate what future travel plans the employee(s) intend(s) to pursue to year's end. Indicate the priority of the requested travel in comparison to future travel plans.
- e. Describe the purpose, justification and importance of the travel. If the request involves multiple employees attending the same training session, please indicate the purpose of multiple employee attendance.

3. Travel Out-of-State

Employees engaged in travel out-of-state shall prepare, upon their return to duty, a one page summary of the pertinent work-related information they obtained and provide this information to their supervisor so as to disseminate and share such obtained information with other employees.

V. LODGING

A. General

- 1. Lodging expenses consist of charges for out-of-area overnight accommodations, as required for conducting official City business.
- 2. Lodging expense is allowable for the evening preceding an out-of-area meeting or business event when the traveler would otherwise have to leave his/her residence before 6:00 a.m. on the day of the event to arrive at the destination at the designated time.
- 3. Lodging expense is allowable for the evening after an out-of-area meeting or business event when the traveler would otherwise arrive at his/her residence after 9:00 p.m.
- 4. Officials and employees must request government rates when making reservations or registering at hotels/motels. If possible, officials and employees should make hotel/motel reservations well in advance and take other actions to incur the lowest possible lodging expenses (e.g. compare rates, request occupancy tax exemptions).

5. Officials and employees shall charge all lodging costs on City issued credit cards, and must reimburse the City for unauthorized expenses upon return.
6. Should a requisition be generated for the cost of lodging, unless otherwise authorized by the City Manager, the hotel/motel is to be named as the vendor.

B. Regular Lodging

The City will reimburse lodging expenses if such lodging expenses are in connection with a conference or organized educational activity and the lodging costs do not exceed the group rate published by the conference or activity sponsor for the meeting in question, provided that the group rate is available at the time of booking. If a government or group rate is not available, the official and/or employee shall use comparable and/or less expensive alternatives. A hotel/motel receipt must accompany a reimbursement claim. Department Directors or the City Manager may reduce or disallow lodging expenses claimed in excess of the guidelines if suitable, less-expensive alternatives are within easy reach of locations where City business is conducted. If a traveler expects lodging expenses to exceed the government or group rates, s/he must include a justification statement on the travel request. The City Manager will determine whether to approve or disapprove the expenses before travel occurs.

C. Shared Lodging

1. Family Member or Friend

Unless otherwise authorized, if expenses for a non-City employee (family member or friend) are included on a lodging receipt, the employee must claim the single occupancy rate.

2. Fellow Employee

- a. When employees share a room, they may divide and each claim part of the expense or one employee may claim the entire amount. The room cost may exceed the maximum guideline only by the amount that the least expensive available multiple occupancy rate exceeds the single rate.
- b. When each employee claims his/her own expenses, each must submit a copy of the hotel/motel receipt. The amount each employee claims will be the sum of allowable expenses on the receipt divided by the number of employees.

- c. When a single employee claims shared lodging expenses, s/he must list the other employee occupant(s) on the reimbursement claim.

D. Special Lodging

With prior City Manager approval, the City may reimburse employees for special lodging accommodations, i.e., other than hotels or motels. Special accommodations include, but are not limited to, apartments, RV parks, and other semi-permanent dwellings.

E. Use of Lodging as a Guest of Friends or Relatives

Officials and employees may stay with friends or relatives while on out-of-town business; however, the City will not reimburse officials or employees for payments to friends or relatives for lodging, meals, or transportation.

VI. MEALS

A. General

1. Employees, City Councilmembers, and City officials away from the City for more than 24 hours will be eligible to receive a Per Diem Allowance to cover the costs of meals while on travel. Per Diem rates will be determined by the U.S. General Services Administration (GSA) Per Diem Schedule for the specific geographic area unless otherwise stated by City contract agreement such as Mutual Aid Response or POST training.
2. When meals are included at no cost in conjunction with travel events (such as with registration or lodging expense), the applicable Per Diem meals reimbursement rate shall be reduced by the amount shown for the applicable meals. For example, if the Per Diem rate allows a \$51 total reimbursement, and lunch was provided at no cost, the total allowable reimbursement for that day would be \$40 (\$51 - \$11 lunch).
3. Under special circumstances, the City Manager may approve individual meal expenses above the guideline with written justification. Itemized copies of receipts such as restaurant bills, and evidence of department director approval **is mandatory**.
4. Departments may decide whether to approve a flat \$5 Per Diem incidentals allowance, pursuant to the GSA schedule (Attachment "A") for each day of overnight travel for permitted incidental expenses such as bellhop tips, valet, and transportation between lodging or businesses and places where meals may be taken.

5. Employees traveling outside the City but within the bi-county area on City business, and such business would preclude them from returning back to the City during the hours of 11:00 a.m. and 2:00 p.m., are eligible to receive, with the approval of their Department Director, the Per Diem allowance meal reimbursement for lunch.
6. Employees that receive their Per Diem allowance prior to their travel departure are not required to submit a Travel Expense Report Reconciliation to the City Manager post travel if expenses did not exceed the pre-approved authorized charges. They only need to be completed and approved by their Department Director, and retained at their department level. However, employees that did not receive a Per Diem allowance prior to departing on their travel will receive the Per Diem amounts via the Travel Expense Report and/or Reconciliation form (Attachment "C"). Receipts are not necessary to reimburse employees a Per Diem amount unless applicable to Section VI.A.3. of this policy.
7. Employees should not use their City issued credit card for any meals while on travel unless applicable to Section VI.A.3 of this policy. If an employee uses their City issued credit card, employee reimbursements will be reduced by the amount of meals purchased.
8. Pursuant to Assembly Bill 1234, **officials will be reimbursed** up to the per-meal guideline amount, including gratuity, based on the U.S. Government Per Diem Schedule for the specific geographic area that they are traveling to, as stated on the U.S. General Services Administration web site (Attachment "A"). Such reimbursement must be submitted on a Travel Expense Report and/or Reconciliation form (Attachment "C"), and must include all receipts to validate the reimbursement claim.
9. If an official and/or employee claims meal expenses for more than one official and/or employee, s/he must list all parties on the expense reimbursement form.
10. Normally, meals are reimbursable under the following time criteria:

<u>MEAL</u>	<u>TRAVEL BEGINS BEFORE (and) TRAVEL ENDS AFTER</u>	
Breakfast	7:00 a.m.	8:00 a.m.
Lunch	11:00 a.m.	1:00 p.m.
Dinner	5:00 p.m.	6:00 p.m.

B. Meals Purchased Within the City of Santa Maria

Normally, the City will not reimburse employees for meals purchased within the City of Santa Maria while they are engaged in day-to-day job duties. However, Department Directors may authorize reimbursement for employees under the following circumstances:

1. Attendance at job-related conferences or meetings held in the City extending over meal times, and the business of the conferences or meetings is pursued during the meals.
2. During emergencies declared by authorized government authorities in which City officials and employees must work for more than two (2) hours beyond the normal duty day.

C. Reimbursement to Officials or Employees for Costs of Meals Purchased for Non-City Personnel

Subject to the guideline rates in Attachment "A," the City shall reimburse officials and employees for purchasing meals for non-City personnel as follows:

1. If authorized by the City Manager or in his/her absence, the appropriate Department Director with notification given to the City Manager.
2. For oral board members.
3. For emergency workers responding to City requests for mutual aid under mutual aid agreements or for emergency workers acting on behalf of the City under emergencies declared by authorized government entities.

VII. TRANSPORTATION

A. General

1. When traveling on City business, officials and employees should use the least expensive modes of transportation consistent with time requirements and work schedules. The City will reimburse travelers for the most cost-effective transportation means, considering both direct expense and employee time management.
2. Transportation expenses are the direct costs of transporting officials and/or employees from authorized points of departure, to travel destinations, and to authorized points of return. These expenses normally include, but are not limited to, common carrier tickets,

private vehicle mileage, and car rental charges. There shall be no reimbursement for transportation when a City-owned vehicle is used.

3. Other transportation expenses include taxi; bus and streetcar fares; road, bridge, and ferry tolls; parking fees; and other costs directly related to transporting officials and/or employees to and from temporary work locations.
4. Transportation expenses not covered include: personal travel, traffic and parking violations, and emergency repairs on private or rental vehicles.

B. Travel by Automobile

1. General

Use of private or City-owned vehicles on City business is subject to the provisions of CAM 89-1, Use of Mobile Equipment – Rules and Regulations.

Car pooling is encouraged when more than one employee is attending the same event or activity.

2. Emergency Repair to and Fuel Costs for City Vehicles

- a. Emergency repairs to City vehicles are defined as those required when vehicles are not operable in a safe manner.
- b. Employees should contact Fleet Services prior to obtaining emergency repairs for City vehicles operated within the City during normal business hours.
- c. When emergency repairs are required on City vehicles operated outside the City, or after business hours, employees should exhaust all means available to contact a Fleet Services representative before obtaining repairs (City vehicles contain Fleet Services call-out lists with after-hours telephone numbers). As a last resort, employees may use City credit cards to pay for repairs and, as required, alternative transportation.
- d. Whenever possible, City vehicle drivers should refuel and obtain engine oil and other fluids at the Public Works Self-Serve Fueling Facility. When vehicles must be refueled at outside service stations, travelers are to pay for the fuel with

a City credit card. When at all possible, employees shall purchase fuel from "self-service" pumps. Reimbursement requests for personal credit card use or emergency cash purchases should include justification statements explaining the circumstances of the purchases. Upon return, employees are to reconcile their credit card (Cal Card or Cardlock) and charge 007-014-010-25-21 for gasoline purchases and 007-014-010-25-22 for diesel purchases. Employees are to forward copies of fuel receipts to Fleet Services for City-purchased fuel consumption tracking.

3. Travel by Private Vehicle

- a. Officials and employees who receive a monthly auto allowance shall use their private vehicles for all travel, inside the bi-counties area. Officials and employees who receive the top two tiers of auto allowance (Department Directors and division heads with high mileage, and the Mayor) shall not be eligible for per-mile mileage reimbursement. Officials and employees who receive 50 percent of the full monthly auto allowance (Department Directors with low mileage and City Council Members) shall be eligible for per-mile mileage reimbursement for travel over 500 miles in one month. Employees who receive 20 percent of the full monthly auto allowance (division heads and authorized personnel with low miles) shall be eligible for per-mile mileage reimbursement for travel over 200 miles in one month.
- b. Except as otherwise provided for in this policy, when traveling by private vehicle, mileage reimbursement will be calculated based on the following criteria:
 - (1) During scheduled work days, outbound travel reimbursement is based upon the distance from the traveler's residence or normal designated work station, whichever is less, to his/her destination.
 - (2) During scheduled work days, return travel reimbursement is based upon the distance from the out-of-area location to the traveler's residence or normal designated work station, whichever is less.
 - (3) During non-scheduled work days, outbound/return travel reimbursement is based upon the distance from the traveler's residence to his/her destination.

- (4) Travel to and from a common carrier terminal or station is based on the same criteria as (1) through (3) above.

4. Mileage Reimbursement Rate

- a. Officials and employees who do not receive a monthly auto allowance will be reimbursed for travel mileage incident to the authorized use of privately-owned vehicles on City business. Reimbursement shall be at the rate pursuant to CAM 1979-1. Reimbursement shall be considered complete payment of actual and necessary expenses incident to the use of privately owned vehicles, including insurance, repairs, and other transportation-related costs. The City shall not reimburse individuals for gasoline purchases when they claim the per-mile reimbursement rate for private vehicles.
- b. Employees who do not receive a monthly auto allowance will have the option in lieu of mileage reimbursement, when traveling by private vehicle, to use a City credit card to purchase gasoline for their travel. Employees that choose this option rather than receiving mileage reimbursement shall have a full tank of gasoline (at their own expense) at the time of departure and can use the City credit card to purchase gasoline during their travel, so as to have a full tank of gasoline at the conclusion of their travel.
- c. Officials and employees who receive a monthly auto allowance may use City credit cards for eligible fuel purchases during travel outside the bi-counties area and shall charge these expenses to the department.

5. Commercial Automobile Rental

- a. Employees traveling outside the bi-counties area may utilize the services of an automobile rental when they do not have other travel means available to them. Employees will be eligible for such reimbursement of actual and necessary costs of an automobile rental when substantiated by an invoice.
- b. Officials and employees who receive a monthly auto allowance are also eligible to use an automobile rental when traveling outside the bi-counties area.

- c. The size of an automobile rented shall be the least expensive size appropriate to the use required by the official and/or employee. Luxury cars and limousine services are not authorized under any circumstances; however, a group of five or more may rent a mini-van. To avoid the appearance of impropriety, officials and employees are discouraged from accepting free upgrades to luxury cars.
- d. If possible, travelers should refuel automobile rentals before returning them to rental agencies. The exception is when a rental car agency offers a gasoline purchase option at a competitive rate and the official and/or employee expects to return the vehicle with a near empty fuel tank. Officials and employees are to use their department's pre-approved rental car agency credit account or City credit card to pay for the automobile rental and fuel.

C. Air Travel

The City is a member of the California Travel Program through the League of California Cities. This program entitles member agencies to significantly reduced airfares through the State of California Airfares (YCAL) rating agreement. Air travel for City business is subject to the City's State Travel Program Travel Reservation Policy whenever possible.

- 1. Unless authorized by the City Manager, when making airline reservations, employees shall book the least expensive class available.
- 2. Air travel reservations under this program may only be made by the Department Secretary directly online or through a certified travel agency. The City Manager may also authorize additional employees to make reservations through this program as well.
- 3. Reservations must be made with a City credit card.
- 4. Reservations should be made as far in advance as possible to take advantage of available discounts.
- 5. Frequent-flier mileage and bonus points or premiums, such as discounts on future fares, received as a result of travel on official City business shall accrue to the City.
- 6. Airline or other travel insurance is not reimbursable.

If an employee is able to find a lower fair utilizing an on-line travel site, after consulting with the City Manager, the employee may use their City credit card to make reservations.

D. Taxis and Other Local Transportation

The City will reimburse the cost of taxi or streetcar fares to and from places of business, hotels, airports, or railroad stations in connection with official activities. The City will not reimburse the costs of taxis or streetcar fares for travel to restaurants unless food service is not available at or within reasonable walking distance from hotels/motels. Taxis or streetcars are permitted only when suitable and more economical services are not reasonably available. Whenever available, officials and employees must attempt to use complimentary hotel/motel shuttle services.

VIII. BUSINESS EXPENSES

- A. Business expenses are those incidental expenses associated with official travel other than transportation, lodging, and meals. Receipts shall be required for all business expenses, except as provided in Paragraph IX.C.
- B. The City will reimburse officials and employees for business expenses, provided they do not include the costs of discretionary items intended for personal benefit or pleasure, such as entertainment, barber and beauty shop charges, movie rentals, massages, etc. Business expenses normally include, but are not limited to, the following:
 - 1. Conference registration fees (if not paid by separate claims).
 - 2. Telephone and facsimile charges for official business. Personal telephone calls are the official's and employee's responsibility.
 - 3. Reasonable amounts paid to baggage handlers, porters, and other service personnel. Gratuities for meal service should be included in costs of claimed meals. **Note that the GSA meals and incidental expenses rates include taxes and tips in the rate**, so employees will not be reimbursed separately for those items.
 - 4. Internet connection fees for conducting City-related business on a City issued computer.

IX. REIMBURSEMENT CLAIMS

A. General

1. When seeking reimbursement, employees must submit their expense claims on the City's Travel Expense Report and Reconciliation form (Attachment "C") within five (5) days of return. All claims must have travelers' signature and Department Director approval and not exceed the reimbursement thresholds set forth in Attachment "A." The City Manager will approve all claims for travel expenses by Department Directors and all claims for travel expenses by City employees outside the bi-counties area.
2. Officials must submit their expense claims on the City's Travel Expense Report and/or Reconciliation form (Attachment "C") within thirty (30) days of return. All claims must have the official's signature seeking reimbursement, accompanied by original itemized receipts documenting each expense and each expense should not exceed the reimbursement thresholds set forth in Attachment "A." If a receipt is unavailable, a signed, detailed statement will be required.

At the City Council meeting immediately following their attendance at said meeting or conference attended at the City's expense, officials shall briefly report (either in writing or orally) on the meeting or conference they attended. If multiple officials attended, a joint report may be made.

3. Alcohol and personal bar expenses are not reimbursable.
4. There shall be no settlement of claims totaling less than \$1.00.
5. An inability to provide such documentation in a timely fashion may result in the expense being borne by the official or employee.
6. If unusual or unanticipated circumstances arise, the City Manager, or the Mayor in the place of the City Manager, can approve exceptions to this policy.

B. Claim Forms Shall Specify:

1. The City business involved.
2. Travelers' names.
3. Travel destinations.
4. Expense identification with accompanying receipts (i.e., seminars, meals, plane fare, etc.).

5. Dollar amounts of all expenses, including both cash and City credit card expenditures, and Per Diem meal reimbursement, if applicable.
6. Personal expenses only if part of City credit card charges. These must be subsequently subtracted from claim totals.
7. Additional explanations, if needed to substantiate claims, to include why prior authorization was not obtained. NOTE: the City is not responsible for full reimbursement of certain expenses should prior authorization not be obtained.

C. Expenses Not Requiring Receipts

Receipts are required for all claimed expenses, except the following:

Local transportation expenses less than \$5.00 each (e.g., parking fees; taxi, streetcar, bus, and ferryboat fares; and road and bridge tolls).

X. CITY CREDIT CARDS

A. General

1. Credit cards issued to officials and employees are valid for a set period of time. Expiration dates are printed on each card.
2. The Director of Finance may refuse to issue cards to departments or individuals who do not comply with the provisions of this or other travel-related policies.

B. Use

1. Officials and employees may use City credit cards only for allowable expenses delineated in this policy. Only individuals to whom cards have been issued may charge travel expenses. Travelers may not obtain cash with City credit cards. Travelers are responsible for credit card penalties or excessive charges due to misuse or negligence.
2. Credit card receipts should contain general descriptions of purchases, such as: City department and account to be charged; hotel room, air fare, lunch, etc. Detailed receipts must be attached when required by this policy.
3. Credit card receipts are essential for reconciling purchases with credit card billings. When a receipt is lost, a duplicate must be

ordered from the bank or vendor. The traveler will reimburse the City for the cost of receipt replacement.

4. Travelers must sign their names on credit card receipts, not "City of Santa Maria." If an official's or employee's signature is not easily identifiable, s/he shall print the name below the signature, prior to submitting receipts.

C. Personalized City Credit Cards

1. Department Directors and some officials and employees may retain personalized City credit cards issued in their names. However, they must process monthly billing statements and attach receipts and forward the appropriate information to the Department of Finance promptly after receiving their monthly invoice statement to avoid interest penalties.
2. Named individuals may use personalized credit cards to purchase airline tickets, make hotel reservations, etc., for individuals in their departments. Individuals for whose expenses the cards are used must submit all such charges on separate claim forms.

D. Lost or Stolen Credit Cards

1. Should a credit card be lost or stolen, the traveler must immediately notify the Director of Finance. If a credit card is lost or stolen on a weekend or holiday or after normal business hours, the traveler must contact the Director of Finance as soon as possible the next work day.
2. The caller must give his/her name and department, the credit card number, the name as it appears on the card, which will generally be "City of Santa Maria," and any other information requested by the Director of Finance.
3. When a credit card is lost or stolen, all other cards bearing the same identification number will be called in for cancellation. City officials and employees must take great care with cards issued to them.

XI. REGISTRATION/EXPENSE ADVANCES

A. General

1. Officials and employees may request advances for reimbursable travel expenses; however, the use of City credit cards is encouraged in lieu of advances.

2. Individuals are to use City credit cards for reservations and registration. If a reservation will result in an actual charge to the City, the traveler must request a receipt and submit a claim.

B. Procedure

1. Travelers outside the bi-county area will submit requests for advances to pay travel expenses on the Travel Authorization Request form (Attachment "B").
2. Travel advance requests must be signed by Department Directors and approved by the City Manager. Such requests must be submitted to the City Manager's Office a minimum of five working days prior to the Accounts Payable Schedule invoice deadline, unless otherwise approved by the City Manager.
3. Requests for registration payments and hotel/motel reservation expenses must be submitted to the City Manager's Office on the Travel Authorization Request form (Attachment "B") a minimum of five working days prior to the Accounts Payable Schedule invoice deadline, unless otherwise approved by the City Manager. City credit card use is normally required for all advance hotel/motel reservations.
4. Requests for advance registration payments must be submitted to the Department of Finance in accordance with the accounts payable schedule to allow time for processing and mailing before registration deadlines.
5. Officials and employees must submit approved travel claims (along with supporting vouchers and receipts) after completion of travel. Unless otherwise stated, if advances exceed actual expenses, officials and employees must remit the difference when they file their claims. An individual may not request another advance until s/he has settled all outstanding advances. If a trip is canceled the advance must be immediately remitted.

XII. RESPONSIBILITY AND ACCOUNTABILITY

Each Department Director shall be held responsible and accountable for the administration of this policy within his/her department. Department Directors should consult with the Director of Finance and/or the City Manager on questions related to this policy. The City Manager shall annually review the practices and reports of the various departments in regard to the administration of this policy.

This policy may be amended, as needed, by the City Manager to address operational issues as they arise.

The use of public resources or falsifying travel authorization and/or expense reports in violation of this policy may result in any or all of the following: 1) loss of reimbursement privileges; 2) a demand for restitution to the City; 3) the City reporting the expenses as income to the official or employee to state and federal tax authorities; 4) civil penalties; and 5) prosecution for misuse of public resources.



JASON STILWELL
City Manager

Attachment A - U. S. Government Per Diem Schedule
Attachment B - Travel Authorization Request Form
Attachment C - Travel Expense Report and Reconciliation



FY 2018 Per Diem Rates for California

(October 2017 - September 2018).

Cities not appearing below may be located within a county for which rates are listed.

To determine what county a city is located in, visit the National Association of Counties (NACO) website (a non-federal website).

October 2017 - September 2018 You searched for: California Max lodging by month (excluding taxes.) The last column is the Meals and Incidental Expense (M&IE) rate.

Primary Destination (1, 2)	County (3, 4)	2017 Oct	Nov	Dec	2018 Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	M&IE (5)
Standard Rate	Applies for all locations without specified rates / STANDARD RATE	\$93	\$93	\$93	\$93	\$93	\$93	\$93	\$93	\$93	\$93	\$93	\$93	\$51
Antioch / Brentwood / Concord	Contra Costa	\$154	\$154	\$154	\$154	\$154	\$154	\$154	\$154	\$154	\$154	\$154	\$154	\$64
Bakersfield / Ridgecrest	Kern	\$100	\$100	\$100	\$100	\$100	\$100	\$100	\$100	\$100	\$100	\$100	\$100	\$99
Barstow / Ontario / Victorville	San Bernardino	\$95	\$95	\$95	\$95	\$95	\$95	\$95	\$95	\$95	\$95	\$95	\$95	\$54
Death Valley	Inyo	\$112	\$112	\$112	\$112	\$112	\$112	\$112	\$112	\$112	\$112	\$112	\$112	\$64
Eureka / Arcata / McKinleyville	Humboldt	\$101	\$101	\$101	\$101	\$101	\$101	\$101	\$101	\$129	\$129	\$129	\$101	\$74
Fresno	Fresno	\$103	\$103	\$103	\$103	\$103	\$103	\$103	\$103	\$103	\$103	\$103	\$103	\$64
Los Angeles	Los Angeles / Orange / Ventura / Edwards AFB less the city of Santa Monica	\$173	\$173	\$173	\$173	\$173	\$173	\$173	\$173	\$173	\$173	\$173	\$173	\$64
Mammoth Lakes	Mono	\$131	\$131	\$131	\$131	\$131	\$131	\$131	\$131	\$131	\$131	\$131	\$131	\$74
Mill Valley / San Rafael / Novato	Marin	\$184	\$151	\$151	\$151	\$151	\$151	\$151	\$151	\$184	\$184	\$184	\$184	\$74
Monterey	Monterey	\$142	\$142	\$142	\$142	\$142	\$142	\$142	\$142	\$142	\$198	\$198	\$142	\$74
Napa	Napa	\$215	\$165	\$165	\$165	\$165	\$165	\$165	\$215	\$215	\$215	\$215	\$215	\$69
Oakhurst	Madera	\$98	\$98	\$98	\$98	\$98	\$98	\$98	\$98	\$127	\$127	\$127	\$98	\$64

ATTACHMENT A (page 1 of 4)

Primary Destination (1, 2)	County (3, 4)	2017			2018									M&IE (\$)
		Oct	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	
Point Arena / Gualala	Mendocino	\$116	\$116	\$116	\$116	\$116	\$116	\$116	\$116	\$116	\$116	\$116	\$116	\$69
Sacramento	Sacramento	\$128	\$128	\$128	\$128	\$128	\$128	\$128	\$128	\$128	\$128	\$128	\$128	\$64
San Diego	San Diego	\$153	\$153	\$153	\$167	\$167	\$167	\$167	\$167	\$167	\$167	\$153	\$153	\$64
San Francisco	San Francisco	\$302	\$222	\$222	\$276	\$276	\$276	\$276	\$276	\$276	\$276	\$276	\$302	\$74
San Luis Obispo	San Luis Obispo	\$123	\$123	\$123	\$123	\$123	\$123	\$123	\$123	\$123	\$123	\$123	\$123	\$64
San Mateo / Foster City / Belmont	San Mateo	\$213	\$180	\$180	\$213	\$213	\$213	\$213	\$213	\$213	\$213	\$213	\$213	\$69
Santa Barbara	Santa Barbara	\$167	\$167	\$167	\$167	\$167	\$167	\$167	\$167	\$167	\$222	\$222	\$167	\$74
Santa Cruz	Santa Cruz	\$122	\$122	\$122	\$122	\$122	\$122	\$122	\$122	\$152	\$152	\$152	\$122	\$59
Santa Monica	City limits of Santa Monica	\$253	\$253	\$253	\$253	\$253	\$253	\$253	\$253	\$253	\$307	\$307	\$253	\$64
Santa Rosa	Sonoma	\$162	\$134	\$134	\$134	\$134	\$134	\$134	\$134	\$162	\$162	\$162	\$162	\$64
South Lake Tahoe	El Dorado	\$112	\$112	\$125	\$125	\$125	\$125	\$125	\$125	\$125	\$154	\$154	\$112	\$64
Stockton	San Joaquin	\$107	\$107	\$107	\$107	\$107	\$107	\$107	\$107	\$107	\$107	\$107	\$107	\$64
Sunnyvale / Palo Alto / San Jose	Santa Clara	\$218	\$218	\$218	\$228	\$228	\$228	\$218	\$218	\$218	\$218	\$218	\$218	\$64
Tahoe City	Placer	\$103	\$103	\$103	\$103	\$103	\$103	\$103	\$103	\$103	\$103	\$103	\$103	\$64
Truckee	Nevada	\$126	\$126	\$126	\$126	\$126	\$126	\$126	\$126	\$126	\$126	\$126	\$126	\$74
Visalia / Lemoore	Tulare / Kings	\$100	\$100	\$100	\$100	\$100	\$100	\$100	\$100	\$100	\$100	\$100	\$100	\$59
West Sacramento / Davis	Yolo	\$117	\$117	\$117	\$117	\$117	\$117	\$117	\$117	\$117	\$117	\$117	\$117	\$64
Yosemite National Park	Mariposa	\$123	\$123	\$123	\$111	\$111	\$111	\$111	\$111	\$123	\$123	\$123	\$123	\$69

Footnotes

1. Traveler reimbursement is based on the location of the work activities and not the accommodations, unless lodging is not available at the work activity, then the agency may authorize the rate where lodging is obtained.
2. Unless otherwise specified, the per diem locality is defined as "all locations within, or entirely surrounded by, the corporate limits of the key city, including independent entities located within those boundaries."
3. Per diem localities with county definitions shall include "all locations within, or entirely surrounded by, the corporate limits of the key city as well as the boundaries of the listed counties, including independent entities located within the boundaries of the key city and the listed counties (unless otherwise listed separately)."
4. When a military installation or Government-related facility (whether or not specifically named) is located partially within more than one city or county boundary, the applicable per diem rate for the entire installation or facility is the higher of the rates which apply to the cities and/or counties, even though part(s) of such activities may be located outside the defined per diem locality.
5. *Meals and Incidental Expenses*, see Breakdown of M&IE Expenses for important information on first and last days of travel.

Meals and Incidental Expenses (M&IE) Breakdown

Choose one of the headings below to get meals and incidental expense rates (M&IE) for federal travelers.

- ▶ Find total M&IE for travel in the continental U.S.
- ▶ Find M&IE breakdown by meal for travel in the continental U.S.

M&IE Breakdown

M&IE Total (1)	Continental Breakfast/ Breakfast (2)	Lunch (2)	Dinner (2)	Incidental Expenses	First & Last Day of Travel (3)
\$51	\$11	\$12	\$23	\$5	\$38.25
\$54	\$12	\$13	\$24	\$5	\$40.50
\$59	\$13	\$15	\$26	\$5	\$44.25
\$64	\$15	\$16	\$28	\$5	\$48.00
\$69	\$16	\$17	\$31	\$5	\$51.75
\$74	\$17	\$18	\$34	\$5	\$55.50

1. This table lists the full daily amount federal employees receive for a single calendar day of travel when that day is neither the first nor last day of travel.
2. The separate amounts for breakfast, lunch and dinner listed in the chart are provided should you need to deduct any of those meals from your trip voucher. For example, if your trip includes meals that are already paid for by the government (such as through a registration fee for a conference), you will need to deduct those meals from your voucher. Refer to [Section 301-11.18 of the Federal Travel Regulation](#) for specific

guidance on deducting these amounts from your per diem reimbursement claims for meals furnished to you by the government. Other organizations may have different rules that apply for their employees; please check with your organization for more assistance.

3. This column lists the amount federal employees receive for the first and last calendar day of travel. The first and last calendar day of travel is calculated at 75 percent.

TRAVEL AUTHORIZATION

ONLY COMPUTER GENERATED FORMS WILL BE ACCEPTED. PLEASE FILL OUT FORM COMPLETELY.

Official/Employee	VENDOR #	Department	Travel Dates (including travel time)	
		▼	From:	To:
Account Number		Destination	No. of Days	Amount
				\$ -

PURPOSE/COMMENTS

COST DETAIL

Description	Vendor Name & Number	Method of Payment	Amount
Registration			
Airfare			
Lodging			
Meals: # of Breakfasts: @			-
# of Lunches: @			-
# of Dinners: @			-

Total # Miles

Minus Allowance

Mileage/Personal vehicle @	0.545			\$ -
Gasoline/City Vehicle				
Car Rental				
Miscellaneous (See Line 23):				

Explanation of cost details can be included in "Purpose/Comment" section.

COST DETAIL TOTAL \$ -

PAYMENT SUMMARY

	Total # of Checks: ▼	
Sum of all Cash Advance requests to Employee	Date Needed:	-
Sum of all City Check requests to Vendors	Date Needed:	-
Sum of all City Credit Card (as reported in Cost Detail)		-
Sum of all payments made with Personal credit card/check/cash		-
TOTAL (Should equal "Cost Detail" total)		\$ -

MULTIPLE ATTENDANCE (Please submit separate expense reports for expenses not included on this request.)

Official(s)/Employee(s)	Department	Official(s)/Employee(s)	Department
	▼		▼
	▼		▼

ITINERARY

	DATE	TIME		DATE	TIME
Depart			Return		

Official/Employee Name	Department	Official/Employee Signature	Date
	▼		

I, the above official/employee, do hereby certify that I will comply with the provisions of CAM 95-01 as they relate to this travel.

Designated Appointee Name	Department	Designated Appointee Signa	Date
	▼		
Department Head Signature	Date	City Manager Signature	Date

Person completing this form: _____ Extension: _____ Date: _____

Expense Report and/or Reconciliation**Only computer generated forms will be accepted. Please include a claim or receipt if other than \$0.00 balance.**

Please indicate the following:

☐ Proposed Expense☐ Reimbursable**REIMBURSABLE EXPENSE DETAIL (Fields will not calculate until you complete Mileage Detail.)**

	Sunday	Monday	Tuesday	Wednesday	Thursday	Friday	Saturday	
Dates of Travel:								
Registration								\$ -
Air fare								-
Lodging								-
Breakfast								-
Lunch								-
Dinner								-
Gasoline								-
Rental car								-
Parking								-
Bus/Taxi								-
Telephone								-
								-
								-
								-
(A) TOTAL	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -

MILEAGE DETAIL - PERSONAL VEHICLE

(B) Total # miles:	@	\$ 0.545		\$ -
---------------------------	---	----------	--	------

REIMBURSABLE TRAVEL EXPENSE SUMMARY

Total reimbursable travel expenses (Total of (A) and (B))	Total	\$ -
Total of all City prepaid actual expen:		
Enter amount of any Cash Advanced		
Total Due (check one) ☐ Official/Employee ☐ City		\$ -

REMARKS:

By signing this expense report, the official/employee certifies that the expenses incurred were in conformance with the City's travel guidelines (CAM 95-01) and that no part is claimed for reimbursement of expenses of a personal nature.

Official/Employee Name (Please print)	Department	Official/Employee Signature	Extension
	▼		
Designated Appointee Name	Department	Designated Appointee Signature	Date
	▼		
Department Director Signature	Date	City Manager Signature	Date

Person completing this form:

Phone: _____

Date: _____



ADMINISTRATIVE INSTRUCTION

SUBJECT: Travel and Meeting Expenses
and Mileage Reimbursements

NUMBER: IV-2-1

EFFECTIVE DATE: May 1, 2019 (R)

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I. Purpose

The purpose of this administrative instruction is to set policy and establish procedures for travel, meeting, and mileage reimbursements. The policy ensures that travel expenses are reasonable and appropriate and reimbursements are not reported as taxable income to the individual. The procedures establish paperless reimbursement processing and retention.

II. Scope

This administrative instruction relates to costs incurred while traveling on City business or attending meetings and for costs associated with the use of a private vehicle for work-related transportation. The policy applies to any individual that conducts business on behalf of the City of Santa Monica including Council members (pursuant to Santa Monica Charter section 602(c)), members of City Boards and Commissions, City staff members, and contractors.

III. Policy Overview

The City reimburses for attendance at professional conferences, seminars, trainings, and meetings contingent on approval. Staff members must receive pre-approval from their Department Head or Division Manager.

The reimbursement procedures in this AI conform to the IRS Accountable Plan rules for business travel related expenses, and require that: expenses have a business connection, expenses are adequately accounted for within a reasonable amount of time, and any excess advance is returned to the City. If reimbursements do not follow the requirements in this document, the IRS may consider such payments as wages subject to payroll tax withholding.

Other policies or agreements contain travel reimbursement requirements, including, but not limited to bargaining unit agreements, grant agreements, and specific contracts. When requirements conflict, staff members must abide by those that are most restrictive. Departments may establish internal policies consistent with this AI.



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Reimbursable costs are limited to the following general classifications of costs:

Type of Cost	Reimbursement method
A. Meals and incidentals	Based on per diem rate, receipts not required
B. Lodging	Submit an itemized receipt
C. Transportation (air, bus, taxi, Uber/Lyft or similar services, rental vehicles)	Submit an itemized receipt
D. Mileage Reimbursement	Submit Mileage Reimbursement Claim Form for use of a personal vehicle
E. Other Expenses (registration fee, parking, internet and phone charges)	Submit an itemized receipt
F. Peace Officers Standards and Training (P.O.S.T)	Submit a Training Expense Advance Request Form

More information on reimbursable costs is found in Section IV.

The City purchasing card is the preferred method for advanced payment of airfare, lodging and registration. Staff members must adhere to the Purchasing Card Administrative Instruction as guidelines for all advance purchases.

In the event that travel plans are cancelled, the staff member should make every effort to receive a full refund for all travel expenses and deposits. If a travel voucher is provided in lieu of a refund, it must be used for City-related travel.



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IV. Travel Costs/Eligible Expenses

A. *Meals and Incidentals*

The City will reimburse staff members for meal and incidental (M&IE) costs not to exceed the Federal Government per diem allowance rates (see below). Receipts are not required if the federal per diem amount is not exceeded for each day of travel.

- Travel within the United States: Domestic Per Diem Rates established by the General Services Administration (GSA) for meal and incidental reimbursements. The rates vary by destination and are available on the GSA website (www.gsa.gov).
- International travel: Foreign Per Diem Rates established by the U.S. Department of State. See the U.S. Department of State for Foreign Per Diem Rates (www.state.gov).

When claiming the per diem amount:

- Purchasing cards cannot be used
- Proof of time, place and business purpose must be clearly documented on the cover of the Travel and Meeting Expense Report and attached itineraries, registrations and travel documentation must support this purpose
- Meals, tips, tax, beverages (no alcohol) and incidentals are included in these per diem amounts and **should not** be itemized on the Expense Report. Incidentals are fees and tips given to baggage carriers, bellhops, hotel staff and for transportation between places of lodging or meetings and places where meals are taken.
- The GSA Meals & Incidental Total amount should be printed from the website and attached to the Expense Report



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Paying for Another Staff Member's Meal

If a staff member incurs a meal cost for themselves and other City staff members, the staff member incurring the cost will receive the portion of the per diem rate relating to the particular meal for each staff member they paid for. All attendees must be documented on the expense reimbursement documentation.

Meal Allowance for the First and Last day of Travel

Per IRS and GSA guidelines, staff members are eligible for 75% of the total M&IE rate on the first and last day of travel, regardless of the time of departure or return.

Conference Provided Meals

If the conference host provides meals to attendees for no additional charge, staff members must pro-rate the per diem to exclude the meal provided as follows:

- 20% of per diem for breakfast
- 30% for lunch
- 50% for dinner

Meal Allowance for Local Travel Outside of City limits

If a staff member is scheduled to begin travel after the start of his or her regular work day, no allowance may be claimed for breakfast. If a staff member is scheduled to begin travel after their regular lunch break, no allowance may be claimed for lunch.



ADMINISTRATIVE INSTRUCTION

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Exceptions to the Meal Per Diem

Business meetings at which City staff and external parties meet to discuss City business and where City staff have no control over the choice of location and associated cost are considered an exception to the per diem policy. In such cases, the City reimburses business meal expenses at the actual cost, subject to Department Director approval. The itemized business meal reimbursement receipt must be included in the Travel and Meeting Expense Report and backup must clearly document:

- The amount of the expenditure;
- The date and place of the expenditure;
- The business purpose of the expenditure;
- Brief justification for the cost above established per diem; and
- The name(s) of the individuals participating in the expense.



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B. Lodgings

The City reimburses for a standard single room (including taxes) for as many nights as necessary. If travel is related to a professional conference, it is often preferable to stay at the hotel hosting the conference.

Hotel costs shall not exceed the maximum group rate published by the conference or activity sponsor. If the conference-designated lodging location is unavailable, travelers are expected to use the most economical alternative.

Staff members shall use a City purchasing card or a personal credit card to hold a reservation. The City will not reimburse a staff member for unused reservations unless the staff member's supervisor determines that circumstances requiring the cancellation were beyond the staff member's control.

Staff members should identify themselves as City staff members when making reservations and ask if they are exempt from local transient occupancy taxes.

Staff members must submit an itemized hotel receipt for reimbursement. The City will not reimburse a staff member for lodging if the Staff member chooses to stay with a friend or relative while attending an out of town meeting or conference.



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C. Transportation

Staff members are encouraged to take the most direct routes; and staff members traveling to the same event are encouraged to carpool.

Any travel outside the Southern California area will be by air at coach fares. First class and Business class travel is prohibited. Amenities not required for travel shall not be reimbursed.

The City reimburses staff members for reasonable ground transportation (taxi, Uber/Lyft or similar service, train, bus or personal vehicle) between the airport and office or home. When using a personal vehicle, long-term airport parking must be used for travel exceeding 24 hours.

Individuals must obtain prior approval for use of a rental vehicle from the Department Director or Division Manager and it must be justified as an economical business necessity. Staff members are encouraged to select the vehicle that represents the most cost-effective option. Optional insurance offered by the rental agency is not a reimbursable expense. Staff members should work with Risk Management for questions regarding insurance.

For reimbursement, staff members must submit itemized parking and rental car receipts with the Travel and Meeting Expense reimbursement form.

The City offers staff members access to City-owned vehicles to attend local conferences, meetings and workshops.

- Staff members who use City-owned vehicles must comply with the vehicles reservation rules before reserving a car (available on the City's intranet).
- All City-owned vehicles must be refueled at City Yards (2500 Michigan Avenue) or behind Big Blue Bus (5th and Olympic). If emergency gasoline is required while traveling on City business, the expense reimbursement will require a gas station receipt.



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D. Mileage Reimbursement

The City will reimburse the owner of a personal vehicle at the current per mile rate established by the IRS ([IRS rate](#)). To drive a personal vehicle on City business, staff members must possess a valid California driver's license and meet the minimum financial responsibility requirements as prescribed by the State Vehicle Code ([CVC 16058](#)). Mileage reimbursements shall constitute full payment by the City for all costs associated with vehicle operation, including fuel, lubricants, repairs, depreciation and insurance. Mileage is calculated from the staff member's residence or work to the destination, whichever is less. The City also reimburses individuals for reasonable parking costs associated with the use of private vehicles while conducting City business.

City staff must submit reimbursement requests associated with the use of private vehicles using the Mileage Reimbursement Claim form (available on the City's intranet) with the following backup:

- description of the business purpose of vehicle use.
- map printout supporting the total miles driven for which reimbursement is sought, and
- scanned copy of parking receipts (if applicable)

E. Other Expenses

Other costs incurred by a staff member that may be eligible for reimbursement include, but are not limited to, registration fees, printed materials, training materials, costs associated with local meetings as either host or participant.

The City will reimburse staff members for reasonable business internet costs. The business purpose must be clearly documented on the expense reimbursement documentation.



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F. Peace Officers Standards and Training (POST)

Police personnel participate in Peace Officers Standards and Training. The City advances the daily per diems established by the Commission on Peace Officers Standards and Training for lodging and meals. Request for advances must be submitted on a Training Expense Advance Request form, approved by the Division Lieutenant or Captain, and submitted to Accounts Payable within 14 days of the departure date. A copy of the vendor reservation confirmation must be attached to the request. Unused funds from an advance or for cancelled trainings must be returned to the City within ten working days.

G. Non-reimbursable expenses

Non-reimbursable expenses include, but are not limited, to:

- 1) Traffic violations or private auto repair;
- 2) In-room movie and mini-bar charges;
- 3) Alcohol purchases;
- 4) Entertainment, or health club fees;
- 5) Cost of personal trip insurance, optional liability insurance and medical and hospital services;
- 6) Meals that the City otherwise reimburses the staff member for as included in the cost of conference/meeting fees; and
- 7) Clothing or other personal items.



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V. Required Documentation

Staff members shall prepare a Travel and Meeting Expense Report using the template posted on [eDesk](#) even if the staff member used a City purchasing card for all travel costs which results in no reimbursement to the staff member. All purchasing card charges associated with travel and meetings must be included on the Travel and Meeting Expense Report.

In the event that the staff member owes the City a refund, the staff member must scan the approved report and receipts electronically and send a check made payable to the City of Santa Monica to the Accounts Payable Supervisor.

The approved Travel and Meeting Expense Report along with documented per diem rates, itemized receipts for lodging, airfare, parking, conference expenses and itinerary, and other supporting documentation must be submitted electronically to the Accounts Payable unit no later than 10 business days after completion of the trip. Scanned copies are sufficient for receipts and other supporting documentation. The scanned copy must exhibit a high degree of legibility and readability. Departments should retain the original of receipts and other documentation until A/P has approved the reimbursement.



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VI. Procedures and Responsibilities

PROCEDURE

RESPONSIBLE PERSON(S)

- | | |
|---|--|
| 1. Obtain approval for travel or attendance at meeting | Staff member |
| 2. Approve staff member request for travel or attendance at meeting after confirming sufficient budget is available | Department Director or
Division Manager |
| 3. Accumulate records of all travel costs incurred: documented per diem rates for meals and incidentals and required itemized receipts for all other travel expenses | Staff member |
| 4. Prepare a Travel and Meeting Expense Report and attach all required supporting documentation | Staff member |
| 5. Review and approve the staff member Travel and Meeting Expense Report | Department Director or
Division Manager |
| 6. Submit electronic copy using Tyler Content Manager (TCM) of approved Travel and Meeting Expense Report and all supporting documents for reimbursement to Accounts Payable unit within 10 working days of last travel day | Staff member/Department staff
responsible for Accounts
Payable |
| 7. Retain electronic copy of approved Travel and Meeting Expense Report and all supporting documents per the City's retention policy | Department and Staff member |



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VII. Sources of Additional Information

The Travel and Meeting FAQ on [eDesk](#) provides additional information related to travel. Finance staff will update the FAQ and travel and meeting mileage rate information as necessary, and will maintain the information on the [Finance intranet \(desktop.private/finance\)](#).

VIII. Exceptions

Exception to this policy must be pre-approved by the Finance Director. Department Directors may request an exception by sending an email request to the Finance Director, with justification for the exception. Department staff shall attach a copy of the Finance Director's email approving the exception to the Expense Report.

IX. Compliance

Individuals that travel or attend meetings on official City business, or supervise someone who does, are responsible for knowing and following this administrative instruction. Failure to comply with the requirements in this Administrative Instruction or Federal Government guidelines could result in corrective action, suspension of travel, and/or taxation of reimbursements.

X. Forms

- A. [Travel and Meeting Expense Report](#)
- B. [Mileage Reimbursement Claim Form](#)
- C. Training Expense Advance Request Form (PD only)
- D. [Vehicle Accident Report Form](#)



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XI. Related Policies and Procedures

- A. [Purchasing Card Administrative Instruction](#)
- B. Travel and Meeting FAQ (*coming soon*)
- C. [Petty Cash Administrative Instruction](#)
- D. [Vehicle Accident Reporting Procedures Administrative Instruction](#)

XII. Authorized By

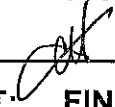
Rick Cole
City Manager

City of Signal Hill Policy

City Council Travel and Expense Policy

DATE: July 5, 2018

REVISION NO.: 003

APPROVED:  _____

DEPARTMENT: FINANCE

I. PURPOSE

To provide guidelines for the charging of City Council travel and conference expenses to the appropriate account.

II. POLICY

- A. The Council General Account (100-41-330) is to be used for travel and expenses related to testifying and lobbying activities with state and federal legislators. This account will also be used for travel expenses related to serving on any of the League of California Cities standing policy committees such as Revenue and Taxation, Transportation, or Community Services.
- B. The National League of Cities Annual Conference that is held in Washington, DC, each March is considered a lobbying conference and will be chargeable to the Council General Account.
- C. Individual City Council Accounts (100-41-321 through 325) will be used for all other City Council conferences and meetings. This includes League of California Cities meetings and conferences, National League of Cities regional conferences, California Contract Cities meetings and conferences, and other city business related meetings.
- D. League of California Cities Annual Conference*, California Contract Cities Annual Municipal Seminar*, League of California Cities Caucuses, National League of Cities conferences other than the annual Congressional Cities Conference*, and other meetings tied to legislative activities** are charged 50% to the general account and 50% to the individual account.

III. PROCEDURE

- A. All itemized receipts must be saved and submitted with statements to identify charges including registration confirmations, additional workshop confirmations if an additional cost is incurred; and all flight, meal, hotel, transportation, and miscellaneous expenses.
- B. The Director of Finance will prepare a monthly status report on all City Council expenses charged to individual Council Accounts and the Council general account.

- C. If a Councilmember has exceeded the budgeted amount (or will exceed it) for individual travel and expenses, the Councilmember must obtain City Council approval for any additional trips.
- * Authorized voting delegate as designated by the City Council or by Seniority (i.e., Mayor, Vice Mayor, and then by length of service on the City Council).
 - ** All Council Members eligible, but must make arrangements through the City Manager to meet with Signal Hill legislators or staff beforehand.

CITY OF WESTLAKE VILLAGE
ADMINISTRATIVE POLICIES AND PROCEDURES
TRAVEL AND EXPENSE REIMBURSEMENT POLICY

I. PURPOSE

The purpose of this administrative policy is to establish a travel and expense reimbursement policy for Councilmembers and employees who attend professional conferences, training seminars or other events involving City business. In accordance with State law, all expenditures of public funds by the City, and all reimbursement requests by a Councilmember or employee after an expense of personal funds, must logically relate to the conduct of City business and be necessary to accomplish the purpose of the City business and be reasonable in amount. This policy is subject to change as recommended by the City Manager and approved by the City Council.

II. POLICY

A. Eligibility

Councilmembers and employees are eligible for reimbursement of travel and expenses related to attendance at professional conferences, training seminars or other events involving City business provided that: (i) funds for such purposes are specifically provided for and included in the City's current operating budget; and (ii) the other requirements of this policy are met.

B. City Council Pre-Authorization Requirement

Prior City Council authorization is required for reimbursement of travel related to Councilmember attendance at any out-of-state event or at any meeting of an agency, board, commission or committee on which the Councilmember voluntarily serves. A Councilmember shall be deemed to voluntarily serve on an agency, board, commission or committee if he or she has not been designated by the City Council to be the City's representative on such agency, board, commission or committee.

Prior City Council authorization is not required for reimbursement of travel related to Councilmember attendance at an in-state meeting of an agency, board, commission or committee on which the Councilmember serves as the City Council's designated representative.

C. City Manager Pre-Authorization Requirement

Prior City Manager authorization is required for reimbursement of travel related to employee attendance at any professional conference, training seminar or other event involving City business.

D. Authorized Expenses

Expenses incurred by Councilmembers or employees engaging and/or participating in the following activities and/or events constitute authorized and reimbursable expenses, as long as the other requirements of this policy are met:

1. Communicating with representatives of regional, state and national government on City policy positions.
2. Attending training seminars designed to improve skill and information levels on issues involving City business.
3. Participating in regional, state and national organizations whose activities affect the City's interests.
4. Attending City-sponsored events and/or community events related to Westlake Village.
5. Councilmembers attending non-political fund-raising events related to Westlake Village: the Mayor shall be eligible for reimbursement for attendance at an unlimited number of such events and Councilmembers shall be eligible for attendance at two such events per year.

E. Unauthorized Expenses

Examples of personal expenses that the City will not reimburse include, but are not limited to:

1. The personal portion of any trip.
2. Political contributions or events.
3. Family expenses, including those of a partner when accompanying a Councilmember or employee on official business, as well as child or pet-related expenses.
4. Entertainment expenses, including theater, movies (either in-room or at the theater), sporting events (including gym, massage and/or golf related expenses), spa treatments, etc.
5. Non-mileage personal automobile expenses including repairs, traffic citations, insurance or gasoline.
6. Personal losses incurred while on City business.

Any questions regarding the propriety of a particular type of expense should be discussed with and resolved by the City Manager before the expense is incurred.

F. Reservations

When possible, reservations should be made at least 14 or more days in advance to take advantage of potential discounts. As the trip is being paid for with public funds, it shall be the responsibility of the Councilmember or employee to make every effort to attend the entire conference, seminar or other event.

G. Transportation

Use of air, train, bus, personal car or City-owned car shall be selected on the basis of the most reasonable and appropriate method, taking into consideration distance, time and total costs to the City after all expense items are tabulated.

When because of distance it is more economical to take commercial transportation, if a Councilmember or employee proposes to drive a personal car in those cases, commercial transportation fare equivalent will be paid and not automobile mileage. Government and group rates must be used when available.

1. Airfare. Airfares that are reasonable and economical shall be eligible for purposes of reimbursement.
2. Automobile. Automobile mileage is reimbursed at Internal Revenue Service (IRS) rates in effect at the time of travel. These rates are designed to compensate the driver for gasoline, insurance, maintenance, and other expenses associated with operating the vehicle. This amount does not include bridge and road tolls or parking, which are also reimbursable.
3. Car Rental. Rental rates that are reasonable and economical shall be eligible for purposes of reimbursement.
4. Taxis/Shuttles. Taxi or shuttle fares may be reimbursed, including a 15% percent gratuity per fare, when the cost of such fares is equal or less than the cost of car rentals, gasoline and parking combined, or when such transportation is necessary for time-efficiency.

H. Lodging

Lodging expenses will be reimbursed or paid for when travel on official City business reasonably requires an overnight stay. If such lodging is in connection with a conference, lodging expenses must not exceed the group rate published by the conference sponsor if such rates are available at the time of booking. Travelers must request government rates, when available. If the group rate is not available, reimbursement at the IRS rate in effect at the time of travel shall apply. (IRS Publication 463).

I. Meals

A local expense reimbursement policy identifying a “per diem” of reasonable rates for meals is not adopted pursuant to this policy. Receipts for expenses for meals shall be required. Except as provided in paragraph (L) below, actual expenses shall be reimbursed subject to the maximum per diem for the meal as set by the IRS rate in effect at the time of travel. (See Cal. Gov’t. Code §53232.3(c) and IRS Publication 1542). Meals that are included in the conference registration fee will not be an allowable expense for reimbursement.

J. Miscellaneous Expenses

Councilmembers and employees will be reimbursed for actual telephone, fax, and parking expenses incurred on City business. Telephone bills should identify which calls were made on City business.

K. Cash Advance Policy

From time to time, it may be necessary for a Councilmember or employee to request a cash advance to cover anticipated expenses while traveling or doing business on the City’s behalf. A request for an advance should be submitted to the City Manager as early as possible prior to the travel date with the following information:

1. The purpose of the expenditure(s).
2. The benefits of such expenditure(s) to the residents of the City.
3. The anticipated amount of the expenditure(s) (for example, hotel rates, meal costs, and transportation expenses).
4. The dates of the expenditure(s).

Any unused advance must be returned to the City within five working days of the Councilmember’ or employee’s return, along with an expense report and receipts documenting how the advance was used.

L. Credit Card Use Policy

The City does not issue credit cards to individuals but does have a City credit card for select City expenses. Councilmembers and employees may use the City credit card for such purposes as airline tickets and hotel reservations by following the same procedures for cash advances. Additionally, the City Manager may use the City credit card for meal expenses for team-building events attended solely by Councilmembers, City employees and/or City consultants. Notwithstanding paragraph (I) above, the actual expenses of such events shall be paid by the City. Receipts documenting

expenses incurred on the City credit card and compliance with this policy must be submitted within five working days of use.

M. Expense Report Content and Submission Deadlines

All cash advance expenditures, credit card expenses and expense reimbursement requests must be submitted on an expense report form provided by the City. This form shall include the following advisory statement:

“All expenses reported on this form must comply with the City’s policies relating to expenses and use of public resources. The information submitted on this form is a public record. Penalties for misusing public resources and violating the City’s policies include loss of reimbursement privileges, restitution, civil and criminal penalties as well as additional income tax liability.”

Expense reports must document that the expense in question met the requirements of this policy. Councilmembers and employees must submit their expense reports within 30 calendar days of an expense being incurred, accompanied by receipts documenting each expense. Restaurant receipts, in addition to any credit card receipts, are also part of the necessary documentation. Inability to provide documentation in a timely fashion may result in the expense being borne by the Councilmember or employee.

In the event the Councilmember or employee does not attend the trip and non-refundable expenses have been incurred for registration, lodging and/or travel, the Councilmember or employee shall submit a written explanation of the reasons for non-attendance to the City Manager. The City Manager shall determine if the public funds advanced to an employee must be reimbursed to the City. The City Council shall determine if the public funds advanced to a Councilmember must be reimbursed to the City.

All expenses are subject to verification that they comply with this policy.

N. Appeals

Employees may appeal any City Manager decision administering this policy to the City Council’s Administrative Committee and then to the City Council. Councilmembers may appeal any such decision to the City Council. Appeals must be filed in writing within 15 days of the decision being appealed. The decision of the City Council shall be final.

O. Reports to City Council

At the next regular meeting of the City Council, each Councilmember shall provide a brief oral report on meetings that he or she has attended at City expense. (See Cal.

Gov't. Code § 53232.3(d)). If multiple Councilmembers attended a particular meeting at City expense, a joint oral report may be made.

P. Compliance with Laws; Violation

Councilmembers and employees should keep in mind that some expenditures may be subject to reporting under the Political Reform Act and other laws. All City expenditures are public records subject to disclosure under the Public Records Act and other applicable laws. Use of public resources or falsifying expense reports in violation of this policy may result in any or all of the following: (1) loss of reimbursement privileges; (2) a demand for restitution to the City; (3) reporting the expense to state and federal tax authorities as income to the Councilmember or employee; (4) civil penalties of up to \$1,000 per day and three times the value of the resources used, and (5) prosecution for misuse of public resources.

III. SUMMARY

These procedures cannot cover every issue, exception or contingency that may arise in traveling on City business. Accordingly, the basic standard that should always prevail is to use common sense and good judgment in the use and stewardship of City resources.

RESOLUTION NO. 4005

A RESOLUTION OF THE MAYOR AND CITY COUNCIL OF THE CITY OF WESTMINSTER ADOPTING THE OFFICIAL CITY TRAVEL REIMBURSEMENT POLICY FOR ELECTED AND APPOINTED OFFICIALS

WHEREAS, on January 11, 2006 the City Council adopted Resolution No. 3970 amending the City's Travel Policy to include a Reservation Policy; and

WHEREAS, on October 7, 2005, the state enacted AB 1234, which required among other things that the City adopt a reimbursement policy; and

WHEREAS, the City Travel and Reimbursement Policy attached as Exhibit A satisfies the requirements of AB 1234, including in particular the requirements of Government Code sections 53232.2 and 53233.3.

NOW THEREFORE, BE IS RESOLVED that the City Council of the City of Westminster does hereby rescind Resolution No. 3970 and hereby adopts the City Travel and Reimbursement Policy attached hereto as Exhibit "A" and incorporated by this reference.

PASSED, APPROVED AND ADOPTED this 26th day of July, 2006, by the following vote:

AYES: COUNCILMEMBERS: RICE, FRY, MARSH, QUACH
NOES: COUNCILMEMBERS: NONE
ABSENT: COUNCILMEMBERS: NONE


MARGIE L. RICE, MAYOR

ATTEST:

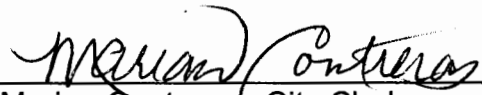

MARIAN CONTRERAS, CITY CLERK

APPROVED AS TO FORM


RICHARD D. JONES, CITY ATTORNEY

STATE OF CALIFORNIA)
) ss
COUNTY OF ORANGE)

I, MARIAN CONTRERAS, hereby certify that I am the duly appointed City Clerk of the City of Westminster, and that the foregoing resolution was duly adopted at a regular meeting of the City Council of the City of Westminster held on the 26th day of July, 2006.


Marian Contreras, City Clerk

	CITY COUNCIL POLICY	APPROVED BY: CITY COUNCIL	
CITY TRAVEL REIMBURSEMENT POLICY FOR ELECTED AND APPOINTED OFFICIALS		PAGE 1 OF 2	EFFECTIVE DATE May 31, 2006

BACKGROUND: On October 10, 2005, AB 1234 was signed into law, which imposes ethics training, and reimbursement requirements on cities, counties and special districts. This legislation took effect January 1, 2006.

This policy satisfies the requirements of AB 1234, including in particular the requirements of Government Code sections 53232.2 and 53233.3.

I. PURPOSE

The City of Westminster recognizes the constructive value of professional conferences, seminars, meetings, and training, and provides travel funds for City officials who attend such events. Elected and appointed public officials shall be entitled to reimbursement for their reasonable expenses associated with travel, meals, lodging and other actual and necessary expenses associated with attending such events in a manner and in the amounts as set forth in this policy. This policy shall also apply where City Council members act as members of the Westminster Redevelopment Agency.

II. AUTHORIZED EXPENSES

City funds, equipment, supplies (including letterhead), titles, and staff time must only be used for authorized City business. Expenses incurred in connection with the following types of activities generally constitute authorized expenses, as long as the other requirements of this policy are met:

1. Communicating with representatives of regional, state and national government on City adopted policy positions;
2. Attending educational seminars designed to improve officials' skill and information levels;
3. Participation in regional, state and national organizations whose activities affect the City's interest;
4. Recognizing service to the City (for example, thanking a longtime employee with a retirement gift or celebration of nominal value and cost);
5. Attending City events;
6. Implementing a City approved strategy for attracting or retaining businesses to the City, which will typically involve at least one staff member.

All other expenditures require prior approval by the City Council.

The following expenses also require City Council approval, which shall be considered at a meeting of the legislative body:

1. International (and out-of-state) travel;
2. Expenses exceeding \$50.00 per trip.

Examples of personal expenses that the City will not reimburse include, but are not limited to:

1. The personal portion of any trip;
2. Political or charitable contributions or events;
3. Family expenses, including partner's expenses when accompanying official on agency-related business, as well as children or pet-related expenses;
4. Entertainment expenses, including theater, movies, sporting events (including gym, massage and/or golf related expenses), or other cultural events;
5. Personal losses incurred while on City business.

Any questions regarding the propriety of a particular type of expense should be resolved by the approving authority before the expense is incurred.

TRANSPORTATION

The most economical mode and class of transportation reasonably consistent with scheduling needs and cargo space requirements must be used, using the most direct and time-efficient route. Government and group rates must be used when they are available. In the event that a more expensive transportation form or route is used, the cost borne by the City will be limited to the cost of the most economical, direct, efficient and reasonable transportation form available.

Automobile

Automobile mileage is reimbursable at Internal Revenue Service rates presently in effect (see www.irs.gov). These rates are designed to compensate the driver for gasoline, insurance, maintenance, and other expenses associated with operating the vehicle. This amount does not include parking fees, bridge and road tolls, which are also reimbursable.

Car Rental

Charges for rental vehicles may be reimbursed if a City official is attending an authorized out of town conference or event, and it is reasonably determined that the use of a rental vehicle is more economical than other forms of transportation.

Taxis/Shuttles

Taxis or shuttles fares may be reimbursed, including a 15 percent gratuity per fare, when the cost of such fares is equal or less than the cost of car rentals, gasoline and parking combined, or when such transportation is necessary for time-efficiency.

LODGING

Lodging costs will be reimbursed or paid for when travel on official City business reasonably requires an overnight stay. If such lodging is in connection with a conference or authorized educational activity, lodging costs should not exceed the maximum group rate published by the conference sponsor for the meeting in question. If the group rate is not available, or for overnight stays in other contexts, government rates should be used when they are available. If government rates are not available travelers may rely upon the Internal Revenue Service per diem rates for lodging which include adjustments for higher cost locations (see Publication 1542 at www.irs.gov or www.policyworks.gov/perdiem). Those rates shall be deemed to be reasonable. The site also has references to hotels that have government rates at or below Internal Revenue Service per diem limits.

MEALS

Officials will be reimbursed no more than the per diem rate. The per diem will be paid at the rate of \$50.00 (fifty dollars) which will include meals, tips and all incidental expenses, subject to production of receipts justifying the total reimbursement. Note: If the costs exceed the above per diem, requests for reimbursement can be made to the approving authority, said requests shall identify all expenditures and justifications supported by proper receipts for that portion exceeding the standard per diem rate. The approving authority is the City Council/Agency Board. There is no guarantee the excess will be approved.

TELEPHONE/FAX/CELLULAR

Officials will be reimbursed for actual telephone and fax expenses incurred on City business. Telephone bills should identify which calls were made on City business. For cellular calls when the official has a particular number of minutes included in the official's plan, the official can identify the percentage of calls made on public business.

AIRPORT PARKING

Long-term parking should be used for travel exceeding 24-hours.

OTHER

Baggage handling fees of up to \$1 per bag and gratuities of up to 15 percent will be reimbursed. Receipts for gratuities shall be provided whenever possible. Expenses for which City officials receive reimbursement from another agency are not reimbursable.

CASH ADVANCE POLICY

From time to time, it may be necessary for an official to request a cash advance to cover anticipated expenses while traveling or doing business on the City's behalf. Such requests for an advance should be submitted to the Finance Department ten (10) business days prior to the need for the advance with the following information:

- The purpose of the expenditure(s);
- The benefits of such expenditure to the residents of the City;
- The anticipated amount of the expenditure(s) (for example, hotel rates, meal costs, and transportation expenses); and
- The dates of the expenditure(s).

Any unused advance must be returned to the Finance Department within two business days of the official return along with an expense report and receipts documenting how the advance was used in compliance with this expense policy.

If the City Manager or his/her designee is uncertain as to whether a request complies with this policy, such individual must seek resolution from the City Council.

III. CREDIT CARD USE POLICY

The City does not issue credit cards to individual office holders but does have a City credit card for selected City expenses. City office holders may use the City's credit card for such purposes as airline tickets and hotel reservations by following the same procedures for cash advances. Receipts documenting expenses incurred on the City's credit card and compliance with this policy must be submitted within ten business days of use.

City credit cards may not be used for personal expenses, even if the official subsequently reimburses the City.

IV. EXPENSE REPORT CONTENT AND SUBMISSION DEADLINE

All cash advance expenditures and expense reimbursement requests must be submitted on an expense report form provided by the City.

Expense reports must document that the expense in question met the requirements of the policy.

Officials must submit their expense reports within 30 days of an expense being incurred, accompanied by receipts documenting each expense. Restaurant receipts, in addition to any credit card receipts, are also part of the necessary documentation.

Receipts for gratuities and tolls under \$5 are not required, but should be provided if available.

Inability to provide such documentation in a timely fashion may result in the expense being borne by the official.

V. AUDITS OF EXPENSE REPORTS

All expenses are subject to verification of compliance with this policy.

VI. REPORTS TO GOVERNING BOARD

Officials shall provide a brief report on any meetings the official attended at the City's expense at the next regular meeting of the official's body, board or commission. If multiple officials attended, a joint report may be made. Such reports may be given orally or in writing.

VII. COMPLIANCE WITH LAWS

City Officials should keep in mind that some expenditures may be subject to reporting under the Political Reform Act and other laws. All agency expenditures are public records and subject to disclosure under the Public Records Act.

VIII. VIOLATION OF THIS POLICY

Use of public resources or falsifying expense reports in violation of this policy may result in any or all of the following:

- Loss of reimbursement privileges,
- A demand for restitution to the City,
- The City's reporting the expenses as income to the elected official to state and federal tax authorities, and
- Legal prosecution for misuse of public resources.